KPMG

Suggested Industry Premium Rates for 2025/26

WorkCover Tasmania

6 May 2025

WorkCover Tasmania Board

WorkSafe Tasmania
30 Gordons Hill Road, Rosny Park
Tasmania, 7018

Mr Damian Davidson
Executive Director
WorkSafe Tasmania

6 May 2025

Dear Damian

Suggested Industry Premium Rates for 2025/26

We are pleased to enclose our report in respect of the suggested industry premium rates for 2025/26.

If you have any questions with respect to this report, please feel free to contact us.

Yours sincerely

Neil Donlevy

Partner, KPMG

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Executive summary

1. Introduction and Background

KPMG has been engaged by the WorkCover Tasmania Board ('Board') to develop a set of suggested premium rates for the 2025/26 underwriting year ('Current Pricing Review'), in respect of the Tasmanian workers' compensation industry.

This work has been performed under our contract with WorkCover Tasmania, dated 8 November 2024. It has been conducted for the purpose of suggesting premium rates for the 2025/26 underwriting year, both in total and at the 2006 Australian and New Zealand Standard Industrial Classification ("ANZSIC") level. It is not intended, nor necessarily suitable, for any other purpose.

WorkSafe Tasmania ('WorkSafe') is the organisation that administers workers' compensation and work health and safety in Tasmania and helps the Board fulfil its statutory functions.

A report of this type has been published by WorkSafe each year since 2002/03, providing a guide to employers' and workers' compensation insurers, noting that insurers should undertake their own analysis to support their premiums rates. This is the first time KPMG has undertaken this analysis of suggested premium rates.

The previous report ('Previous Report', which related to the 2024/25 premium basis) related to suggested rates for the 2024/25 underwriting year ('Previous Pricing Review') was conducted by Scyne Advisory. The findings were documented in the report "Suggested Industry Premium Rates for 2024/25", dated March 2024. Unless otherwise noted, all comparisons in this report are relative to the 2024/25 premium basis.

2. Suggested Average Premium Rate for 2025/26

Our estimate of the total premium pool required for the 2025/26 underwriting year is $337.9 million (in 31 December 2024 values), which is equivalent to a suggested average premium rate of 2.06% (excluding GST) of wages. Table 1 provides a breakdown of the drivers of the movement in the suggested average premium rate, from 1.89% at the Previous Pricing Review (for 2024/25) to 2.06% at the Current Pricing Review (for 2025/26).

Table 1: Reconciliation with 2024/25 Suggested Average Premium Rate[1]

	Average Premium Rate (% Wages)	Change (% Wages)
Suggested Rate for 2024/25 (excl. GST)	**1.89%**	
Expected Rate for 2024/25	1.89%	
Changes made in basis for 2025/26		
Change in Claim Frequency		-0.09%
Change in Average Claim Size		0.30%
Change in Expenses Loading		-0.04%
Change in Profit Margin		0.00%
Change in Discount Rates		-0.01%
Change in Inflation Rates		0.01%
Change in Payment Pattern*		-0.01%
Total Change		**0.17%**
Suggested Rate for 2025/26 (excl. GST)	**2.06%**	

* KPMG did not have oversight of the payment patterns adopted at the Previous Pricing Review. As a result, this item acts as a balancing item when reconciling to the 2024/25 suggested average premium rate.

[1] The numbers may not sum to the total due to rounding.

The 0.17 percentage point increase in the suggested average premium rate has been primarily driven by:

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- a 0.30 percentage point increase, due to an increase in the adopted average claim size assumptions across all payment types, and in particular for weekly and medical benefits (refer to Section 2.4)

partially offset by

- a 0.09 percentage point decrease, due to a reduction in the adopted claim frequency assumption (refer to Section 2.2);
- a 0.04 percentage point decrease, due to a reduction in the expense loading, particularly for "other administration expenses" and the "WRCF levy" (refer to Section 3.4); and

Changes to economic assumptions, i.e. inflation and discount rates. neutralise one another.

3. Summary of Key Assumptions

The tables below provide a summary of the key assumptions underpinning the suggested average premium rate of the 2025/26 underwriting year.

Table 2: Key Non-Economic Assumptions for the 2025/26 Suggested Average Premium Rate

Key non-economic assumptions	
Claim frequency (per $m wages, in 30 June 2025 values)	0.417
Average claim size (in 30 June 2025 values)	32,810
Average risk premium (% wages, in 30 June 2025 values)	**1.38%**
Claims handling expenses (% risk premium)	n/a[1]
Net cost of reinsurance (% of average premium excluding GST)	0.38%
Commission and brokerage (% of average premium excluding GST)	3.78%
Acquisition and policy handling expenses (% of average premium excluding GST)	12.30%
Nominal insurer levy (% of average premium excluding GST)	0.00%
Workers' Rehabilitation and Compensation Fund levy (% of average premium excluding GST)	3.41%
Profit margin (% of average premium excluding GST)	13.00%
Suggested average premium rate excluding GST ($ of wages)	**2.06%**
Suggested average premium rate including GST ($ of wages)	**2.27%**
Period premiums are applicable for	2025/26

[1] Claims handling expenses are included in the loading for acquisition and policy handling expenses.

Table 3: Key Economic Assumptions for the 2025/26 Suggested Average Premium Rate

Year Ending 15 March	Discount Rate (p.a.)	Economic Inflation (p.a.)	Superimposed Inflation (p.a.)	Development Year	Payment Pattern (% Paid)
2027	3.67%	3.50%	0.75%	0	41.6%
2028	3.92%	3.50%	0.75%	1	20.3%
2029	4.24%	3.50%	0.75%	2	16.3%
2030	4.52%	3.50%	0.75%	3	10.7%
2031	4.76%	3.50%	0.75%	4	5.7%
2032	4.94%	3.50%	0.75%	5	3.7%
2033	5.08%	3.50%	0.75%	6	1.1%
2034	5.17%	3.50%	0.75%	7	0.3%
2035	5.21%	3.50%	0.75%	8+	0.2%

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4. Claim Assumptions

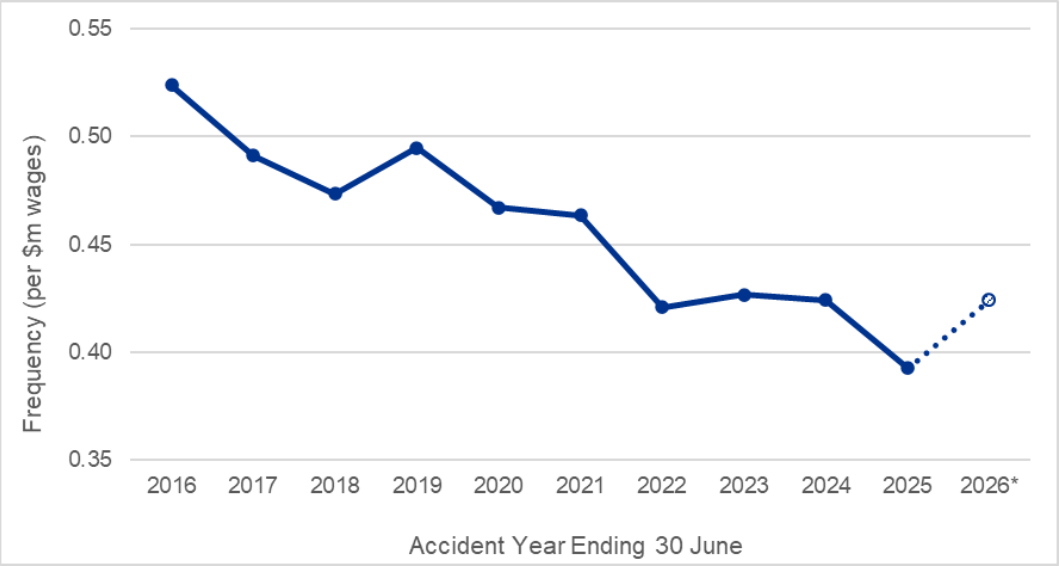
Written Wages

Written wages are projected to be $16.6 billion for the 2025/26 underwriting year. On a like for like basis, this is $1.4 billion (+9.4%) higher than the estimate of written wages for the 2024/25 underwriting year used as the basis at the Previous Pricing Review.

Claim Frequency

The figure below shows ultimate claim frequency by accident year for licensed insurers.

Figure 1: Ultimate Claim Frequency, by Accident Year (all claims)



Claim frequency stabilised at around 0.424 claims per million dollars of wages for accident years 2021/22 to 2023/24 but a projected drop in 2024/25. Our forecast of ultimate claim frequency for the 2025/26 underwriting year (in 31 December 2024 values) is 0.424 claims per million dollars of wages, which is lower than the claim frequency assumption adopted at the Previous Pricing Review. This assumes claim frequency will emerge in line with experience observed for accident years 2021/22 to 2023/24. We note that our adopted assumption is equivalent to 0.417 claims per million dollars of wages, when expressed in 30 June 2025 values.

Average Claim Size

The adopted average claim size assumption for the 2025/26 underwriting year is $32,135 (in 31 December 2024 values). This is 16.8% higher in real terms than the average claim size assumption adopted at the Previous Pricing Review. We note that our adopted assumption is equivalent to $32,810, when expressed in 30 June 2025 values.

In selecting the average claim size assumption, we have considered the following:

- Recent experience: In general, we have observed increases in average claim sizes over time. In particular, there have been large increases in weekly benefit average claim sizes as well as medical benefit average claim sizes.
- No explicit allowance for Section 87 amendments: The amendments to Section 87 of the Workers Rehabilitation and Compensation Act 1988 ('the Act') came into effect from 1 March 2023. The selection of our actuarial assumptions has given significant weight to the experience post 1 March 2023, therefore, we consider the impact of the amendments to be reflected in the claims experience. Accordingly, the explicit allowance to lower the average claim size assumption (by 3% at the Previous Pricing Review) has been removed.

Figure 2 shows selected average claim sizes by payment type and accident year. The average claim sizes have been calculated by dividing the projected ultimate cost of payments for each payment type by the ultimate number of claims projected for the relevant accident year.

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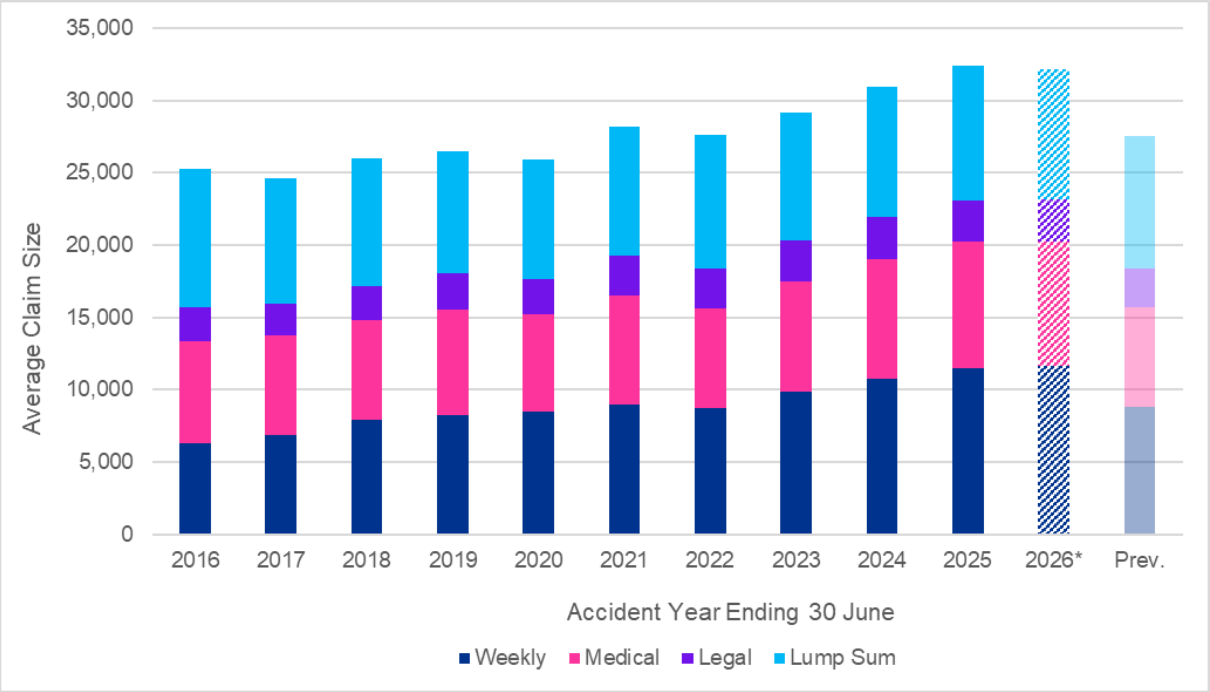
Figure 2: Adopted Average Claim Sizes, by Accident Year ($, Dec-24 values)



* The average claim size shown for 2026 is the assumption that has been adopted for the 2025/26 underwriting year.

Our average claim size assumptions for each payment type are typically in line with or higher than our average claim size projections for recent accident years. Compared to the Previous Pricing Review, our average claim size assumption for weekly, medical and legal benefits has increased by 31.2%, 25.4% and 10.2% respectively, whereas the assumption for lump sum benefits has decreased by 1.7%.

Mental Health Claims

The proportion of reported licensed insurer claims that are mental health-related has grown steadily across recent years – from 5% for accident year 2015/16 to 10% for accident year 2023/24, with particularly notable increases in the last three years. There are no clear signs of the increasing trend abating. The growth in proportion of claims that are mental health-related is a trend that has been observed in other Australian states and territories for workers compensation and also within the life insurance industry.

Figure 3: Claims Reported to Date by Accident Year, Split by Mental Health (MH) and Non-MH Claims

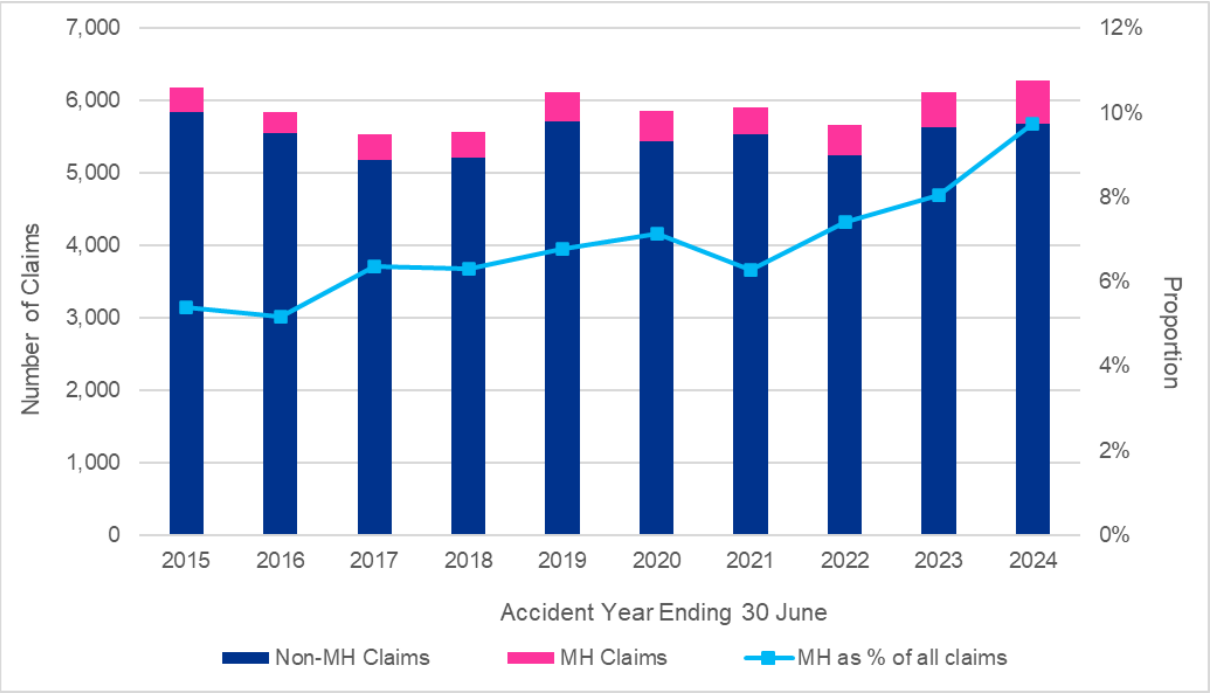


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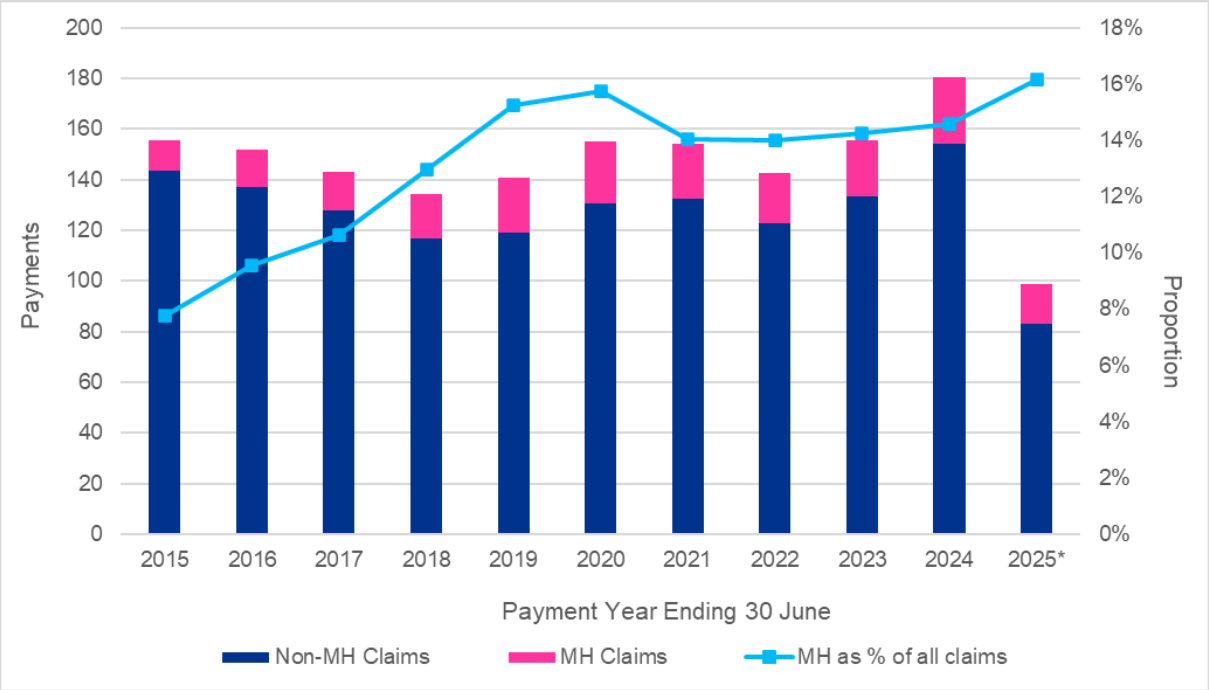
Figure 4 shows licensed insurer payments in total since the 2014/15 payment year. Payments have been split out into payments for mental health (MH) related claims and payments for non-mental health (non-MH) related claims.

Figure 4: Payments by Payment Year, Split by Mental Health (MH) and Non-MH Claims ($m, Dec-24 values)



* Figures shown for payment year 2025 represents experience in the 6 months to 31 December 2024 (i.e. December 2024 payment half-year).

The proportion of reported licensed insurer payments that are mental health-related has grown sharply since 2014/15. As mental health-related claims have a higher average cost than non-mental health-related claims, the proportion of payments that are mental health-related is significantly higher than the proportion of claims reported that are mental health-related. The proportion of payments that are mental health-related has ranged between 14% to 16% in the last 7 years (i.e. since payment year 2018/19).

The experience by payment type has varied.

- **Weekly benefits**: The proportion of weekly payments that pertain to mental health-related claims has been steady around 17% between 2016/17 to 2022/23, however it has increased to 19% in 2023/24 and 20% in the first half of 2024/25.
- **Lump sum benefits**: The proportion of lump sum payments that pertain to mental health-related claims has averaged 14% across the last 10 years, however the experience has been volatile. The lowest proportion year is 2014/15 at 5%, and the highest proportion year is 2019/20 at 21%. The payments in the first half of 2024/25 are 17% or $4.8m. This compares to 2023/24 (note, 12 months of experience) of 13% or $7.3m.
- **Medical benefits**: The proportion of medical payments that pertain to mental health-related claims has averaged 7% across the last 10 years. Its trend over time has been relatively steady, however, there are some increases in recent years. It has increased to 9% for 2023/24 and the first half of 2024/25.
- **Legal benefits**: The proportion of legal payments that pertained to mental health-related claims is somewhat volatile. Prior to 2016/17, the proportion has averaged approximately 15%. Since 2016/17, the proportion has averaged approximately 21%. The proportion for 2023/24 and the first half of 2024/25 are 20% and 23% respectively.

Silicosis Claims Experience

Over the last few years, there has been concern across Australia regarding an increase in exposure to silica dust particularly through the manufacturing and use of engineered stone.

We have provided some historical information for reference but at this review we have not made any explicit adjustments to the suggested premium rates.

We have considered the Tasmania experience of silicosis claims in the workers' compensation system. We have considered this experience with respect to the need to make allowance in the suggested premium rates.

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Silicosis claims are treated like all other claims in our analysis (as opposed to being removed from the base data, and treated and analysed separately) and hence would only impact the suggested premium rates, as far as the historical experience suggests that it is warranted.

In terms of volume of claims, 22 silicosis claims have been reported to date (an increase from 19 at the Previous Pricing Review), in respect of 17 distinct claimants (an increase from 16 at the Previous Pricing Review) and 11 distinct employers (no change from the Previous Pricing Review).

In terms of accepted claims, there is a total of 16 accepted claims with the average age at injury of 42 years old. Since the Previous Pricing Review, there have been 2 new accepted claims.

These claims relate to the following ANZSIC classes: the 2009/10 accident year from the employer Barminco (i.e. Mining industry), the 2023/24 accident year from the employer Stoneworld, (i.e. Wholesale Trade industry).

The total incurred cost (in nominal values) for accepted silicosis claims is expected to be $4.68m (an increase from $4.45m in the Previous Pricing Review). The amount outstanding (in nominal values) is $1.64m or 35% of the incurred cost. Payments to date (in nominal values) are around $3.05m, of which 42% relate to lump sum benefits, 32% relate to weekly benefits, 18% relate to legal/investigation costs, and 7% relate to medical benefits.

5. Economic, Expense and Insurer Margin Assumptions

Discount Rates

Forward discount rates have been set with reference to the market prices of Commonwealth Government bonds as at 31 December 2024. Compared to the Previous Pricing Review, on a like-for-like basis, our discount rate assumptions have increased across all development periods. Given a mean term of 1.9 years, this is an increase of approximately 0.32% p.a.

Inflation Rates

Our assumptions for future economic inflation continue to be based on current economic forecasts for wage inflation (specifically, the AWE index). Compared to the Previous Pricing Review, on a like-for-like basis, our economic inflation rate assumptions is 3.50% p.a. for all development periods. This represents a minor increase of 0.10% p.a. for development half year 1, and 0.25% p.a. thereafter.

In addition, we continue to adopt a superimposed inflation assumption of 0.75% p.a. across all benefit types.

Expenses

The adopted expense loading, as a percentage of premiums, has decreased from 21.00% at the Previous Pricing Review to 19.87% at the Current Pricing Review.

This reduction was driven by a 0.64 percentage point decrease for other administration expenses and a 0.77 percentage point reduction for the Workers Rehabilitation and Compensation Fund (WRCF) levy, partially offset was a 0.28 percentage point increase for commission and brokerage expenses.

Insurer Margin

Our adopted insurer margin, at 13% of premium, is unchanged from the Previous Pricing Review.

6. Suggested Relativities and Premium Rates

Suggested versus Achieved Rates

Up to and including 2021/22, reported achieved rates have been lower than suggested rates, albeit this gap has narrowed over time. The gap has now inverted for underwriting year 2022/23, such that achieved rates are higher than suggested rates. This has resulted in most divisions seeing a level of convergence between achieved and suggested rates, which can be observed in most of the figures presented below.

For the 2023/24 underwriting year, the achieved rate reported to date is equivalent to 112% of the suggested rate (increased from 104% in 2022/23).

However, it should be noted that based on historic experience, the reported achieved rates for the most recent two underwriting years will likely increase as premium adjustments are received. However, the extent of remaining development is uncertain.

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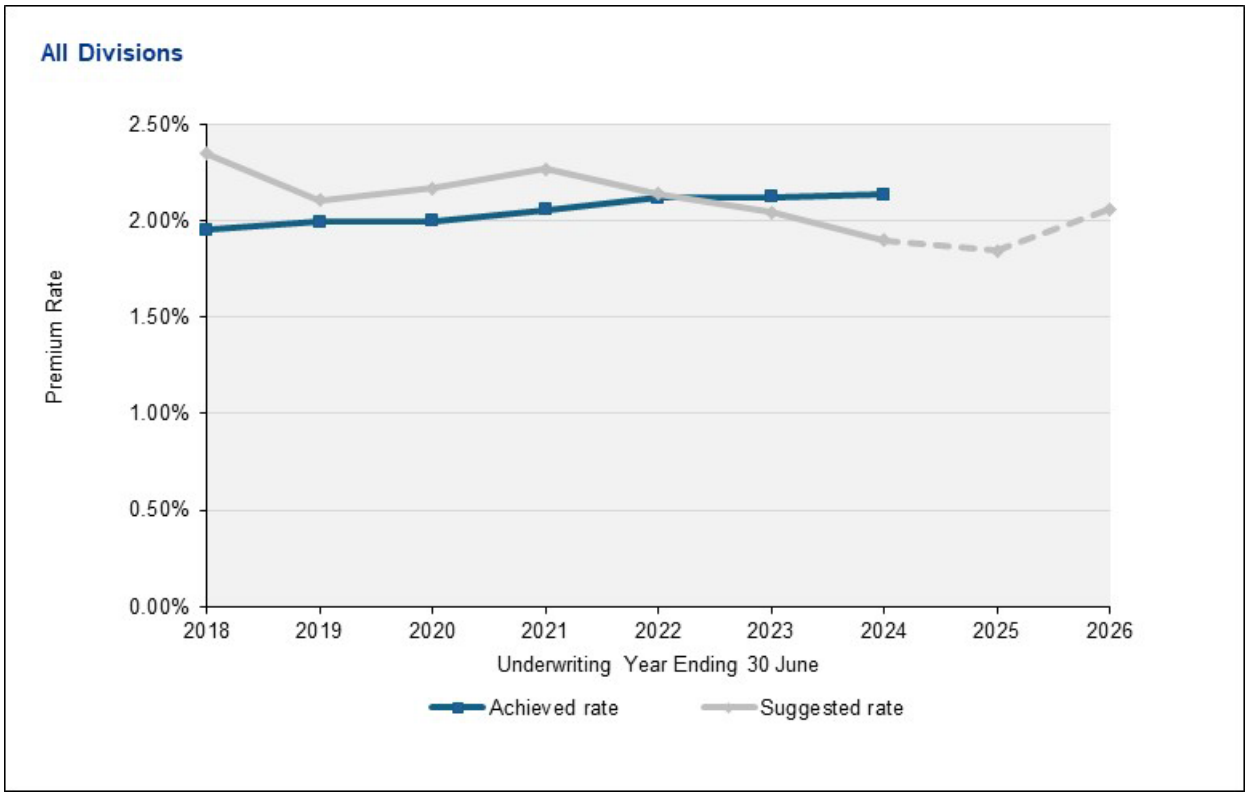
Figure 5: Suggested versus Achieved Premium Rates



ANZSIC Classes with Large Changes in Suggested Premium Rates

The table below summarises ANZSIC classes with the largest proportional increases in suggested premium rates, between the Previous and Current Pricing Review.

Table 4: ANZSIC Classes with the Largest Proportional Increases in Suggested Premium Rates

Rel Group	ANZSIC	Description	2025/26	2024/25	Change
124	4241	Sport and Camping Equipment Retailing	1.13%	0.85%	+33.19%
	4251	Clothing Retailing			
For 2025/26, the wages for these two classes are expected to be $90.8 million. They were previously part of relativity group 56, which included nine other retail ANZSIC classes (4222, 4242, 4243, 4244, 4245, 4252, 4259, 4271, 9491) covering pharmaceuticals, cosmetics, newspapers, toys, games, and footwear. Their claim experience relativity was found to be *higher* than the other classes in the group, both in terms of claim frequency and claim size. Thus, they have been regrouped to a new relativity group with a higher adopted relativity, from 45 to 55 (+22%). This, along with an overall premium rate increase, has led to a 33.19% rise in their suggested rate. As a result, the remaining ANZSIC classes in relativity group 56, with wages expected to be $171.1 million, have seen their suggested rate decrease from 0.85% in 2024/25 to 0.82% in 2025/26, a decrease of 3.13%.					
126	3019	Other Residential Building Construction	3.50%	2.64%	+32.55%
This class, with wages for the 2025/26 year expected to be $38.5 million, was previously part of the relativity group 36, which included ANZSIC class 3011 (House Construction) with expected wages of $260.8 million. The claim frequency relativity for Other Residential Building Construction (370) was significantly *higher* than that for House Construction (147), whilst the claim size relativity was also marginally *higher*.					

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Rel Group	ANZSIC	Description	2025/26	2024/25	Change
The decision to separate these two ANZSIC classes to form their own relativity groups has resulted in an increase in the adopted relativity for Other Residential Building Construction from 140 to 170 (+21%), as well as a decrease in the adopted relativity for House Construction from 140 to 125 (-11%). The 32.55% increase in the suggested rate for Other Residential Building Construction reflects both the overall premium rate increase and adopted relativity increase. The suggested rate for House Construction has decreased from 2.64% in 2024/25 to 2.57% in 2025/26, a decrease of 2.54%.					
76	5511	Motion Picture and Video Production	0.62%	0.47%	+31.39%
	5512	Motion Picture and Video Distribution			
	5513	Motion Picture Exhibition			
	5514	Post-production Services and Other Motion Picture and Video Activities			
	5521	Music Publishing			
	5522	Music and Other Sound Recording Activities			
	5610	Radio Broadcasting			
	5621	Free-to-Air Television Broadcasting			
	5622	Cable and Other Subscription Broadcasting			
	6020	Other Information Services			
	6632	Video and Other Electronic Media Rental and Hiring			
The implied technical relativity based on the emerged claims experience for this relativity group is *higher* than the adopted relativity from the Previous Pricing Review, thus the adopted relativity at the Current Previous Review has increased from 25 to 30 (+20%). The increase of 31.39% in the suggested premium rate reflects both the overall premium rate increase and adopted relativity increase.					
125	9551	Business and Professional Association Services	0.82%	0.66%	+24.75%
	9552	Labour Association Services			
These classes cover employee associations, unions and other professional associations. These are distinct from the ANZSIC class 7212 (Labour Supply Services), which covers labour hire employees. For these two classes, the wages for the 2025/26 year are expected to be approx. $94.1 million. The classes were previously part of the relativity group 73, which included eight business, operations and administration type ANZSIC classes (5291, 6924, 6940, 6950, 7291, 7293, 7294, 7299). The claim experience relativity of these two classes was identified as sufficiently *higher* than the remaining ANZSIC classes in the relativity group, both in terms of claim frequency and claim size. We have moved these classes to a new relativity group, being relativity group 125. As a result, the adopted relativity has increased from 35 to 40 (+14%). The increase of 24.75% in the suggested premium rate reflects both the overall premium rate increase and adopted relativity increase. In respect of the remaining ANZSIC classes within relativity group 73, with expected wages of $191.7 million, its adopted relativity has decreased from 35 to 30 (-14%). The suggested rate has decreased from 0.66% in 2024/25 to 0.62% in 2025/26, a decrease of 6.43%.					
46	3323	Industrial and Agricultural Chemical Product Wholesaling	1.75%	1.41%	+24.09%
	3331	Timber Wholesaling			
	3332	Plumbing Goods Wholesaling			
	3736	Paper Product Wholesaling			
	3739	Other Goods Wholesaling n.e.c.			

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Rel Group	ANZSIC	Description	2025/26	2024/25	Change
The ANZSIC classes within this relativity group covers wholesaling of various non-household products. The wages for the 2025/26 year are expected to be $59.4 million. Given the implied technical relativity for this relativity group is *higher* than the adopted relativity from the Previous Pricing Review, the adopted relativity has increased from 75 to 85 (+13%) at the Current Previous Review. The resulting increase of 24.09% in the suggested premium rate reflects both the overall premium rate increase and adopted relativity increase.					
50	3606	Liquor and Tobacco Product Wholesaling	1.75%	1.41%	+24.09%
	3711	Textile Product Wholesaling			
	3712	Clothing and Footwear Wholesaling			
	3720	Pharmaceutical and Toiletry Goods Wholesaling			
	3731	Furniture and Floor Covering Wholesaling			
	3732	Jewellery and Watch Wholesaling			
	3733	Kitchen and Diningware Wholesaling			
	3734	Toy and Sporting Goods Wholesaling			
	3735	Book and Magazine Wholesaling			
	3800	Commission-Based Wholesaling			
The ANZSIC classes within this relativity group covers wholesaling of various household and personal products. The wages for the 2025/26 year are expected to be $66.3 million. Recent favourable claims experience in this relativity group has led to slight improvements in the claim frequency and claim size relativities, however the implied technical relativity for this relativity group remains *higher* than the adopted relativity from the Previous Pricing Review. Consequently, the adopted relativity has increased from 75 to 85 (+13%) at the Current Previous Review. The resulting increase of 24.09% in the suggested premium rate reflects both the overall premium rate increase and adopted relativity increase.					

The table below summarises ANZSIC classes with the largest proportional decrease in suggested premium rates, between the Previous and Current Pricing Review.

Table 5: ANZSIC Classes with the Largest Proportional Decreases in Suggested Premium Rates

Rel Group	ANZSIC	Description	2025/26	2024/25	Change
122	0203	Onshore Aquaculture	2.26%	2.64%	-14.23%
This wages for Onshore Aquaculture for the 2025/26 year are expected to be $133.2 million. This class was previously part of the relativity group 6, which included eight other fishing related ANZSIC classes (0201, 0202, 0411, 0412, 0413, 0414, 0419, 0529). The claim experience relativity of this class was identified as sufficiently *lower* than the remaining ANZSIC classes in the relativity group, both in terms of claim frequency and claim size. We have moved this class to a new relativity group, being relativity group 122. As a result, the adopted relativity has decreased from 140 to 110 (-21%). The resulting decrease in the suggested premium rate of 14.23% reflects the net effect of the overall premium rate increase and the adopted relativity decrease. In relation to the remaining ANZSIC classes within relativity group 6, with expected wages of $184.8 million, its adopted relativity has increased from 140 to 155 (+11%). The suggested rate has increased from 2.64% in 2024/25 to 3.19% in 2025/26, an increase of 20.85%.				
123	3234	Fire and Security Alarm Installation Services	2.16%	2.45%	-11.78%
	3239	Other Building Installation Services			
	3241	Plastering and Ceiling Services			

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Rel Group	ANZSIC	Description	2025/26	2024/25	Change

The wages of these three classes for the 2025/26 year are expected to be $81.2 million. These classes were previously part of relativity group 41, which included five other trade ANZSIC classes (3231, 3233, 3242, 3243, 3244), such as plumbing, air conditioning, painting and carpentry services.

Their claim experience was found to be significantly more favourable than the other classes in the group, particularly in terms of claim size. Thus, these classes have been moved to a new relativity group with a *lower* adopted relativity, from 130 to 105 (-19%). The resulting decrease in the suggested rate of 11.78% reflects the net effect of the overall premium rate increase and the adopted relativity decrease.

As a result, the remaining ANZSIC classes in relativity group 41, with expected wages of $250.4 million, have seen their suggested rate increase from 2.45% in 2024/25 to 2.98% in 2025/26, an increase of 21.83%.

82	6419	Other Auxiliary Finance and Investment Services	0.51%	0.56%	-8.11%
	6420	Auxiliary Insurance Services			

The wages for the 2025/26 year are expected to be $143.9 million. Continued low claims experience for both ANZSIC classes has resulted in an implied technical relativity for this relativity group that is *lower* than the adopted relativity from the Previous Pricing Review. Therefore, the adopted relativity has decreased from 30 to 25 (-17%) at the Current Previous Review.

The resulting decrease in the suggested premium rate of 8.11% reflects the net effect of the overall premium rate increase and the adopted relativity decrease..

Movement in Suggested Premium Rates at the ANZSIC Class Level

The suggested premium rates are tabulated for each individual ANZSIC class in Part I of this report. Our suggested premium rates, at the ANZSIC class level, for 2025/26 range from 0.40% to 12.35% of wages. The distribution of ANZSIC classes by movement in suggested premium rate between 2024/25 and 2025/26 is shown below.

Table 6: Distribution of ANZSIC Classes by Movement in Suggested Premium Rates between 2024/25 and 2025/26

Premium Rate Change	Number of ANZSIC Classes	Proportion of ANZSIC Classes	Proportion of Estimated Wages for 2025/26
Less than -20%	0	0%	0%
Greater or equal to -20%; and less than -10%	4	1%	1%
Greater or equal to -10%; and less than -1%	98	21%	16%
Greater or equal to -1%; and less than +1%	51	11%	13%
Greater or equal to +1%; and less than +10%	121	26%	35%
Greater or equal to +10%; and less than +20%	82	18%	18%
Greater or equal to +20%; and less than +30%	93	20%	15%
Greater or equal to +30%	13	3%	1%

* Exclude ANZSIC classes with zero wages

There are 506 ANZSIC classes, however 44 are expected to have zero wages in 2025/26.

The average increase across all ANZSIC classes is 8.21%, It reflects the overall suggested premium rate increase from1.89% at the Previous Pricing Review to 2.06% at the Current Pricing Review.

Of the 462 ANZSIC classes which are expected to have non-zero wages in 2025/26:

- 11% of ANZSICs (with 13% of wages) have less than +/-1% change in suggested premium rate.
- 67% of ANZSICs (with 69% of wages) had an increase of more than +1% in their suggested premium rate.

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- 26% of ANZSICs (with 35% of wages) had an increase between +1% and +10%.
- 18% of ANZSICs (with 18% of wages) had an increase between +10% and +20%.
- 23% of ANZSICs (with 16% of wages) had an increase of more than +20%.

- 22% of ANZSICs (with 17% of wages) had a decrease of more than -1% in their suggested premium rate.
  - 21% of ANZSICs (with 16% of wages) had a decrease between -1% and -10%.
  - 1% of ANZSICs (with 1% of wages) had a decrease of more than -10%.

7. Reliances and Limitations

This Executive Summary should be read in conjunction with the full report, and the reliance and limitations described therein.

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Part I: Summary of Suggested Rates

ANZSIC Class	ANZSIC06 Class Description	Rel. Group	Estimated Wages for 2025/26 ($ million)	Claim Freq. Rel. (last 3 yrs.)	Attritional Payment Rel. (last 5 yrs.)	2025/26 Selected Relativity	2024/25 Selected Relativity	2025/26 Suggested Premium Rate	2024/25 Suggested Premium Rate	Premium Rate Change
0111	Nursery Production (Under Cover)	1	5.37	119	82	105	115	**2.16%**	2.17%	-0.40%
0112	Nursery Production (Outdoors)	1	12.17	119	82	105	115	**2.16%**	2.17%	-0.40%
0113	Turf Growing	1	0.06	119	82	105	115	**2.16%**	2.17%	-0.40%
0114	Floriculture Production (Under Cover)	1	0.74	119	82	105	115	**2.16%**	2.17%	-0.40%
0115	Floriculture Production (Outdoors)	1	9.49	119	82	105	115	**2.16%**	2.17%	-0.40%
0121	Mushroom Growing	2	0.01	358	317	200	180	**4.12%**	3.39%	21.44%
0122	Vegetable Growing (Under Cover)	3	2.34	129	99	110	115	**2.26%**	2.17%	4.34%
0123	Vegetable Growing (Outdoors)	3	59.99	129	99	110	115	**2.26%**	2.17%	4.34%
0131	Grape Growing	2	30.07	358	317	200	180	**4.12%**	3.39%	21.44%
0132	Kiwifruit Growing	3	0.00	129	99	110	115	**2.26%**	2.17%	4.34%
0133	Berry Fruit Growing	3	113.42	129	99	110	115	**2.26%**	2.17%	4.34%
0134	Apple and Pear Growing	3	31.10	129	99	110	115	**2.26%**	2.17%	4.34%
0135	Stone Fruit Growing	3	22.60	129	99	110	115	**2.26%**	2.17%	4.34%
0136	Citrus Fruit Growing	3	0.00	129	99	110	115	**2.26%**	2.17%	4.34%
0137	Olive Growing	3	0.26	129	99	110	115	**2.26%**	2.17%	4.34%
0139	Other Fruit and Tree Nut Growing	3	8.60	129	99	110	115	**2.26%**	2.17%	4.34%
0141	Sheep Farming (Specialised)	4	17.52	172	232	220	245	**4.53%**	4.61%	-1.77%
0142	Beef Cattle Farming (Specialised)	4	31.10	172	232	220	245	**4.53%**	4.61%	-1.77%
0143	Beef Cattle Feedlots (Specialised)	4	3.01	172	232	220	245	**4.53%**	4.61%	-1.77%
0144	Sheep-Beef Cattle Farming	4	25.41	172	232	220	245	**4.53%**	4.61%	-1.77%
0145	Grain-Sheep or Grain- Beef Cattle Farming	4	19.60	172	232	220	245	**4.53%**	4.61%	-1.77%
0146	Rice Growing	2	0.00	358	317	200	180	**4.12%**	3.39%	21.44%
0149	Other Grain Growing	2	1.51	358	317	200	180	**4.12%**	3.39%	21.44%
0151	Sugar Cane Growing	2	0.00	358	317	200	180	**4.12%**	3.39%	21.44%
0152	Cotton Growing	2	0.00	358	317	200	180	**4.12%**	3.39%	21.44%
0159	Other Crop Growing n.e.c.	2	4.58	358	317	200	180	**4.12%**	3.39%	21.44%
0160	Dairy Cattle Farming	4	94.30	172	232	220	245	**4.53%**	4.61%	-1.77%
0171	Poultry Farming (Meat)	5	0.58	224	184	225	250	**4.63%**	4.71%	-1.67%
0172	Poultry Farming (Eggs)	5	5.64	224	184	225	250	**4.63%**	4.71%	-1.67%
0180	Deer Farming	4	0.00	172	232	220	245	**4.53%**	4.61%	-1.77%
0191	Horse Farming	4	1.82	172	232	220	245	**4.53%**	4.61%	-1.77%
0192	Pig Farming	4	7.06	172	232	220	245	**4.53%**	4.61%	-1.77%
0193	Beekeeping	4	2.14	172	232	220	245	**4.53%**	4.61%	-1.77%

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ANZSIC Class	ANZSIC06 Class Description	Rel. Group	Estimated Wages for 2025/26 ($ million)	Claim Freq. Rel. (last 3 yrs.)	Attritional Payment Rel. (last 5 yrs.)	2025/26 Selected Relativity	2024/25 Selected Relativity	2025/26 Suggested Premium Rate	2024/25 Suggested Premium Rate	Premium Rate Change
0199	Other Livestock Farming n.e.c.	5	0.61	224	184	225	250	**4.63%**	4.71%	-1.67%
0201	Offshore Longline and Rack Aquaculture	6	21.32	152	178	155	140	**3.19%**	2.64%	20.85%
0202	Offshore Caged Aquaculture	6	99.02	152	178	155	140	**3.19%**	2.64%	20.85%
0203	Onshore Aquaculture	122	133.19	63	63	110	140	**2.26%**	2.64%	-14.23%
0301	Forestry	2	2.76	358	317	200	180	**4.12%**	3.39%	21.44%
0302	Logging	7	57.01	147	245	230	255	**4.73%**	4.80%	-1.37%
0411	Rock Lobster and Crab Potting	6	0.55	152	178	155	140	**3.19%**	2.64%	20.85%
0412	Prawn Fishing	6	0.00	152	178	155	140	**3.19%**	2.64%	20.85%
0413	Line Fishing	6	0.15	152	178	155	140	**3.19%**	2.64%	20.85%
0414	Fish Trawling, Seining and Netting	6	0.09	152	178	155	140	**3.19%**	2.64%	20.85%
0419	Other Fishing	6	0.07	152	178	155	140	**3.19%**	2.64%	20.85%
0420	Hunting and Trapping	5	1.25	224	184	225	250	**4.63%**	4.71%	-1.67%
0510	Forestry Support Services	8	16.07	126	165	155	165	**3.19%**	3.11%	2.59%
0521	Cotton Ginning	3	0.00	129	99	110	115	**2.26%**	2.17%	4.34%
0522	Shearing Services	4	14.54	172	232	220	245	**4.53%**	4.61%	-1.77%
0529	Other Agriculture and Fishing Support Services	6	63.64	152	178	155	140	**3.19%**	2.64%	20.85%
0600	Coal Mining	9	12.43	66	58	65	60	**1.34%**	1.13%	18.41%
0700	Oil and Gas Extraction	9	3.81	66	58	65	60	**1.34%**	1.13%	18.41%
0801	Iron Ore Mining	9	114.38	66	58	65	60	**1.34%**	1.13%	18.41%
0802	Bauxite Mining	9	0.00	66	58	65	60	**1.34%**	1.13%	18.41%
0803	Copper Ore Mining	10	3.78	55	115	110	120	**2.26%**	2.26%	0.19%
0804	Gold Ore Mining	10	102.31	55	115	110	120	**2.26%**	2.26%	0.19%
0805	Mineral Sand Mining	9	5.11	66	58	65	60	**1.34%**	1.13%	18.41%
0806	Nickel Ore Mining	9	24.53	66	58	65	60	**1.34%**	1.13%	18.41%
0807	Silver-Lead-Zinc Ore Mining	9	0.58	66	58	65	60	**1.34%**	1.13%	18.41%
0809	Other Metal Ore Mining	10	73.43	55	115	110	120	**2.26%**	2.26%	0.19%
0911	Gravel and Sand Quarrying	10	17.11	55	115	110	120	**2.26%**	2.26%	0.19%
0919	Other Construction Material Mining	9	9.82	66	58	65	60	**1.34%**	1.13%	18.41%
0990	Other Non-Metallic Mineral Mining and Quarrying	10	0.25	55	115	110	120	**2.26%**	2.26%	0.19%
1011	Petroleum Exploration	9	0.00	66	58	65	60	**1.34%**	1.13%	18.41%
1012	Mineral Exploration	11	11.34	66	79	80	90	**1.65%**	1.69%	-2.56%
1090	Other Mining Support Services	11	50.53	66	79	80	90	**1.65%**	1.69%	-2.56%
1111	Meat Processing	12	68.47	475	385	385	350	**7.92%**	6.59%	20.26%

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ANZSIC Class	ANZSIC06 Class Description	Rel. Group	Estimated Wages for 2025/26 ($ million)	Claim Freq. Rel. (last 3 yrs.)	Attritional Payment Rel. (last 5 yrs.)	2025/26 Selected Relativity	2024/25 Selected Relativity	2025/26 Suggested Premium Rate	2024/25 Suggested Premium Rate	Premium Rate Change
1112	Poultry Processing	13	14.93	185	109	130	140	**2.68%**	2.64%	1.36%
1113	Cured Meat and Smallgoods Manufacturing	14	5.60	122	88	95	100	**1.96%**	1.88%	4.02%
1120	Seafood Processing	13	29.54	185	109	130	140	**2.68%**	2.64%	1.36%
1131	Milk and Cream Processing	15	45.13	55	58	70	75	**1.44%**	1.41%	2.19%
1132	Ice Cream Manufacturing	15	2.14	55	58	70	75	**1.44%**	1.41%	2.19%
1133	Cheese and Other Dairy Product Manufacturing	15	76.04	55	58	70	75	**1.44%**	1.41%	2.19%
1140	Fruit and Vegetable Processing	14	112.27	122	88	95	100	**1.96%**	1.88%	4.02%
1150	Oil and Fat Manufacturing	14	1.29	122	88	95	100	**1.96%**	1.88%	4.02%
1161	Grain Mill Product Manufacturing	14	0.63	122	88	95	100	**1.96%**	1.88%	4.02%
1162	Cereal, Pasta and Baking Mix Manufacturing	14	0.04	122	88	95	100	**1.96%**	1.88%	4.02%
1171	Bread Manufacturing (Factory based)	16	15.76	146	134	135	150	**2.78%**	2.82%	-1.46%
1172	Cake and Pastry Manufacturing (Factory based)	16	9.03	146	134	135	150	**2.78%**	2.82%	-1.46%
1173	Biscuit Manufacturing (Factory based)	16	0.44	146	134	135	150	**2.78%**	2.82%	-1.46%
1174	Bakery Product Manufacturing (Non- factory based)	14	79.44	122	88	95	100	**1.96%**	1.88%	4.02%
1181	Sugar Manufacturing	14	0.00	122	88	95	100	**1.96%**	1.88%	4.02%
1182	Confectionery Manufacturing	14	3.23	122	88	95	100	**1.96%**	1.88%	4.02%
1191	Potato, Corn and Other Crisp Manufacturing	14	0.84	122	88	95	100	**1.96%**	1.88%	4.02%
1192	Prepared Animal and Bird Feed Manufacturing	16	26.78	146	134	135	150	**2.78%**	2.82%	-1.46%
1199	Other Food Product Manufacturing n.e.c.	14	7.79	122	88	95	100	**1.96%**	1.88%	4.02%
1211	Soft Drink, Cordial and Syrup Manufacturing	16	10.92	146	134	135	150	**2.78%**	2.82%	-1.46%
1212	Beer Manufacturing	14	28.36	122	88	95	100	**1.96%**	1.88%	4.02%
1213	Spirit Manufacturing	14	29.64	122	88	95	100	**1.96%**	1.88%	4.02%
1214	Wine and Other Alcoholic Beverage Manufacturing	14	29.55	122	88	95	100	**1.96%**	1.88%	4.02%
1220	Cigarette and Tobacco Product Manufacturing	14	0.00	122	88	95	100	**1.96%**	1.88%	4.02%
1311	Wool Scouring	17	0.00	120	154	140	125	**2.88%**	2.35%	22.63%
1312	Natural Textile Manufacturing	17	1.19	120	154	140	125	**2.88%**	2.35%	22.63%
1313	Synthetic Textile Manufacturing	17	0.00	120	154	140	125	**2.88%**	2.35%	22.63%
1320	Leather Tanning, Fur Dressing and Leather Product Manufacturing	17	1.26	120	154	140	125	**2.88%**	2.35%	22.63%
1331	Textile Floor Covering Manufacturing	17	0.44	120	154	140	125	**2.88%**	2.35%	22.63%
1332	Rope, Cordage and Twine Manufacturing	17	3.98	120	154	140	125	**2.88%**	2.35%	22.63%
1333	Cut and Sewn Textile Product Manufacturing	17	6.60	120	154	140	125	**2.88%**	2.35%	22.63%
1334	Textile Finishing and Other Textile Product Manufacturing	17	3.54	120	154	140	125	**2.88%**	2.35%	22.63%
1340	Knitted Product Manufacturing	17	1.11	120	154	140	125	**2.88%**	2.35%	22.63%

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1351	Clothing Manufacturing	17	1.81	120	154	140	125	**2.88%**	2.35%	22.63%
1352	Footwear Manufacturing	17	0.02	120	154	140	125	**2.88%**	2.35%	22.63%
1411	Log Sawmilling	18	19.57	349	275	290	300	**5.97%**	5.65%	5.65%
1412	Wood Chipping	19	28.30	217	169	175	160	**3.60%**	3.01%	19.68%
1413	Timber Resawing and Dressing	19	33.57	217	169	175	160	**3.60%**	3.01%	19.68%
1491	Prefabricated Wooden Building Manufacturing	19	2.14	217	169	175	160	**3.60%**	3.01%	19.68%
1492	Wooden Structural Fitting and Component Manufacturing	19	16.10	217	169	175	160	**3.60%**	3.01%	19.68%
1493	Veneer and Plywood Manufacturing	18	4.03	349	275	290	300	**5.97%**	5.65%	5.65%
1494	Reconstituted Wood Product Manufacturing	19	0.00	217	169	175	160	**3.60%**	3.01%	19.68%
1499	Other Wood Product Manufacturing n.e.c.	19	9.15	217	169	175	160	**3.60%**	3.01%	19.68%
1510	Pulp, Paper and Paperboard Manufacturing	20	44.96	51	65	60	55	**1.24%**	1.04%	18.76%
1521	Corrugated Paperboard and Paperboard Container Manufacturing	20	10.58	51	65	60	55	**1.24%**	1.04%	18.76%
1522	Paper Bag Manufacturing	20	0.00	51	65	60	55	**1.24%**	1.04%	18.76%
1523	Paper Stationery Manufacturing	20	0.00	51	65	60	55	**1.24%**	1.04%	18.76%
1524	Sanitary Paper Product Manufacturing	20	0.00	51	65	60	55	**1.24%**	1.04%	18.76%
1529	Other Converted Paper Product Manufacturing	20	0.28	51	65	60	55	**1.24%**	1.04%	18.76%
1611	Printing	20	18.73	51	65	60	55	**1.24%**	1.04%	18.76%
1612	Printing Support Services	20	0.71	51	65	60	55	**1.24%**	1.04%	18.76%
1620	Reproduction of Recorded Media	20	0.93	51	65	60	55	**1.24%**	1.04%	18.76%
1701	Petroleum Refining and Petroleum Fuel Manufacturing	22	0.00	104	151	140	145	**2.88%**	2.73%	5.56%
1709	Other Petroleum and Coal Product Manufacturing	22	1.06	104	151	140	145	**2.88%**	2.73%	5.56%
1811	Industrial Gas Manufacturing	22	0.22	104	151	140	145	**2.88%**	2.73%	5.56%
1812	Basic Organic Chemical Manufacturing	22	1.54	104	151	140	145	**2.88%**	2.73%	5.56%
1813	Basic Inorganic Chemical Manufacturing	22	1.23	104	151	140	145	**2.88%**	2.73%	5.56%
1821	Synthetic Resin and Synthetic Rubber Manufacturing	22	2.69	104	151	140	145	**2.88%**	2.73%	5.56%
1829	Other Basic Polymer Manufacturing	22	3.33	104	151	140	145	**2.88%**	2.73%	5.56%
1831	Fertiliser Manufacturing	22	12.68	104	151	140	145	**2.88%**	2.73%	5.56%
1832	Pesticide Manufacturing	22	11.65	104	151	140	145	**2.88%**	2.73%	5.56%
1841	Human Pharmaceutical and Medicinal Product Manufacturing	23	28.67	39	75	65	60	**1.34%**	1.13%	18.41%
1842	Veterinary Pharmaceutical and Medicinal Product Manufacturing	23	2.60	39	75	65	60	**1.34%**	1.13%	18.41%
1851	Cleaning Compound Manufacturing	24	0.14	105	149	135	140	**2.78%**	2.64%	5.26%
1852	Cosmetic and Toiletry Preparation Manufacturing	24	1.23	105	149	135	140	**2.78%**	2.64%	5.26%
1891	Photographic Chemical Product Manufacturing	23	0.00	39	75	65	60	**1.34%**	1.13%	18.41%

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1892	Explosive Manufacturing	22	3.01	104	151	140	145	**2.88%**	2.73%	5.56%
1899	Other Basic Chemical Product Manufacturing n.e.c.	24	1.76	105	149	135	140	**2.78%**	2.64%	5.26%
1911	Polymer Film and Sheet Packaging Material Manufacturing	24	0.00	105	149	135	140	**2.78%**	2.64%	5.26%
1912	Rigid and Semi-Rigid Polymer Product Manufacturing	24	13.22	105	149	135	140	**2.78%**	2.64%	5.26%
1913	Polymer Foam Product Manufacturing	24	0.00	105	149	135	140	**2.78%**	2.64%	5.26%
1914	Tyre Manufacturing	25	0.11	165	160	145	130	**2.98%**	2.45%	21.83%
1915	Adhesive Manufacturing	24	0.00	105	149	135	140	**2.78%**	2.64%	5.26%
1916	Paint and Coatings Manufacturing	24	0.09	105	149	135	140	**2.78%**	2.64%	5.26%
1919	Other Polymer Product Manufacturing	25	11.69	165	160	145	130	**2.98%**	2.45%	21.83%
1920	Natural Rubber Product Manufacturing	25	11.36	165	160	145	130	**2.98%**	2.45%	21.83%
2010	Glass and Glass Product Manufacturing	26	3.97	158	91	115	130	**2.37%**	2.45%	-3.38%
2021	Clay Brick Manufacturing	26	4.20	158	91	115	130	**2.37%**	2.45%	-3.38%
2029	Other Ceramic Product Manufacturing	26	0.04	158	91	115	130	**2.37%**	2.45%	-3.38%
2031	Cement and Lime Manufacturing	26	19.48	158	91	115	130	**2.37%**	2.45%	-3.38%
2032	Plaster Product Manufacturing	26	0.41	158	91	115	130	**2.37%**	2.45%	-3.38%
2033	Ready-Mixed Concrete Manufacturing	26	9.29	158	91	115	130	**2.37%**	2.45%	-3.38%
2034	Concrete Product Manufacturing	26	29.36	158	91	115	130	**2.37%**	2.45%	-3.38%
2090	Other Non-Metallic Mineral Product Manufacturing	40	4.92	235	892	600	545	**12.35%**	10.00%	23.51%
2110	Iron Smelting and Steel Manufacturing	27	54.52	159	141	145	150	**2.98%**	2.82%	5.84%
2121	Iron and Steel Casting	27	6.05	159	141	145	150	**2.98%**	2.82%	5.84%
2122	Steel Pipe and Tube Manufacturing	27	5.32	159	141	145	150	**2.98%**	2.82%	5.84%
2131	Alumina Production	28	0.00	89	40	55	50	**1.13%**	0.94%	20.44%
2132	Aluminium Smelting	28	88.31	89	40	55	50	**1.13%**	0.94%	20.44%
2133	Copper, Silver, Lead and Zinc Smelting and Refining	27	0.61	159	141	145	150	**2.98%**	2.82%	5.84%
2139	Other Basic Non-Ferrous Metal Manufacturing	27	0.00	159	141	145	150	**2.98%**	2.82%	5.84%
2141	Non-Ferrous Metal Casting	26	0.00	158	91	115	130	**2.37%**	2.45%	-3.38%
2142	Aluminium Rolling, Drawing, Extruding	26	0.00	158	91	115	130	**2.37%**	2.45%	-3.38%
2149	Other Basic Non-Ferrous Metal Product Manufacturing	26	0.15	158	91	115	130	**2.37%**	2.45%	-3.38%
2210	Iron and Steel Forging	27	0.00	159	141	145	150	**2.98%**	2.82%	5.84%
2221	Structural Steel Fabricating	27	61.32	159	141	145	150	**2.98%**	2.82%	5.84%
2222	Prefabricated Metal Building Manufacturing	27	7.36	159	141	145	150	**2.98%**	2.82%	5.84%
2223	Architectural Aluminium Product Manufacturing	27	37.78	159	141	145	150	**2.98%**	2.82%	5.84%
2224	Metal Roof and Guttering Manufacturing (except Aluminium)	27	1.42	159	141	145	150	**2.98%**	2.82%	5.84%

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2229	Other Structural Metal Product Manufacturing	27	4.40	159	141	145	150	**2.98%**	2.82%	5.84%
2231	Boiler, Tank and Other Heavy Gauge Metal Container Manufacturing	27	9.99	159	141	145	150	**2.98%**	2.82%	5.84%
2239	Other Metal Container Manufacturing	27	5.42	159	141	145	150	**2.98%**	2.82%	5.84%
2240	Sheet Metal Product Manufacturing (except Metal Structural and Container Products)	27	12.74	159	141	145	150	**2.98%**	2.82%	5.84%
2291	Spring and Wire Product Manufacturing	27	0.00	159	141	145	150	**2.98%**	2.82%	5.84%
2292	Nut, Bolt, Screw and Rivet Manufacturing	27	0.00	159	141	145	150	**2.98%**	2.82%	5.84%
2293	Metal Coating and Finishing	27	7.57	159	141	145	150	**2.98%**	2.82%	5.84%
2299	Other Fabricated Metal Product Manufacturing n.e.c.	27	19.33	159	141	145	150	**2.98%**	2.82%	5.84%
2311	Motor Vehicle Manufacturing	29	0.34	104	126	120	110	**2.47%**	2.07%	19.33%
2312	Motor Vehicle Body and Trailer Manufacturing	29	18.38	104	126	120	110	**2.47%**	2.07%	19.33%
2313	Automotive Electrical Component Manufacturing	29	0.59	104	126	120	110	**2.47%**	2.07%	19.33%
2319	Other Motor Vehicle Parts Manufacturing	29	5.89	104	126	120	110	**2.47%**	2.07%	19.33%
2391	Shipbuilding and Repair Services	120	11.78	369	282	155	140	**3.19%**	2.64%	20.85%
2392	Boatbuilding and Repair Services	120	48.70	369	282	155	140	**3.19%**	2.64%	20.85%
2393	Railway Rolling Stock Manufacturing and Repair Services	29	0.00	104	126	120	110	**2.47%**	2.07%	19.33%
2394	Aircraft Manufacturing and Repair Services	29	1.70	104	126	120	110	**2.47%**	2.07%	19.33%
2399	Other Transport Equipment Manufacturing n.e.c.	29	0.06	104	126	120	110	**2.47%**	2.07%	19.33%
2411	Photographic, Optical and Ophthalmic Equipment Manufacturing	23	2.91	39	75	65	60	**1.34%**	1.13%	18.41%
2412	Medical and Surgical Equipment Manufacturing	23	0.91	39	75	65	60	**1.34%**	1.13%	18.41%
2419	Other Professional and Scientific Equipment Manufacturing	30	10.23	106	61	100	110	**2.06%**	2.07%	-0.56%
2421	Computer and Electronic Office Equipment Manufacturing	23	4.97	39	75	65	60	**1.34%**	1.13%	18.41%
2422	Communications Equipment Manufacturing	23	0.40	39	75	65	60	**1.34%**	1.13%	18.41%
2429	Other Electronic Equipment Manufacturing	23	4.94	39	75	65	60	**1.34%**	1.13%	18.41%
2431	Electric Cable and Wire Manufacturing	30	0.71	106	61	100	110	**2.06%**	2.07%	-0.56%
2432	Electric Lighting Equipment Manufacturing	30	2.99	106	61	100	110	**2.06%**	2.07%	-0.56%
2439	Other Electrical Equipment Manufacturing	30	6.39	106	61	100	110	**2.06%**	2.07%	-0.56%
2441	Whiteware Appliance Manufacturing	30	0.00	106	61	100	110	**2.06%**	2.07%	-0.56%
2449	Other Domestic Appliance Manufacturing	30	0.17	106	61	100	110	**2.06%**	2.07%	-0.56%
2451	Pump and Compressor Manufacturing	26	0.20	158	91	115	130	**2.37%**	2.45%	-3.38%
2452	Fixed Space Heating, Cooling and Ventilation Equipment Manufacturing	26	0.50	158	91	115	130	**2.37%**	2.45%	-3.38%
2461	Agricultural Machinery and Equipment Manufacturing	27	8.25	159	141	145	150	**2.98%**	2.82%	5.84%
2462	Mining and Construction Machinery Manufacturing	31	48.33	12	33	30	35	**0.62%**	0.66%	-6.43%
2463	Machine Tool and Parts Manufacturing	27	6.02	159	141	145	150	**2.98%**	2.82%	5.84%

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2469	Other Specialised Machinery and Equipment Manufacturing	26	2.02	158	91	115	130	**2.37%**	2.45%	-3.38%
2491	Lifting and Material Handling Equipment Manufacturing	27	24.61	159	141	145	150	**2.98%**	2.82%	5.84%
2499	Other Machinery and Equipment Manufacturing n.e.c.	26	14.66	158	91	115	130	**2.37%**	2.45%	-3.38%
2511	Wooden Furniture and Upholstered Seat Manufacturing	30	43.07	106	61	100	110	**2.06%**	2.07%	-0.56%
2512	Metal Furniture Manufacturing	26	0.00	158	91	115	130	**2.37%**	2.45%	-3.38%
2513	Mattress Manufacturing	26	2.61	158	91	115	130	**2.37%**	2.45%	-3.38%
2519	Other Furniture Manufacturing	26	4.42	158	91	115	130	**2.37%**	2.45%	-3.38%
2591	Jewellery and Silverware Manufacturing	23	2.01	39	75	65	60	**1.34%**	1.13%	18.41%
2592	Toy, Sporting and Recreational Product Manufacturing	26	2.11	158	91	115	130	**2.37%**	2.45%	-3.38%
2599	Other Manufacturing n.e.c.	27	2.16	159	141	145	150	**2.98%**	2.82%	5.84%
2611	Fossil Fuel Electricity Generation	32	0.00	34	43	40	40	**0.82%**	0.75%	9.78%
2612	Hydro-Electricity Generation	32	335.00	34	43	40	40	**0.82%**	0.75%	9.78%
2619	Other Electricity Generation	32	6.16	34	43	40	40	**0.82%**	0.75%	9.78%
2620	Electricity Transmission	32	0.24	34	43	40	40	**0.82%**	0.75%	9.78%
2630	Electricity Distribution	32	9.73	34	43	40	40	**0.82%**	0.75%	9.78%
2640	On Selling Electricity and Electricity Market Operation	32	39.43	34	43	40	40	**0.82%**	0.75%	9.78%
2700	Gas Supply	33	17.91	51	81	70	75	**1.44%**	1.41%	2.19%
2811	Water Supply	33	141.66	51	81	70	75	**1.44%**	1.41%	2.19%
2812	Sewerage and Drainage Services	34	2.51	108	161	130	120	**2.68%**	2.26%	18.41%
2911	Solid Waste Collection Services	35	51.43	103	124	130	145	**2.68%**	2.73%	-1.98%
2919	Other Waste Collection Services	35	4.22	103	124	130	145	**2.68%**	2.73%	-1.98%
2921	Waste Treatment and Disposal Services	35	1.63	103	124	130	145	**2.68%**	2.73%	-1.98%
2922	Waste Remediation and Materials Recovery Services	35	8.80	103	124	130	145	**2.68%**	2.73%	-1.98%
3011	House Construction	36	260.82	147	120	125	140	**2.57%**	2.64%	-2.54%
3019	Other Residential Building Construction	126	38.47	**370**	**179**	**170**	**140**	**3.50%**	**2.64%**	**32.55%**
3020	Non-Residential Building Construction	38	**198.75**	127	114	120	120	**2.47%**	2.26%	9.30%
3101	Road and Bridge Construction	38	108.13	127	114	120	120	**2.47%**	2.26%	9.30%
3109	Other Heavy and Civil Engineering Construction	39	133.32	86	159	140	150	**2.88%**	2.82%	2.19%
3211	Land Development and Subdivision	39	1.24	86	159	140	150	**2.88%**	2.82%	2.19%
3212	Site Preparation Services	34	282.09	108	161	130	120	**2.68%**	2.26%	18.41%
3221	Concreting Services	37	39.02	157	181	175	170	**3.60%**	3.20%	12.57%
3222	Bricklaying Services	37	11.14	157	181	175	170	**3.60%**	3.20%	12.57%
3223	Roofing Services	37	25.16	157	181	175	170	**3.60%**	3.20%	12.57%

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3224	Structural Steel Erection Services	37	2.77	157	181	175	170	**3.60%**	3.20%	12.57%
3231	Plumbing Services	41	90.40	136	155	145	130	**2.98%**	2.45%	21.83%
3232	Electrical Services	42	244.33	77	77	80	75	**1.65%**	1.41%	16.79%
3233	Air Conditioning and Heating Services	41	75.62	136	155	145	130	**2.98%**	2.45%	21.83%
3234	Fire and Security Alarm Installation Services	123	32.74	118	65	105	130	**2.16%**	2.45%	-11.78%
3239	Other Building Installation Services	123	15.05	118	65	105	130	**2.16%**	2.45%	-11.78%
3241	Plastering and Ceiling Services	123	33.46	118	65	105	130	**2.16%**	2.45%	-11.78%
3242	Carpentry Services	41	28.74	136	155	145	130	**2.98%**	2.45%	21.83%
3243	Tiling and Carpeting Services	41	13.70	136	155	145	130	**2.98%**	2.45%	21.83%
3244	Painting and Decorating Services	41	41.95	136	155	145	130	**2.98%**	2.45%	21.83%
3245	Glazing Services	37	18.71	157	181	175	170	**3.60%**	3.20%	12.57%
3291	Landscape Construction Services	43	23.46	210	228	220	215	**4.53%**	4.05%	11.82%
3292	Hire of Construction Machinery with Operator	37	14.24	157	181	175	170	**3.60%**	3.20%	12.57%
3299	Other Construction Services n.e.c.	37	40.17	157	181	175	170	**3.60%**	3.20%	12.57%
3311	Wool Wholesaling	44	3.14	60	57	60	65	**1.24%**	1.22%	1.23%
3312	Cereal Grain Wholesaling	44	1.96	60	57	60	65	**1.24%**	1.22%	1.23%
3319	Other Agricultural Product Wholesaling	44	58.61	60	57	60	65	**1.24%**	1.22%	1.23%
3321	Petroleum Product Wholesaling	45	38.70	134	164	140	125	**2.88%**	2.35%	22.63%
3322	Metal and Mineral Wholesaling	45	21.21	134	164	140	125	**2.88%**	2.35%	22.63%
3323	Industrial and Agricultural Chemical Product Wholesaling	46	21.85	65	88	85	75	**1.75%**	1.41%	24.09%
3331	Timber Wholesaling	46	12.86	65	88	85	75	**1.75%**	1.41%	24.09%
3332	Plumbing Goods Wholesaling	46	13.99	65	88	85	75	**1.75%**	1.41%	24.09%
3339	Other Hardware Goods Wholesaling	58	83.71	102	106	105	110	**2.16%**	2.07%	4.41%
3411	Agricultural and Construction Machinery Wholesaling	44	66.73	60	57	60	65	**1.24%**	1.22%	1.23%
3419	Other Specialised Industrial Machinery and Equipment Wholesaling	44	21.38	60	57	60	65	**1.24%**	1.22%	1.23%
3491	Professional and Scientific Goods Wholesaling	47	27.98	49	61	50	45	**1.03%**	0.85%	21.08%
3492	Computer and Computer Peripheral Wholesaling	47	5.43	49	61	50	45	**1.03%**	0.85%	21.08%
3493	Telecommunication Goods Wholesaling	47	1.60	49	61	50	45	**1.03%**	0.85%	21.08%
3494	Other Electrical and Electronic Good Wholesaling	47	56.94	49	61	50	45	**1.03%**	0.85%	21.08%
3499	Other Machinery and Equipment Wholesaling n.e.c.	47	27.93	49	61	50	45	**1.03%**	0.85%	21.08%
3501	Car Wholesaling	121	0.30	182	125	105	95	**2.16%**	1.79%	20.75%
3502	Commercial Vehicle Wholesaling	121	23.67	182	125	105	95	**2.16%**	1.79%	20.75%
3503	Trailer and Other Motor Vehicle Wholesaling	121	0.00	182	125	105	95	**2.16%**	1.79%	20.75%

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3504	Motor Vehicle New Parts Wholesaling	121	23.92	182	125	105	95	**2.16%**	1.79%	20.75%
3505	Motor Vehicle Dismantling and Used Parts Wholesaling	121	4.42	182	125	105	95	**2.16%**	1.79%	20.75%
3601	General Line Grocery Wholesaling	49	36.92	120	117	115	125	**2.37%**	2.35%	0.73%
3602	Meat, Poultry and Smallgoods Wholesaling	49	2.42	120	117	115	125	**2.37%**	2.35%	0.73%
3603	Dairy Produce Wholesaling	49	0.74	120	117	115	125	**2.37%**	2.35%	0.73%
3604	Fish and Seafood Wholesaling	49	7.58	120	117	115	125	**2.37%**	2.35%	0.73%
3605	Fruit and Vegetable Wholesaling	49	42.08	120	117	115	125	**2.37%**	2.35%	0.73%
3606	Liquor and Tobacco Product Wholesaling	50	13.37	55	92	85	75	**1.75%**	1.41%	24.09%
3609	Other Grocery Wholesaling	49	53.31	120	117	115	125	**2.37%**	2.35%	0.73%
3711	Textile Product Wholesaling	50	2.62	55	92	85	75	**1.75%**	1.41%	24.09%
3712	Clothing and Footwear Wholesaling	50	5.21	55	92	85	75	**1.75%**	1.41%	24.09%
3720	Pharmaceutical and Toiletry Goods Wholesaling	50	22.07	55	92	85	75	**1.75%**	1.41%	24.09%
3731	Furniture and Floor Covering Wholesaling	50	4.67	55	92	85	75	**1.75%**	1.41%	24.09%
3732	Jewellery and Watch Wholesaling	50	0.27	55	92	85	75	**1.75%**	1.41%	24.09%
3733	Kitchen and Diningware Wholesaling	50	3.00	55	92	85	75	**1.75%**	1.41%	24.09%
3734	Toy and Sporting Goods Wholesaling	50	1.09	55	92	85	75	**1.75%**	1.41%	24.09%
3735	Book and Magazine Wholesaling	50	0.34	55	92	85	75	**1.75%**	1.41%	24.09%
3736	Paper Product Wholesaling	46	4.27	65	88	85	75	**1.75%**	1.41%	24.09%
3739	Other Goods Wholesaling n.e.c.	46	6.42	65	88	85	75	**1.75%**	1.41%	24.09%
3800	Commission-Based Wholesaling	50	13.68	55	92	85	75	**1.75%**	1.41%	24.09%
3911	Car Retailing	48	124.27	87	63	70	70	**1.44%**	1.32%	9.16%
3912	Motor Cycle Retailing	48	7.95	87	63	70	70	**1.44%**	1.32%	9.16%
3913	Trailer and Other Motor Vehicle Retailing	48	3.06	87	63	70	70	**1.44%**	1.32%	9.16%
3921	Motor Vehicle Parts Retailing	48	17.64	87	63	70	70	**1.44%**	1.32%	9.16%
3922	Tyre Retailing	51	23.88	96	113	135	150	**2.78%**	2.82%	-1.46%
4000	Fuel Retailing	52	47.72	96	115	115	125	**2.37%**	2.35%	0.73%
4110	Supermarket and Grocery Stores	53	80.27	84	87	75	70	**1.54%**	1.32%	16.96%
4121	Fresh Meat, Fish and Poultry Retailing	52	21.68	96	115	115	125	**2.37%**	2.35%	0.73%
4122	Fruit and Vegetable Retailing	52	14.81	96	115	115	125	**2.37%**	2.35%	0.73%
4123	Liquor Retailing	53	28.28	84	87	75	70	**1.54%**	1.32%	16.96%
4129	Other Specialised Food Retailing	52	54.68	96	115	115	125	**2.37%**	2.35%	0.73%
4211	Furniture Retailing	58	23.78	102	106	105	110	**2.16%**	2.07%	4.41%
4212	Floor Coverings Retailing	55	18.70	94	59	75	85	**1.54%**	1.60%	-3.51%

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4213	Houseware Retailing	54	5.34	81	89	70	65	**1.44%**	1.22%	18.11%
4214	Manchester and Other Textile Goods Retailing	55	12.82	94	59	75	85	**1.54%**	1.60%	-3.51%
4221	Electrical, Electronic and Gas Appliance Retailing	54	44.75	81	89	70	65	**1.44%**	1.22%	18.11%
4222	Computer and Computer Peripheral Retailing	56	3.40	31	17	40	45	**0.82%**	0.85%	-3.13%
4229	Other Electrical and Electronic Goods Retailing	57	7.54	24	59	45	40	**0.93%**	0.75%	23.51%
4231	Hardware and Building Supplies Retailing	58	77.88	102	106	105	110	**2.16%**	2.07%	4.41%
4232	Garden Supplies Retailing	58	15.30	102	106	105	110	**2.16%**	2.07%	4.41%
4241	Sport and Camping Equipment Retailing	124	29.99	75	58	55	45	**1.13%**	0.85%	33.19%
4242	Entertainment Media Retailing	56	1.66	31	17	40	45	**0.82%**	0.85%	-3.13%
4243	Toy and Game Retailing	56	6.50	31	17	40	45	**0.82%**	0.85%	-3.13%
4244	Newspaper and Book Retailing	56	21.15	31	17	40	45	**0.82%**	0.85%	-3.13%
4245	Marine Equipment Retailing	56	10.55	31	17	40	45	**0.82%**	0.85%	-3.13%
4251	Clothing Retailing	124	60.79	75	58	55	45	**1.13%**	0.85%	33.19%
4252	Footwear Retailing	56	11.84	31	17	40	45	**0.82%**	0.85%	-3.13%
4253	Watch and Jewellery Retailing	57	15.79	24	59	45	40	**0.93%**	0.75%	23.51%
4259	Other Personal Accessory Retailing	56	2.69	31	17	40	45	**0.82%**	0.85%	-3.13%
4260	Department Stores	54	12.44	81	89	70	65	**1.44%**	1.22%	18.11%
4271	Pharmaceutical, Cosmetic and Toiletry Goods Retailing	56	111.98	31	17	40	45	**0.82%**	0.85%	-3.13%
4272	Stationery Goods Retailing	54	7.19	81	89	70	65	**1.44%**	1.22%	18.11%
4273	Antique and Used Goods Retailing	55	5.83	**94**	**59**	**75**	**80**	**1.54%**	**1.51%**	**2.24%**
4274	Flower Retailing	54	**3.85**	81	89	70	65	**1.44%**	1.22%	18.11%
4279	Other Store-Based Retailing n.e.c.	55	64.53	**94**	**59**	**75**	**80**	**1.54%**	**1.51%**	**2.24%**
4310	Non-Store Retailing	55	**5.49**	94	59	75	85	**1.54%**	1.60%	-3.51%
4320	Retail Commission-Based Buying and/or Selling	55	0.74	94	59	75	85	**1.54%**	1.60%	-3.51%
4400	Accommodation	60	240.65	111	101	105	100	**2.16%**	1.88%	14.97%
4511	Cafes and Restaurants	61	304.22	69	59	60	55	**1.24%**	1.04%	18.76%
4512	Takeaway Food Services	62	153.99	136	50	70	75	**1.44%**	1.41%	2.19%
4513	Catering Services	61	10.96	69	59	60	55	**1.24%**	1.04%	18.76%
4520	Pubs, Taverns and Bars	60	156.84	111	101	105	100	**2.16%**	1.88%	14.97%
4530	Clubs (Hospitality)	63	15.99	121	173	120	110	**2.47%**	2.07%	19.33%
4610	Road Freight Transport	64	258.33	158	243	220	225	**4.53%**	4.24%	6.81%
4621	Interurban and Rural Bus Transport	65	24.86	58	58	95	105	**1.96%**	1.98%	-1.24%
4622	Urban Bus Transport (Including Tramway)	66	60.12	222	221	205	185	**4.22%**	3.48%	21.26%

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4623	Taxi and Other Road Transport	65	3.95	58	58	95	105	**1.96%**	1.98%	-1.24%
4710	Rail Freight Transport	67	37.54	104	124	110	100	**2.26%**	1.88%	20.44%
4720	Rail Passenger Transport	67	0.00	104	124	110	100	**2.26%**	1.88%	20.44%
4810	Water Freight Transport	67	20.90	104	124	110	100	**2.26%**	1.88%	20.44%
4820	Water Passenger Transport	67	74.26	104	124	110	100	**2.26%**	1.88%	20.44%
4900	Air and Space Transport	68	38.14	44	74	70	70	**1.44%**	1.32%	9.16%
5010	Scenic and Sightseeing Transport	65	17.30	58	58	95	105	**1.96%**	1.98%	-1.24%
5021	Pipeline Transport	69	0.00	192	291	220	200	**4.53%**	3.77%	20.12%
5029	Other Transport n.e.c.	69	0.64	192	291	220	200	**4.53%**	3.77%	20.12%
5101	Postal Services	21	19.16	122	280	195	175	**4.01%**	3.30%	21.63%
5102	Courier Pick-up and Delivery Services	21	22.60	122	280	195	175	**4.01%**	3.30%	21.63%
5211	Stevedoring Services	70	91.97	104	212	185	175	**3.81%**	3.30%	15.40%
5212	Port and Water Transport Terminal Operations	71	78.38	52	63	65	60	**1.34%**	1.13%	18.41%
5219	Other Water Transport Support Services	71	15.39	52	63	65	60	**1.34%**	1.13%	18.41%
5220	Airport Operations and Other Air Transport Support Services	72	37.75	106	74	85	80	**1.75%**	1.51%	15.87%
5291	Customs Agency Services	73	0.37	33	21	30	35	**0.62%**	0.66%	-6.43%
5292	Freight Forwarding Services	74	10.65	46	111	120	135	**2.47%**	2.54%	-2.75%
5299	Other Transport Support Services n.e.c.	69	7.78	192	291	220	200	**4.53%**	3.77%	20.12%
5301	Grain Storage Services	75	0.06	114	203	95	85	**1.96%**	1.60%	22.22%
5309	Other Warehousing and Storage Services	75	21.07	114	203	95	85	**1.96%**	1.60%	22.22%
5411	Newspaper Publishing	20	23.04	51	65	60	55	**1.24%**	1.04%	18.76%
5412	Magazine and Other Periodical Publishing	20	1.16	51	65	60	55	**1.24%**	1.04%	18.76%
5413	Book Publishing	20	1.05	51	65	60	55	**1.24%**	1.04%	18.76%
5414	Directory and Mailing List Publishing	20	0.42	51	65	60	55	**1.24%**	1.04%	18.76%
5419	Other Publishing (except Software, Music and Internet)	20	0.70	51	65	60	55	**1.24%**	1.04%	18.76%
5420	Software Publishing	20	6.18	51	65	60	55	**1.24%**	1.04%	18.76%
5511	Motion Picture and Video Production	76	15.10	29	38	30	25	**0.62%**	0.47%	31.39%
5512	Motion Picture and Video Distribution	76	0.00	29	38	30	25	**0.62%**	0.47%	31.39%
5513	Motion Picture Exhibition	76	7.42	29	38	30	25	**0.62%**	0.47%	31.39%
5514	Post-production Services and Other Motion Picture and Video Activities	76	1.54	29	38	30	25	**0.62%**	0.47%	31.39%
5521	Music Publishing	76	0.49	29	38	30	25	**0.62%**	0.47%	31.39%
5522	Music and Other Sound Recording Activities	76	0.50	29	38	30	25	**0.62%**	0.47%	31.39%
5610	Radio Broadcasting	76	21.05	29	38	30	25	**0.62%**	0.47%	31.39%

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5621	Free-to-Air Television Broadcasting	76	2.92	29	38	30	25	**0.62%**	0.47%	31.39%
5622	Cable and Other Subscription Broadcasting	76	1.56	29	38	30	25	**0.62%**	0.47%	31.39%
5700	Internet Publishing and Broadcasting	20	1.70	51	65	60	55	**1.24%**	1.04%	18.76%
5801	Wired Telecommunications Network Operation	77	5.29	44	39	70	80	**1.44%**	1.51%	-4.58%
5802	Other Telecommunications Network Operation	77	23.18	44	39	70	80	**1.44%**	1.51%	-4.58%
5809	Other Telecommunications Services	77	13.34	44	39	70	80	**1.44%**	1.51%	-4.58%
5910	Internet Service Providers and Web Search Portals	77	8.61	44	39	70	80	**1.44%**	1.51%	-4.58%
5921	Data Processing and Web Hosting Services	78	7.71	43	33	35	35	**0.72%**	0.66%	9.16%
5922	Electronic Information Storage Services	78	1.86	43	33	35	35	**0.72%**	0.66%	9.16%
6010	Libraries and Archives	78	0.03	43	33	35	35	**0.72%**	0.66%	9.16%
6020	Other Information Services	76	0.38	29	38	30	25	**0.62%**	0.47%	31.39%
6210	Central Banking	80	0.30	12	11	15	15	**0.40%**	0.40%	-0.03%
6221	Banking	80	35.93	12	11	15	15	**0.40%**	0.40%	-0.03%
6222	Building Society Operation	80	23.95	12	11	15	15	**0.40%**	0.40%	-0.03%
6223	Credit Union Operation	80	0.17	12	11	15	15	**0.40%**	0.40%	-0.03%
6229	Other Depository Financial Intermediation	80	8.01	12	11	15	15	**0.40%**	0.40%	-0.03%
6230	Non-Depository Financing	80	4.36	12	11	15	15	**0.40%**	0.40%	-0.03%
6240	Financial Asset Investing	80	6.91	12	11	15	15	**0.40%**	0.40%	-0.03%
6310	Life Insurance	80	1.88	12	11	15	15	**0.40%**	0.40%	-0.03%
6321	Health Insurance	80	28.38	12	11	15	15	**0.40%**	0.40%	-0.03%
6322	General Insurance	81	31.30	15	34	40	45	**0.82%**	0.85%	-3.13%
6330	Superannuation Funds	80	82.54	12	11	15	15	**0.40%**	0.40%	-0.03%
6411	Financial Asset Broking Services	80	17.80	12	11	15	15	**0.40%**	0.40%	-0.03%
6419	Other Auxiliary Finance and Investment Services	82	81.22	12	7	25	30	**0.51%**	0.56%	-8.11%
6420	Auxiliary Insurance Services	82	62.72	12	7	25	30	**0.51%**	0.56%	-8.11%
6611	Passenger Car Rental and Hiring	48	36.46	87	63	70	70	**1.44%**	1.32%	9.16%
6619	Other Motor Vehicle and Transport Equipment Rental and Hiring	83	13.51	69	75	75	85	**1.54%**	1.60%	-3.51%
6620	Farm Animal and Bloodstock Leasing	5	0.00	223	184	225	250	**4.63%**	4.71%	-1.67%
6631	Heavy Machinery and Scaffolding Rental and Hiring	83	18.60	69	75	75	85	**1.54%**	1.60%	-3.51%
6632	Video and Other Electronic Media Rental and Hiring	76	0.23	29	38	30	25	**0.62%**	0.47%	31.39%
6639	Other Goods and Equipment Rental and Hiring n.e.c.	59	14.06	117	121	90	80	**1.85%**	1.51%	22.69%
6640	Non-Financial Intangible Assets (Except Copyrights) Leasing	80	0.01	12	11	15	15	**0.40%**	0.40%	-0.03%
6711	Residential Property Operators	84	18.20	93	90	75	70	**1.54%**	1.32%	16.96%

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6712	Non-Residential Property Operators	84	10.69	93	90	75	70	**1.54%**	1.32%	16.96%
6720	Real Estate Services	80	175.69	12	11	15	15	**0.40%**	0.40%	-0.03%
6910	Scientific Research Services	85	25.32	16	22	20	20	**0.41%**	0.40%	2.92%
6921	Architectural Services	85	53.65	16	22	20	20	**0.41%**	0.40%	2.92%
6922	Surveying and Mapping Services	85	39.84	16	22	20	20	**0.41%**	0.40%	2.92%
6923	Engineering Design and Engineering Consulting Services	85	248.85	16	22	20	20	**0.41%**	0.40%	2.92%
6924	Other Specialised Design Services	73	16.22	33	21	30	35	**0.62%**	0.66%	-6.43%
6925	Scientific Testing and Analysis Services	85	23.69	16	22	20	20	**0.41%**	0.40%	2.92%
6931	Legal Services	80	145.78	12	11	15	15	**0.40%**	0.40%	-0.03%
6932	Accounting Services	80	143.84	12	11	15	15	**0.40%**	0.40%	-0.03%
6940	Advertising Services	73	21.67	33	21	30	35	**0.62%**	0.66%	-6.43%
6950	Market Research and Statistical Services	73	8.00	33	21	30	35	**0.62%**	0.66%	-6.43%
6961	Corporate Head Office Management Services	125	53.31	77	62	40	40	**0.82%**	0.75%	9.78%
6962	Management Advice and Related Consulting Services	86	221.36	21	22	35	40	**0.72%**	0.75%	-3.94%
6970	Veterinary Services	87	67.84	166	81	100	105	**2.06%**	1.98%	3.96%
6991	Professional Photographic Services	59	3.17	117	121	90	80	**1.85%**	1.51%	22.69%
6999	Other Professional, Scientific and Technical Services n.e.c.	85	18.61	16	22	20	20	**0.41%**	0.40%	2.92%
7000	Computer System Design and Related Services	80	270.97	12	11	15	15	**0.40%**	0.40%	-0.03%
7211	Employment Placement and Recruitment Services	88	64.73	79	90	115	130	**2.37%**	2.45%	-3.38%
7212	Labour Supply Services	89	95.59	219	209	210	190	**4.32%**	3.58%	20.75%
7220	Travel Agency and Tour Arrangement Services	57	20.83	24	59	45	40	**0.93%**	0.75%	23.51%
7291	Office Administrative Services	73	101.15	33	21	30	35	**0.62%**	0.66%	-6.43%
7292	Document Preparation Services	20	0.85	51	65	60	55	**1.24%**	1.04%	18.76%
7293	Credit Reporting and Debt Collection Services	73	3.01	33	21	30	35	**0.62%**	0.66%	-6.43%
7294	Call Centre Operation	73	16.43	33	21	30	35	**0.62%**	0.66%	-6.43%
7299	Other Administrative Services n.e.c.	73	24.85	33	21	30	35	**0.62%**	0.66%	-6.43%
7311	Building and Other Industrial Cleaning Services	90	84.41	165	183	175	180	**3.60%**	3.39%	6.26%
7312	Building Pest Control Services	90	7.03	165	183	175	180	**3.60%**	3.39%	6.26%
7313	Gardening Services	43	20.09	210	228	220	215	**4.53%**	4.05%	11.82%
7320	Packaging Services	20	2.96	51	65	60	55	**1.24%**	1.04%	18.76%
7510	Central Government Administration	86	1.56	21	22	35	40	**0.72%**	0.75%	-3.94%
7520	State Government Administration	86	1.88	21	22	35	40	**0.72%**	0.75%	-3.94%
7530	Local Government Administration	93	383.63	158	123	135	135	**2.78%**	2.54%	9.40%

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7540	Justice	86	0.00	21	22	35	40	**0.72%**	0.75%	-3.94%
7551	Domestic Government Representation	86	0.00	21	22	35	40	**0.72%**	0.75%	-3.94%
7552	Foreign Government Representation	86	0.04	21	22	35	40	**0.72%**	0.75%	-3.94%
7600	Defence	86	0.00	21	22	35	40	**0.72%**	0.75%	-3.94%
7711	Police Services	94	0.00	60	11	160	180	**3.29%**	3.39%	-2.85%
7712	Investigation and Security Services	95	42.39	50	121	140	155	**2.88%**	2.92%	-1.31%
7713	Fire Protection and Other Emergency Services	95	0.06	50	121	140	155	**2.88%**	2.92%	-1.31%
7714	Correctional and Detention Services	94	0.83	60	11	160	180	**3.29%**	3.39%	-2.85%
7719	Other Public Order and Safety Services	94	9.78	60	11	160	180	**3.29%**	3.39%	-2.85%
7720	Regulatory Services	86	2.90	21	22	35	40	**0.72%**	0.75%	-3.94%
8010	Preschool Education	96	2.88	79	50	55	50	**1.13%**	0.94%	20.44%
8021	Primary Education	96	7.44	79	50	55	50	**1.13%**	0.94%	20.44%
8022	Secondary Education	96	15.07	79	50	55	50	**1.13%**	0.94%	20.44%
8023	Combined Primary and Secondary Education	96	461.64	79	50	55	50	**1.13%**	0.94%	20.44%
8024	Special School Education	97	3.48	109	119	120	135	**2.47%**	2.54%	-2.75%
8101	Technical and Vocational Education and Training	96	63.21	79	50	55	50	**1.13%**	0.94%	20.44%
8102	Higher Education	98	461.57	9	22	15	15	**0.40%**	0.40%	-0.03%
8211	Sports and Physical Recreation Instruction	99	12.31	79	46	75	85	**1.54%**	1.60%	-3.51%
8212	Arts Education	97	4.03	109	119	120	135	**2.47%**	2.54%	-2.75%
8219	Adult, Community and Other Education n.e.c.	97	26.81	109	119	120	135	**2.47%**	2.54%	-2.75%
8220	Educational Support Services	96	4.65	79	50	55	50	**1.13%**	0.94%	20.44%
8401	Hospitals (Except Psychiatric Hospitals)	100	262.98	71	74	75	75	**1.54%**	1.41%	9.49%
8402	Psychiatric Hospitals	100	7.50	71	74	75	75	**1.54%**	1.41%	9.49%
8511	General Practice Medical Services	101	127.18	21	21	25	25	**0.51%**	0.47%	9.49%
8512	Specialist Medical Services	101	109.07	21	21	25	25	**0.51%**	0.47%	9.49%
8520	Pathology and Diagnostic Imaging Services	102	109.64	39	43	45	40	**0.93%**	0.75%	23.51%
8531	Dental Services	102	61.02	39	43	45	40	**0.93%**	0.75%	23.51%
8532	Optometry and Optical Dispensing	103	30.09	24	3	15	15	**0.40%**	0.40%	-0.03%
8533	Physiotherapy Services	101	46.65	21	21	25	25	**0.51%**	0.47%	9.49%
8534	Chiropractic and Osteopathic Services	101	6.32	21	21	25	25	**0.51%**	0.47%	9.49%
8539	Other Allied Health Services	105	120.28	142	120	125	115	**2.57%**	2.17%	18.57%
8591	Ambulance Services	100	9.14	71	74	75	75	**1.54%**	1.41%	9.49%
8599	Other Health Care Services n.e.c.	105	108.78	142	120	125	115	**2.57%**	2.17%	18.57%

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8601	Aged Care Residential Services	106	524.92	195	188	185	205	**3.81%**	3.86%	-1.34%
8609	Other Residential Care Services	107	311.45	139	157	150	150	**3.09%**	2.82%	9.49%
8710	Child Care Services	105	165.08	142	120	125	115	**2.57%**	2.17%	18.57%
8790	Other Social Assistance Services	104	639.20	168	173	170	170	**3.50%**	3.20%	9.35%
8910	Museum Operation	78	39.32	43	33	35	35	**0.72%**	0.66%	9.16%
8921	Zoological and Botanical Gardens Operation	63	6.71	121	173	120	110	**2.47%**	2.07%	19.33%
8922	Nature Reserves and Conservation Parks Operation	63	2.65	121	173	120	110	**2.47%**	2.07%	19.33%
9001	Performing Arts Operation	63	14.76	121	173	120	110	**2.47%**	2.07%	19.33%
9002	Creative Artists, Musicians, Writers and Performers	63	4.29	121	173	120	110	**2.47%**	2.07%	19.33%
9003	Performing Arts Venue Operation	63	5.69	121	173	120	110	**2.47%**	2.07%	19.33%
9111	Health and Fitness Centres and Gymnasia Operation	99	25.72	79	46	75	85	**1.54%**	1.60%	-3.51%
9112	Sports and Physical Recreation Clubs and Sports Professionals	99	11.98	79	46	75	85	**1.54%**	1.60%	-3.51%
9113	Sports and Physical Recreation Venues, Grounds and Facilities Operation	99	20.39	79	46	75	85	**1.54%**	1.60%	-3.51%
9114	Sports and Physical Recreation Administrative Service	99	19.74	79	46	75	85	**1.54%**	1.60%	-3.51%
9121	Horse and Dog Racing Administration and Track Operation	110	0.89	360	454	420	445	**8.65%**	8.38%	3.17%
9129	Other Horse and Dog Racing Activities	110	17.32	360	454	420	445	**8.65%**	8.38%	3.17%
9131	Amusement Parks and Centres Operation	119	2.82	227	167	340	375	**7.00%**	7.06%	-0.87%
9139	Amusement and Other Recreational Activities n.e.c.	119	19.52	227	167	340	375	**7.00%**	7.06%	-0.87%
9201	Casino Operation	111	125.84	102	97	100	100	**2.06%**	1.88%	9.49%
9202	Lottery Operation	111	0.38	102	97	100	100	**2.06%**	1.88%	9.49%
9209	Other Gambling Activities	111	1.43	102	97	100	100	**2.06%**	1.88%	9.49%
9411	Automotive Electrical Services	29	11.57	104	126	120	110	**2.47%**	2.07%	19.33%
9412	Automotive Body, Paint and Interior Repair	51	58.81	96	113	135	150	**2.78%**	2.82%	-1.46%
9419	Other Automotive Repair and Maintenance	42	87.92	77	77	80	75	**1.65%**	1.41%	16.79%
9421	Domestic Appliance Repair and Maintenance	113	6.58	124	100	105	115	**2.16%**	2.17%	-0.40%
9422	Electronic (except Domestic Appliance) and Precision Equipment Repair and Maintenance	78	19.50	43	33	35	35	**0.72%**	0.66%	9.16%
9429	Other Machinery and Equipment Repair and Maintenance	113	80.11	124	100	105	115	**2.16%**	2.17%	-0.40%
9491	Clothing and Footwear Repair	56	1.29	32	17	40	45	**0.82%**	0.85%	-3.13%
9499	Other Repair and Maintenance n.e.c.	113	3.83	124	100	105	115	**2.16%**	2.17%	-0.40%
9511	Hairdressing and Beauty Services	114	62.52	51	73	55	50	**1.13%**	0.94%	20.44%
9512	Diet and Weight Reduction Centre Operation	114	0.00	51	73	55	50	**1.13%**	0.94%	20.44%
9520	Funeral, Crematorium and Cemetery Services	59	13.18	117	121	90	80	**1.85%**	1.51%	22.69%
9531	Laundry and Dry-Cleaning Services	116	33.46	390	265	260	235	**5.35%**	4.43%	20.81%

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ANZSIC Class	ANZSIC06 Class Description	Rel. Group	Estimated Wages for 2025/26 ($ million)	Claim Freq. Rel. (last 3 yrs.)	Attritional Payment Rel. (last 5 yrs.)	2025/26 Selected Relativity	2024/25 Selected Relativity	2025/26 Suggested Premium Rate	2024/25 Suggested Premium Rate	Premium Rate Change
9532	Photographic Film Processing	59	0.01	117	121	90	80	**1.85%**	1.51%	22.69%
9533	Parking Services	68	2.77	44	74	70	70	**1.44%**	1.32%	9.16%
9534	Brothel Keeping and Prostitution Services	114	0.00	51	73	55	50	**1.13%**	0.94%	20.44%
9539	Other Personal Services n.e.c.	114	8.06	51	73	55	50	**1.13%**	0.94%	20.44%
9540	Religious Services	117	79.10	98	111	110	120	**2.26%**	2.26%	0.19%
9551	Business and Professional Association Services	125	74.16	77	62	40	35	**0.82%**	0.66%	24.75%
9552	Labour Association Services	125	19.94	77	62	40	35	**0.82%**	0.66%	24.75%
9559	Other Interest Group Services n.e.c.	118	104.92	74	114	105	100	**2.16%**	1.88%	14.97%
9601	Private Households Employing Staff	114	1.92	51	73	55	50	**1.13%**	0.94%	20.44%
9602	Undifferentiated Goods- Producing Activities of Private Households for Own Use	114	0.00	51	73	55	50	**1.13%**	0.94%	20.44%
9603	Undifferentiated Service- Producing Activities of Private Households for Own Use	114	0.06	51	73	55	50	**1.13%**	0.94%	20.44%

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KPMG

Part II: Analysis to derive Suggested Premium Rates for 2025/26

1. Introduction and Background

1.1 Purpose and Scope of the Report

KPMG has been engaged by the WorkCover Tasmania Board ('Board') to develop a set of suggested premium rates for the 2025/26 underwriting year ('Current Pricing Review'), in respect of the Tasmanian workers' compensation industry.

This work has been performed under our contract with WorkCover Tasmania, dated 8 November 2024. Our work has been conducted for the purpose of suggesting premium rates for the 2025/26 underwriting year, both in total and at the 2006 Australian and New Zealand Standard Industrial Classification ("ANZSIC") level. It is not intended, nor necessarily suitable, for any other purpose.

WorkSafe Tasmania ('WorkSafe') is the organisation that administers workers' compensation and work health and safety in Tasmania and helps the Board fulfil its statutory functions.

A report of this type has been published by WorkSafe each year since 2002/03, providing a guide to employers' and workers' compensation insurers, noting that insurers should undertake their own analysis to support their premiums rates. This is the first time KPMG has undertaken this analysis of suggested premium rates.

The previous report ('Previous Report', which related to the 2024/25 premium basis) related to suggested rates for the 2024/25 underwriting year ('Previous Pricing Review') was conducted by Scyne Advisory. The findings were documented in the report "Suggested Industry Premium Rates for 2024/25", dated March 2024. Unless otherwise noted, all comparisons in this report are relative to the 2024/25 premium basis.

1.2 Objectives of Industry Premium Rates

The suggested premium rates are actuarially assessed, with regard to WorkSafe's objectives:

- Ensuring a fully funded workers' compensation scheme;
- Providing relative stability in the marketplace;
- Providing fair and equitable premiums in relation to risk;
- Ensuring minimal cross-subsidisation between employers;
- Ensuring increased transparency in the premium setting process;
- Providing a benchmark for comparing suggested rates against actuary average rates charged by individual insurers; and
- Identifying major scheme trends, and the effects of legislative changes.

Inevitably, some compromises between the above objectives are required. The overall aim of pricing is to charge each employer a fair premium while still collecting an overall premium pool which is sufficient to cover claim costs and expenses, as well as provide insurers with a reasonable return on the capital required.

1.3 Our Approach

An overall average premium rate for the licensed insurer portfolio is initially estimated. The estimate of the expected future claims cost is based on our analysis of wages, claim counts and payments for licensed insurers to 31 December 2024. The estimate is discounted for the time value of money. There is allowance for future economic and superimposed inflation. Expenses and a profit margin are also added to derive an average overall premium rate. In short, the overall average premium rate reflects a 'central estimate' view of the level of premium required for the scheme to be in a fully funded position.

Our approach to deriving the overall average premium rate is based on a combination of actuarial techniques and actuarial judgement. Within each actuarial model, judgement is applied in the selection of claim experience assumptions that is expected to prevail in the 2025/26 underwriting year.

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Second, a relativity for each ANZSIC level is determined, based on the relative risk level of each ANZSIC to the licensed insurer portfolio.

Analysis of the relative risk level includes consideration of recent claim frequency and payment experience of each ANZSIC, allowing for volume of business in each ANZSIC. This analysis is to determine a fair and equitable distribution of premium with minimal cross-subsidisation, given the historical claims experience and volume of wages of each ANZSIC. ANZSICs with smaller wage volumes may be combined with other ANZSICs to determine their relativity and ensure a robust basis for their adopted relativity.

There are limits to how much the adopted relativity for ANZSIC can move from one underwriting year to another. The application of capping and cupping rules ensures that premium rates at an individual ANZSIC level maintain a level of stability in the marketplace.

For each ANZSIC, the adopted relativity is subsequently applied to the overall average premium rate, to derive premiums at the individual ANZSIC level. The premium rate for each ANZSIC ensures the licensed insurer portfolio is fully funded when applied to all employers.

We note, however, each employer within an ANZSIC level may not be necessarily homogenous. Insurers may include judgement, commercial reasons, and other consideration in setting the premium rate for an individual employer. The overall impact may imply that the collected premium rate will not align with the suggested premium rate, at each ANZSIC level or at the licensed insurer portfolio level.

1.4 Data

We have prepared this report using claim and policy data 31 December 2024, extracted from the WorkSafe Information Management System ('WIMS') during the month of March 2025. WIMS has been operation since 1 July 2012 and replaced WorkSafe's previous data management system.

We have made use of unit record policy, coverage, claims and payment transaction files. We have performed checks on the overall data, and spot checks on individual items to the Previous Report. We note that some retrospective adjustments and data development can be expected. Within these limits, we are satisfied that the data provided is consistent with that in the Previous Pricing Review.

Total estimated payments, and the implied outstanding amount, from WIMS have not been used in our consideration of claims costs except where further verification of the estimates has been sought. This is because case estimation practices can vary both amongst insurers and over time, which limits their usefulness for the purpose of examining claims experience relativities across industries.

Details of the data supplied by WorkSafe are included in Appendix A.

1.5 Scheme Environment

Appendix B provides a detailed description of the legislative reforms that have impacted the Tasmanian workers' compensation scheme.

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2. Claim Assumptions

This section outlines our findings in respect of experience for licensed insurers. It also outlines our assumptions regarding wages, claim frequency and average claim size for the 2025/26 underwriting year.

Key Points

For the 2025/26 underwriting year, we have projected $16.6 billion of written wages, and selected claim frequency and average claim size assumptions of 0.424 claims per million dollars of wages and $32,135, respectively.

On a like for like basis, the claim frequency and average claim size assumptions are 7.8% lower and 16.8% higher, respectively, than that selected at the Previous Pricing Review.

2.1 Written Wages

Key Points

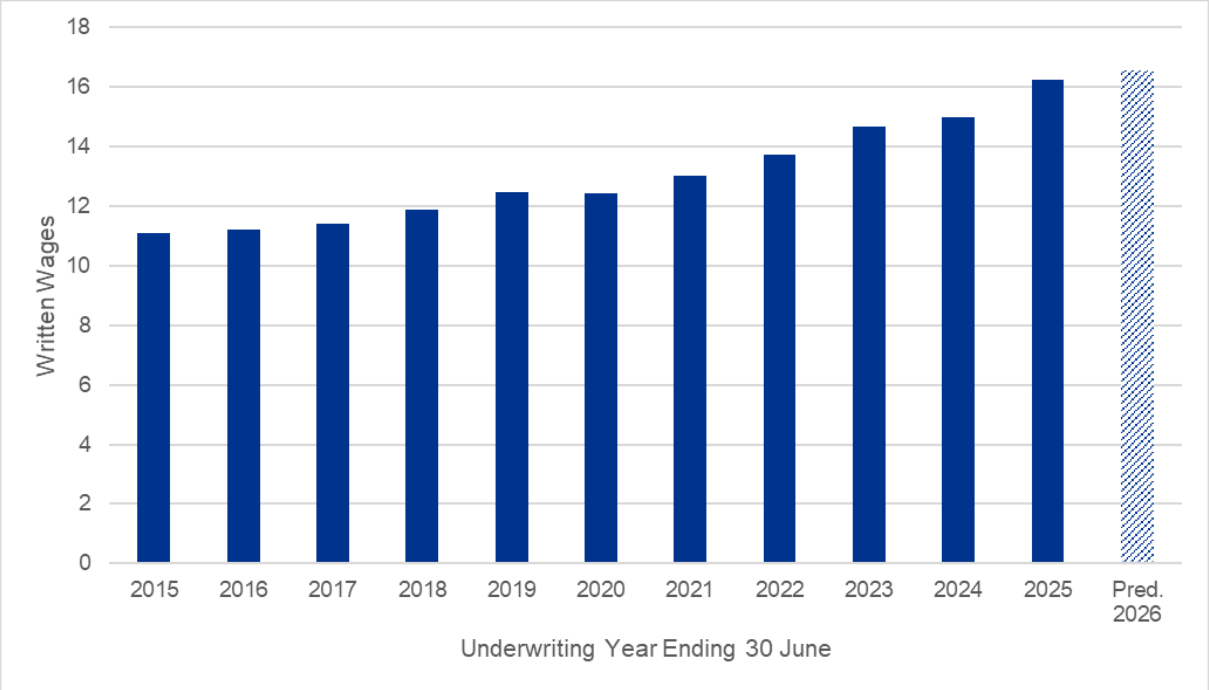
Written wages are projected to be $16.6 billion for the 2025/26 underwriting year.

On a like for like basis, this is $1.4 billion (+9.4%) higher than the estimate of written wages used as the basis at the Previous Pricing Review.

Figure 6 below shows our current estimates of written wages by underwriting year for licensed insurers. All figures shown are in 31 December 2024 values, so that real growth in written wages can be assessed. The wages shown for underwriting years 2022/23 to 2024/25 include an allowance for expected development, as wages are often revised from initial estimates to actual figures once finalised. In particular, we noted that there is greater uncertainty in the estimate for the incomplete 2024/25 underwriting year.

Further details in relation to our analysis and projection of wages is outlined in Appendix D.

Figure 6: Written Wages, by Underwriting Year ($b, Dec-24 values)



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Comparing the 2023/24 underwriting year to 2022/23, written wages grew by 2.2% in real terms from $14.7 billion to $15.0 billion. Preliminary figures suggest that written wages will grow by 8.4% in real terms, to be $16.2 billion in 2024/25.

On a like for like basis, the estimate of wages for the 2024/25 underwriting year is $1.1 billion (+7.3%) higher than that forecasted at the Previous Pricing Review. This increase is driven by real growth in the written wages pool outpacing expected real economic growth.

We have forecasted written wages to be $16.6 billion for the 2025/26 underwriting year, which is $0.3 billion (+2.0%) higher than the revised projection for the 2024/25 underwriting year. Our estimate of the increase between 2024/25 and 2025/26 is based on the Tasmania Department of Treasury and Finance's forecast[1] of 2.0% p.a. real growth in Tasmania's gross state product over 2025/26. Further detail on our economic growth assumptions can be found in Section 3.3.

This implies that, on an equal basis, our current estimate of $16.6 billion of wages for the 2025/26 underwriting year is $1.4b (+9.4%) higher than the estimate of $15.1 billion at the Previous Pricing Review for wages for the 2024/25 underwriting year.

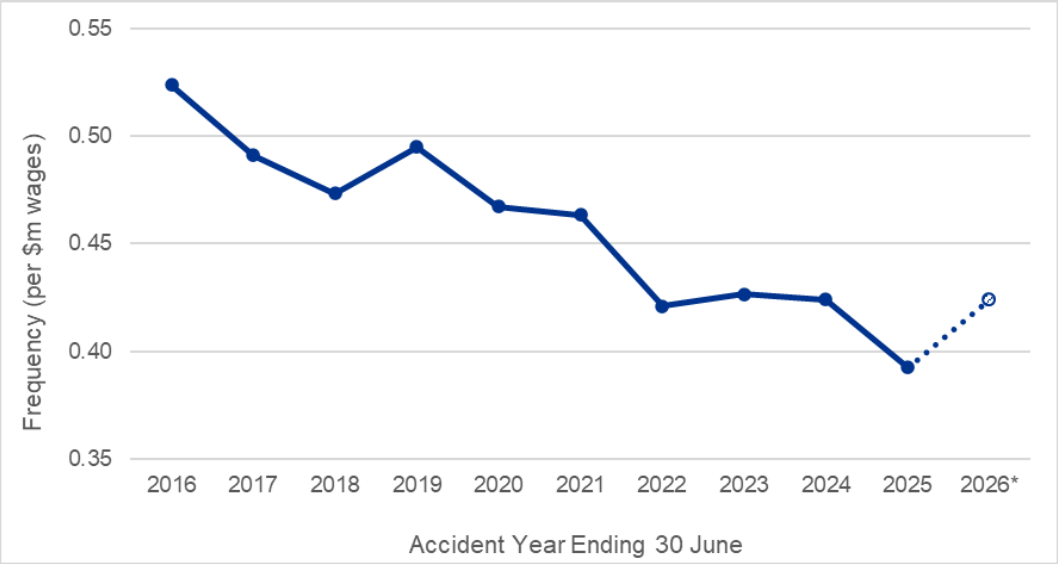
2.2 Claim Numbers and Frequency

Key Points
Our adopted ultimate claim frequency assumption for the 2025/26 underwriting year is 0.424 claims per million dollars of written wages, which is lower than the assumption adopted at the Previous Pricing Review. This implies a forecast of 7,021 claims for the 2025/26 underwriting year.

2.2.1 Claim Frequency

Figure 7 shows ultimate claim frequency by accident year for licensed insurers. We have also included the claim frequency assumption selected for the 2025/26 underwriting year. Ultimate claim frequency has been calculated by dividing the projected ultimate number of claims by earned wages (in 31 December 2024 values).

Figure 7: Ultimate Claim Frequency, by Accident Year (All Claims)



* The claim frequency shown for 2026 is the adopted assumption for the 2025/26 underwriting year.

Claim frequency has mostly trended downwards between 2015/16 and 2021/22, noting the slight increase between 2017/18 and 2018/19 due to the introduction of the January 2018 amendments, which became effective on 1 January 2018 (i.e. mid-way through accident year 2017/18).

[1] 2024-25 Revised Estimates Report.pdf

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Claim frequency stabilised at around 0.424 claims per million dollars of wages for accident years 2021/22 to 2023/24. More recently, projected claim frequency has decreased to 0.392 per million dollars of wages for accident year 2024/25.

Our forecast of ultimate claim frequency for the 2025/26 underwriting year is 0.424 claims per million dollars of wages, which assumes claim frequency will emerge in line with experience observed for accident years 2021/22 to 2023/24. We have not given significant weight to the 2024/25 year so far noting it is still immature (and a large portion of the ultimate claim numbers is "IBNR") and noting the interplay with average claim sizes.

2.2.2 Adopted Claim Frequency Assumption

Table 7: Adopted Claim Frequency

Adopted Claim Frequency (all claims)	Per $m wages (Dec-24 values)	Per $m wages (Jun-25 values)	Per $m wages 2025/26 values*
2024/25 Premium Rates**	0.444		
2025/26 Premium Rates	0.424	0.417	0.407
Change between 2024/25 and 2025/26	-4.5%		

* Refers to 15 March 2026 values, given this is the assumed timing of the average accident date for policies that are written in the 2025/26 underwriting year.

** The claim frequency assumed at the Previous Pricing Review was 0.44, in 31 December 2023 values. When restated in 31 December 2024 values, the claim frequency at the Previous Pricing Review is 0.444.

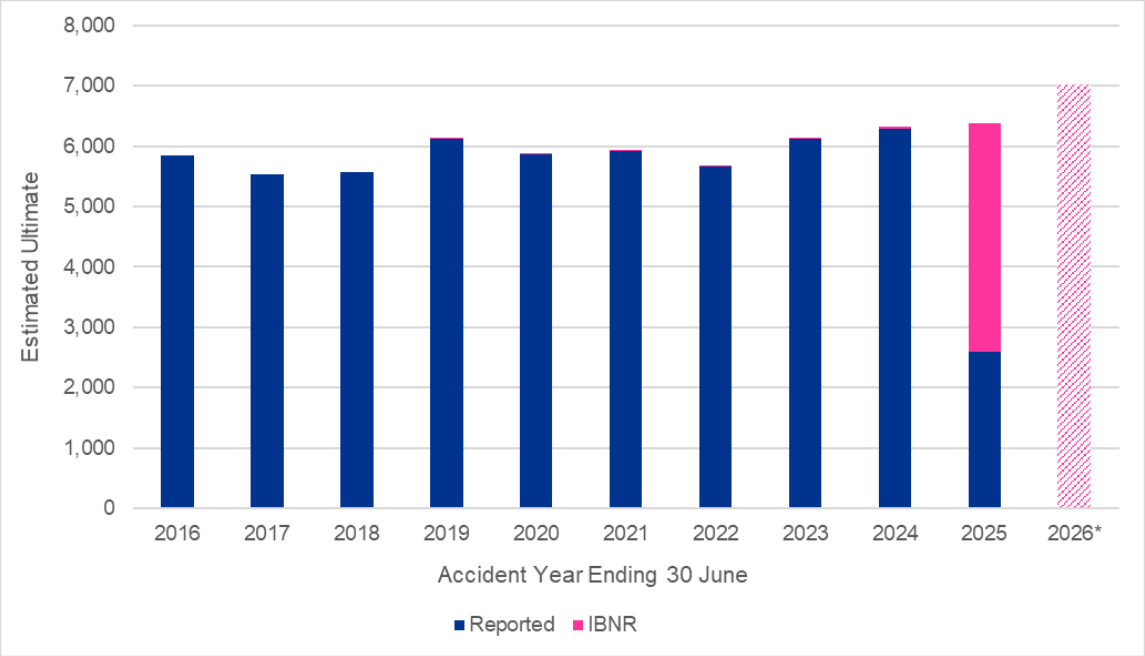
The adopted claim frequency assumption for the 2025/26 underwriting year (in 31 December 2024 values) is 0.424 claims per million dollars of wages, which is lower than the claim frequency assumption adopted at the Previous Pricing Review.

As will be shown in Section 2.2.3, this frequency assumption implies a forecast of 7,021 claims for the 2025/26 underwriting year. This has been derived by multiplying our claim frequency assumption of 0.424, by our written wages forecast of $16.6 billion for the 2025/26 underwriting year.

2.2.3 Estimated Ultimate Claim Numbers

Figure 8 shows estimated ultimate claim numbers by accident year for licensed insurers. We have also shown the forecasted number of claims for the 2025/26 underwriting year.

Figure 8: Ultimate Claim Numbers, by Accident Year (All Claims)



* The ultimate number of claims shown for 2026 is in respect of the 2025/26 underwriting year.

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The ultimate number of claims for the 2024/25 accident year is projected to be 6,371. This is broadly consistent with the projected ultimate for the 2023/24 accident year of 6,325.

We have forecasted the ultimate number of claims for the 2025/26 underwriting year to be 7,021. This is 4.5% higher than our forecast of 6,720 claim for the 2024/25, at the Previous Pricing Review. Our forecast for underwriting year 2025/26 is based on our forecast of written wages for 2025/26 (refer to Section 2.1) and the claim frequency assumption for 2025/26 (refer to Section 2.2.2).

There is inherently some uncertainty in this estimated number of claims and as to whether 2024/25 was an aberrational good year or was a “new norm” in claim frequency terms.

2.3 Claim Payments and Average Claim Size

Key Points

Claim payments of $188.0 million for calendar year 2024 was 11.9% higher in real terms than calendar year 2023, driven by a 19.7% increase in weekly payments and a 25.8% increase in medical payments.

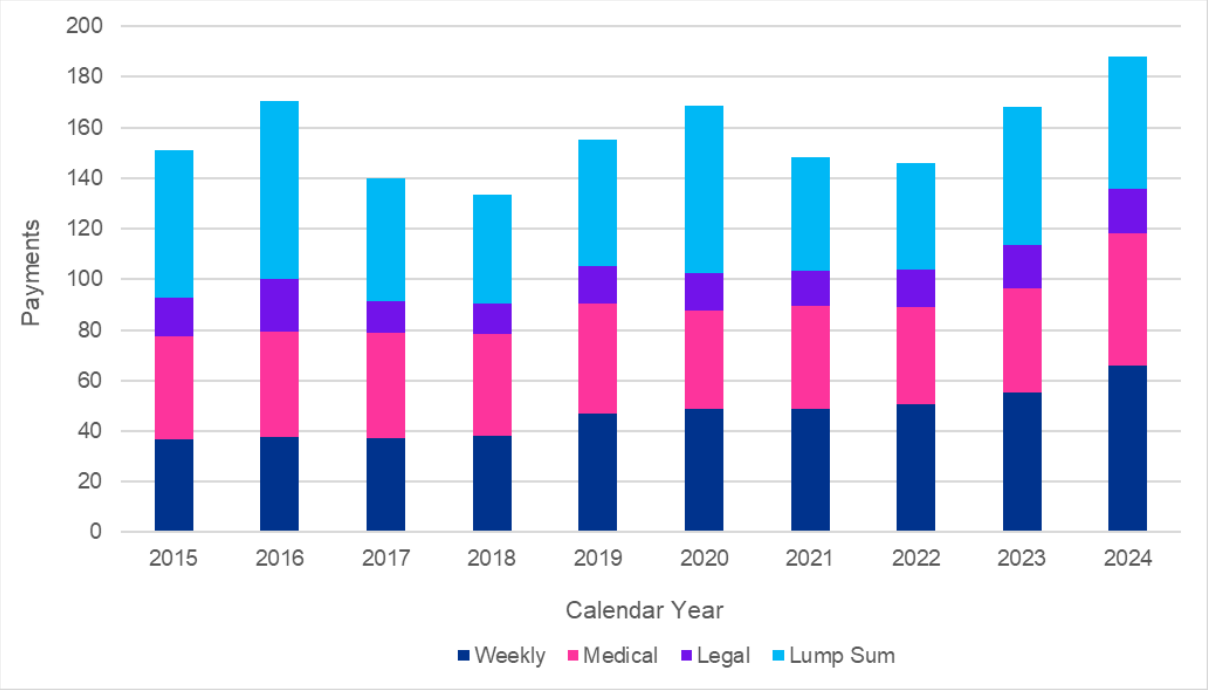
Our average claim size assumptions for each payment type are typically in line with or higher than our average claim size projections for recent accident years. At the current pricing review, we have made no allowance for the impact of the Section 87 amendments on average claim size experience.

Our adopted average claim size assumption for the 2025/26 underwriting year is $32,135, which is 16.8% higher in real terms than the assumption adopted at the Previous Pricing Review. This has been driven by a 31.2% increase in the average claim size assumption adopted for weekly payments and a 25.4% increase in the average claim size assumption adopted for medical payments.

2.3.1 Claim Payments

Figure 9 shows total payments by payment type and calendar year, for licensed insurers. Given that Figure 9 is constructed on a payment year basis, payments in any year will relate to a mix of underwriting years and a mix of accident years. All figures are shown in 31 December 2024 values, so that real growth in payments can be assessed.

Figure 9: Claim Payments, by Calendar Year ($m, Dec-24 values)



Claim payments in recent years have fluctuated, with lump sum payments being the main driver of this volatility. Claim payments made in calendar year 2024 totalled $188.0 million, which was 11.9% higher (+20.0 million) in real

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terms than calendar year 2023. This was driven by a 19.7% (+10.9 million) increase in weekly payments as well as a 25.8% ($10.7 million) increase in medical payments.

2.3.2 Actual versus Expected (AvE) Payments Experience

At the Current Pricing Review we have not performed an Actual versus Expected (AvE) analysis.

Given this is the first Pricing Review KPMG has performed, and due to the limited information in respect of the modelling performed by Scyne Advisory at the Previous Pricing Review, we do not have sufficient information to appropriately perform an AvE analysis at this time.

An AvE analysis is a core analysis that provides insights into the reasonableness of the methodology and assumptions adopted in previous periods. We will perform an AvE analysis at the next Pricing Review.

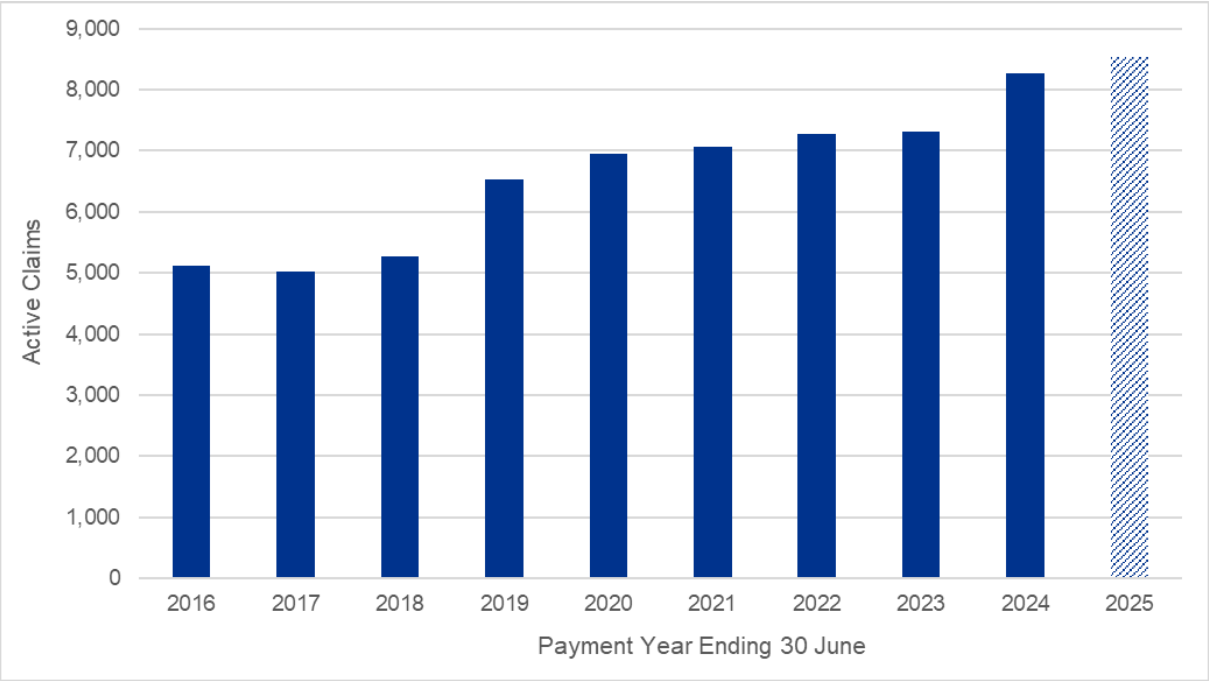
2.3.3 Weekly Benefits

As explained in Appendix C.3, we use a Payments per Active Claim ('PPAC') model to estimate the ultimate cost of weekly benefits. The PPAC approach projects weekly payments as a function of the number of weekly active claims, with a claim being active if it receives one or more weekly payment in the relevant period. This assumes weekly payments in any period are correlated with the number of claims receiving weekly benefits in that particular period.

Weekly Active Claim Numbers

Figure 10 displays the number of weekly active claims by financial year. Given weekly active claim numbers are modelled at a quarterly level, the number of weekly actives shown for each financial year is the total number of weekly actives across the four quarters of each year (e.g. if a claimant received weekly benefits in three of the four quarters of the financial year, they would count as three weekly active claims for that year).

Figure 10: Number of Weekly Active Claims, by Financial Year



The number of weekly actives in 2023/24 was 8,274 – this was 13.1% higher than 2022/23. Our projection of weekly actives in 2024/25 is 8,544 – this is 3.3% higher than 2023/24.

Further to this, the estimate for 2024/25 is 2.6% lower than the projection of 8,771 at the Previous Scheme Review due to lower than expected claims volumes experience emerging in the 6 months to 31 December 2024.

Average Claim Size

Figure 11 shows the selected weekly average claim sizes by accident year. The average claim sizes shown include both payments already made ('paid to date'; 'ACS (Past)') and our projection of future payments ('outstanding payments'; 'ACS (Future)'). The average claim sizes have been calculated by dividing the projected ultimate cost of

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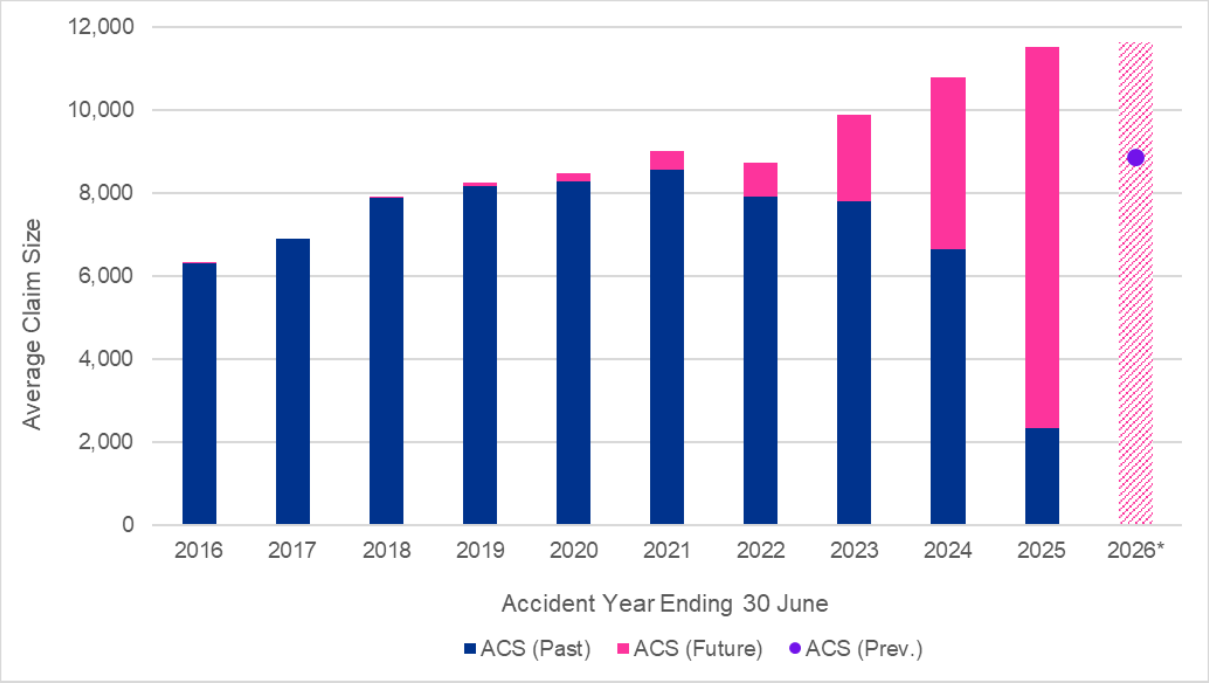
weekly benefit payments by the ultimate number of claims projected for the relevant accident year. We have also presented the weekly benefit average claim size assumption that we have selected for the 2025/26 underwriting year, and compared it to the equivalent assumption selected at the Previous Pricing Review.

All figures shown are in 31 December 2024 values, so that real growth in average claim sizes can be assessed.

Figure 11: Weekly Benefit Average Claim Sizes, by Accident Year ($, Dec-24 values)



* The average claim size shown for 2026 is the assumption that has been adopted for the 2025/26 underwriting year.

The selected weekly benefit average claim size for the 2025/26 underwriting year is $11,625 – this is 31.2% higher in real terms than the selection at the Previous Pricing Review.

The selection is based on the projected average claim sizes for accident years 2023/24 and 2024/25, with an added allowance of 5.5% growth, which reflects the increasing projected average claim sizes observed since 2021/22. The 5.5% growth assumption is based on the p.a. growth in the projected average claim sizes between accident years 2018/19 and 2024/25.

2.3.4 Lump Sum Benefits

As further explained in Appendix C.2, we use a Payments per Claim Incurred ('PPCI') model to estimate the ultimate cost of lump sum benefits. The PPCI approach projects lump sum benefits as a function of the ultimate number of lump sum claims for the relevant accident period. This assumes lump sum payments in any period are correlated to the ultimate number of claims that are expected to receive lump sum benefits.

Figure 12 shows the selected lump sum average claim sizes (per claim receiving a lump sum) by accident year. The average claim sizes shown include both paid to date and outstanding payments. The average claim sizes are referred to as PPCIs, given they have been calculated by dividing the projected ultimate cost of lump sum benefits by the ultimate number of lump sum claims projected for the relevant accident year. We have also presented the lump sum PPCI selected for the 2025/26 underwriting year, and compared it to the equivalent assumption selected at the Previous Pricing Review.

All figures shown are in 31 December 2024 values, so that real growth in PPCIs can be assessed. In addition, Figure 12 shows the proportion of claims receiving a lump sum as a percentage of all claims.

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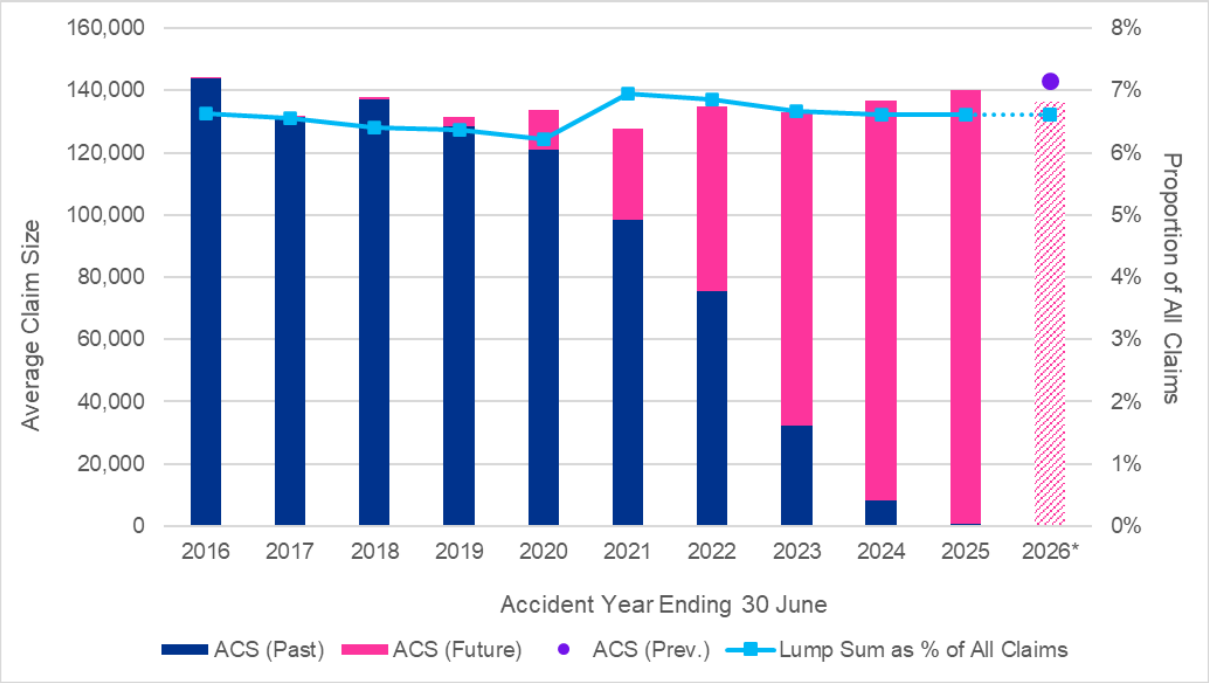
Figure 12: Lump Sum PPCIs, by Accident Year ($, Dec-24 values)



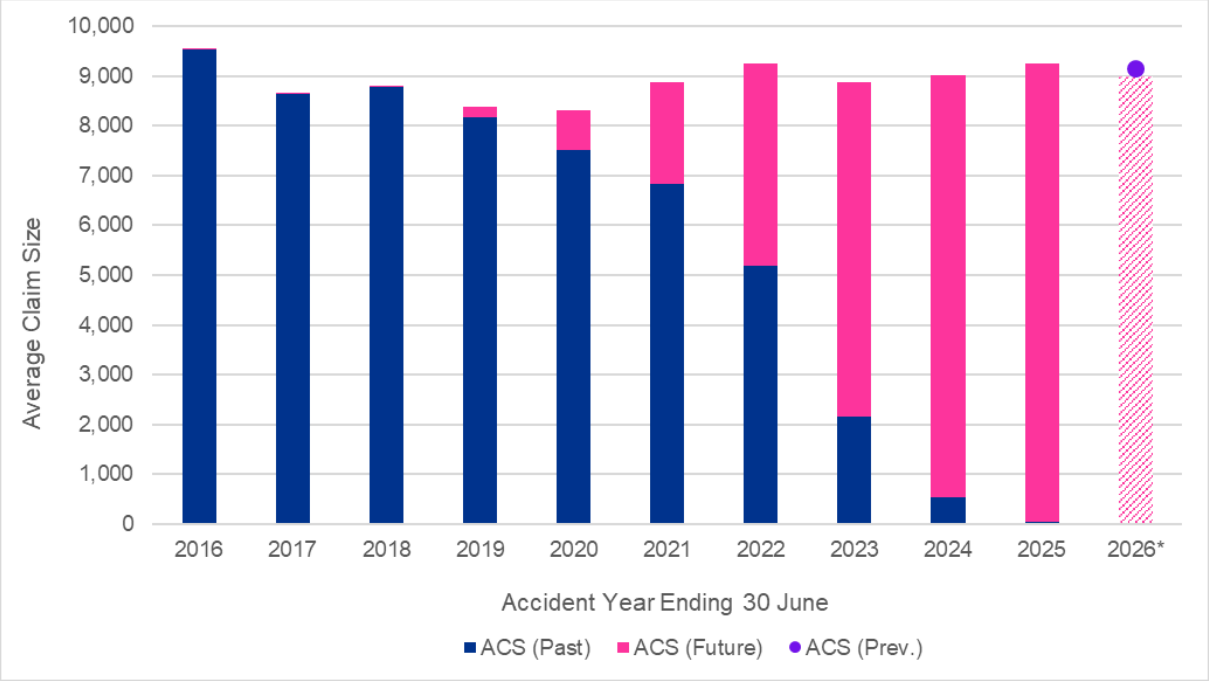
* The PPCI shown for 2026 is the assumption that has been adopted for the 2025/26 underwriting year.

The selected lump sum PPCI for the 2025/26 underwriting year is $136,291 – this is 4.7% lower in real terms than the selection at the Previous Pricing Review. Our updated selection for the lump sum PPCI is consist with that for accident year 2023/24.

Figure 13 shows our selected lump sum average claim sizes, per all claims, by accident year. Similarly, the average claim sizes shown include both paid to date and outstanding payments. The average claim sizes have been calculated by dividing the projected ultimate cost of lump sum payments by the ultimate number of claims projected for the relevant accident year. We have also presented the lump sum average claim size assumption that we have selected for the 2025/26 underwriting year, and compared it to the equivalent assumption selected at the Previous Pricing Review.

All figures shown are in 31 December 2024 values, so that real growth in average claim sizes can be assessed.

Figure 13: Lump Sum Average Claim Sizes (per all claims), by Accident Year ($, Dec-24 values)



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* The average claim size shown for 2026 is the assumption that has been adopted for the 2025/26 underwriting year.

The selected lump sum average claim size for the 2025/26 underwriting year is $8,999 – this is 1.7% lower in real terms than the selection at the Previous Pricing Review. Our updated selected for the lump sum average claim size is consistent with projected average claim sizes between 2020/21 to 2023/24.

2.3.5 Medical and Related Payments

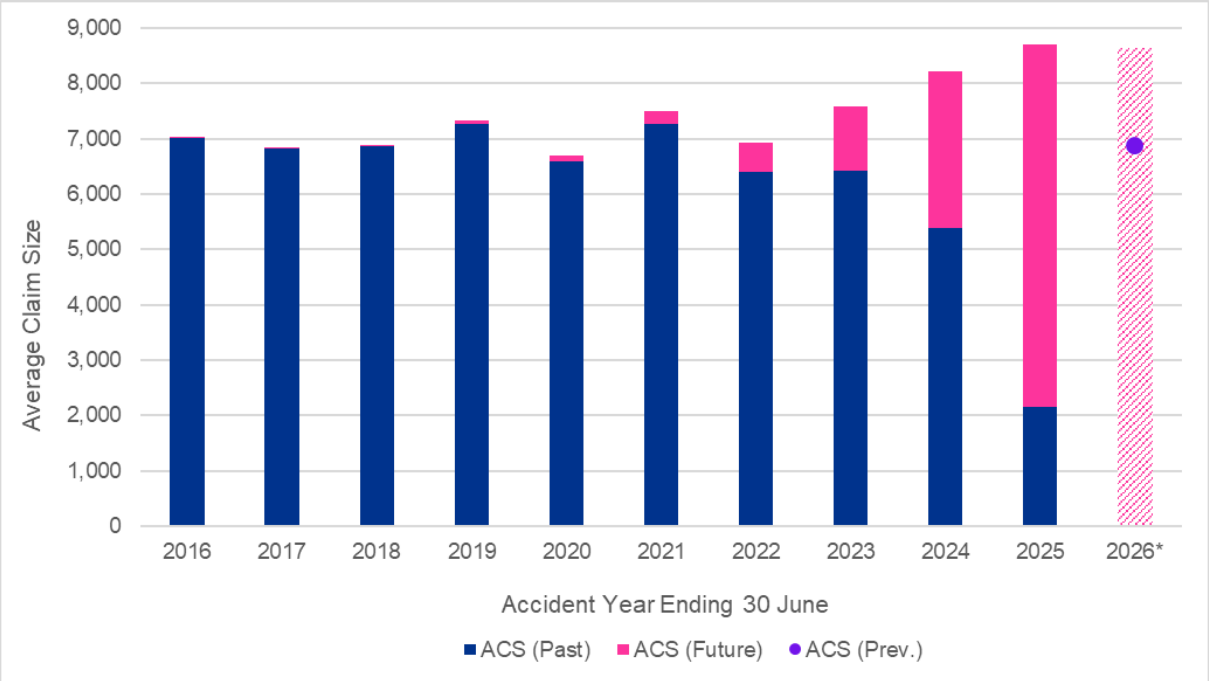
As further explained in Appendix C.2, we use a PPCI model to estimate the ultimate cost of medical and related benefits. The PPCI approach projects medical and related payments as a function of the ultimate number of all claims for the relevant accident period. This assumes medical and related payments in any period are correlated to the ultimate number of claims.

All figures shown are in 31 December 2024 values, so that real growth in PPCIs can be assessed.

Figure 14 shows our selected medical average claim sizes by accident year. The average claim sizes shown include paid to date and outstanding payments. The average claim sizes are referred to as PPCIs, given they have been calculated by dividing the projected ultimate cost of medical and related benefits by the ultimate number of claims projected for the relevant accident year. We have also presented the medical PPCI selected for the 2025/26 underwriting year, and compared it to the equivalent assumption selected at the Previous Pricing Review.

All figures shown are in 31 December 2024 values, so that real growth in PPCIs can be assessed.

Figure 14: Medical PPCIs, by Accident Year ($, Dec-24 values)



* The PPCI shown for 2026 is the assumption that has been adopted for the 2025/26 underwriting year.

The selected medical PPCI for the 2025/26 underwriting year is $8,634 – this is 25.4% higher in real terms than the selection at the Previous Pricing Review.

The selection is based on the projected average claim sizes for accident years 2023/24 and 2024/25, with an added allowance of 3.0% growth, which reflects the increasing projected average claim sizes observed since 2021/22. The 3.0% growth assumption is based on the p.a. growth in the projected average claim sizes between accident years 2018/19 and 2024/25.

2.3.6 Legal and Investigation Payments

As further explained in Appendix C.2, we use a PPCI model to estimate the ultimate cost for legal and investigation costs. The PPCI approach projects payments for legal and investigation costs as a function of the ultimate number of all claims for the relevant accident period. This assumes payments in any period for legal and investigation costs are correlated to the ultimate number of claims.

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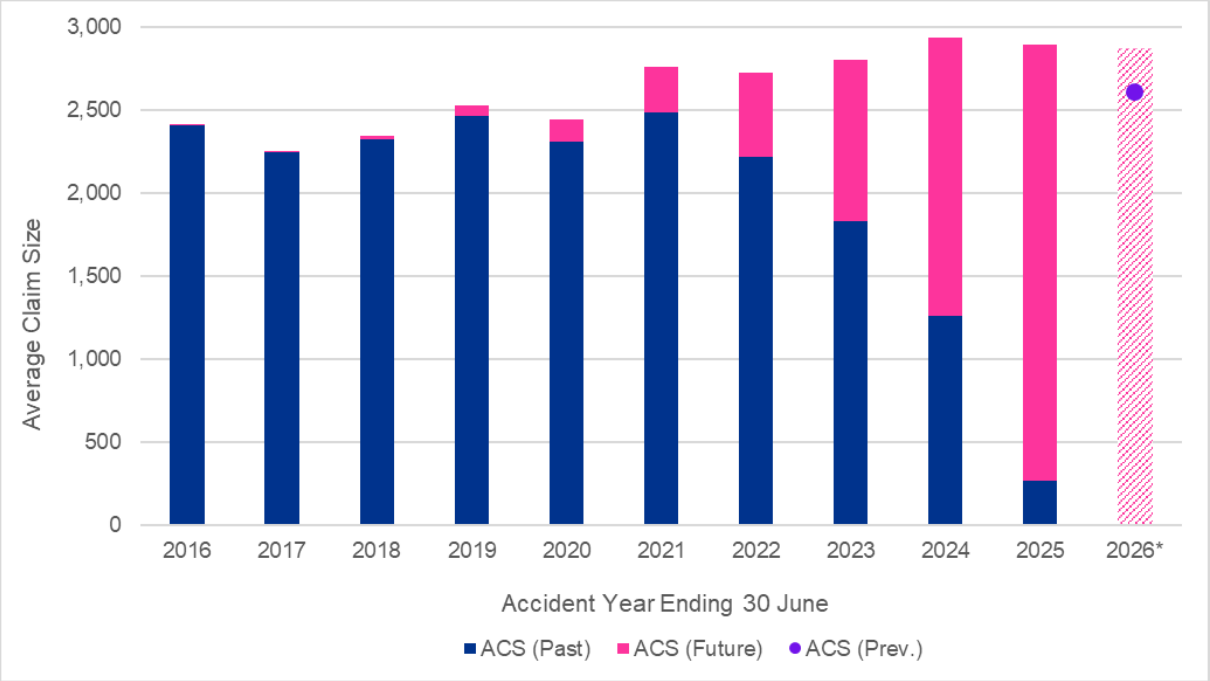
Figure 15 shows our selected legal/investigation average claim sizes by accident year. The average claim sizes shown include paid to date and outstanding payments. The average claim sizes are referred to as PPCIs, given they have been calculated by dividing the projected ultimate cost of legal and investigation payments by the ultimate number of claims projected for the relevant accident year. We have also presented the legal/investigation PPCI selected for the 2025/26 underwriting year, and compared it to the equivalent assumption selected at the Previous Pricing Review.

All figures shown are in 31 December 2024 values, so that real growth in PPCIs can be assessed.

Figure 15: Legal and Investigation PPCIs, by Accident Year ($, Dec-24 values)



* The PPCI shown for 2026 is the assumption that has been adopted for the 2025/26 underwriting year.

The selected legal/investigation average claim size for the 2025/26 underwriting year is $2,877 – this is 10.2% higher in real terms than the selection at the Previous Pricing Review. Our updated selected for the legal/investigation average claim size is consistent with projected average claim sizes between 2023/24 to 2024/25.

2.4 Adopted Average Claim Size

Key Points
The adopted average claim size assumption for the 2025/26 underwriting year is $32,135. This is 16.8% higher in real terms than the average claim size assumption adopted at the Previous Pricing Review.

As alluded to in Section 2.3, in selecting the average claim size assumption, we have considered the following:

- Recent experience: In general, we have observed increases in average claim sizes over time. In particular, there has been large increases in weekly benefit average claim sizes as well as medical benefit average claim sizes. We note, this experience may be driven by an increasing proportion of reported claims and payment volumes in respect of mental health-related claims. We discuss mental health-related claims experience further in Section 2.5.
- No explicit allowance for Section 87 amendments: The amendments to Section 87 of the Workers Rehabilitation and Compensation Act 1988 ('the Act') came into effect from 1 March 2023. The selection of our actuarial assumptions has given significant weight to the experience post 1 March 2023, therefore, we consider the impact of the amendments to be reflected in the claims experience. Accordingly, the explicit allowance to lower the average claim size assumption (by 3% at the Previous Pricing Review) has been removed.

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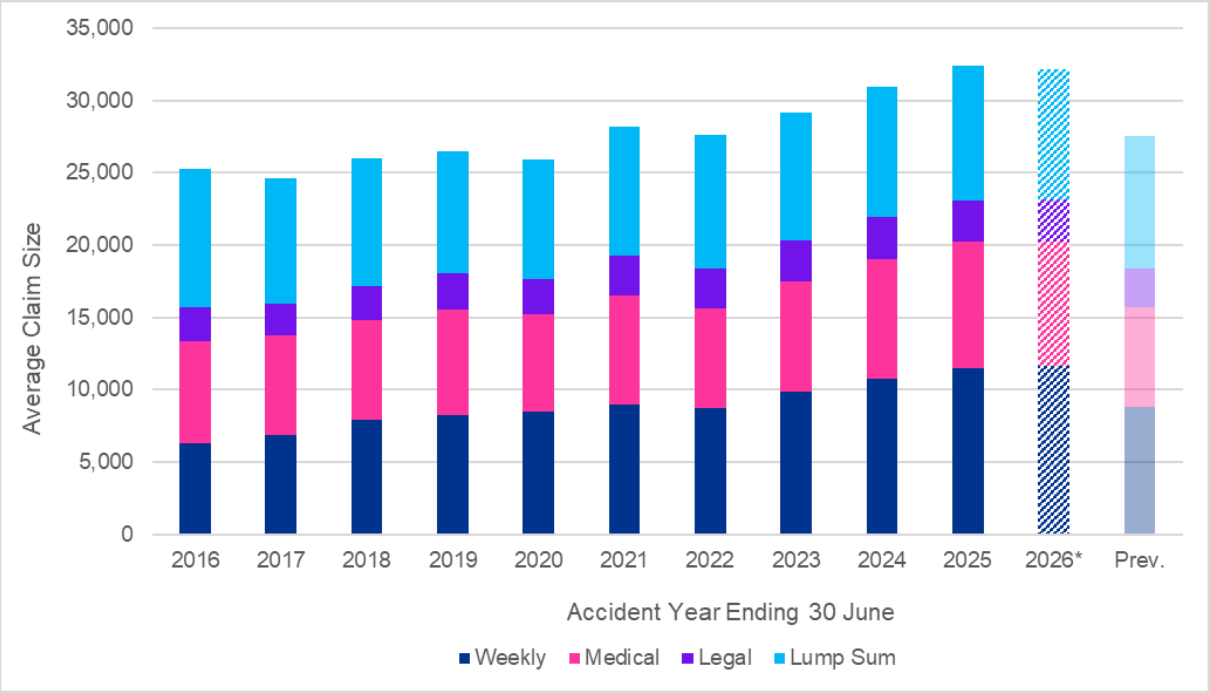
Figure 16 shows our selected average claim sizes by payment type by accident year. The average claim sizes shown include both paid to date and outstanding payments. The average claim sizes have been calculated by dividing the projected ultimate cost of payments for each payment type by the ultimate number of claims projected for the relevant accident year. We have also presented the average claim size assumptions selected for the 2025/26 underwriting year, and compared it to the equivalent assumptions selected at the Previous Pricing Review.

All figures shown are in 31 December 2024 values, so that real growth in average claim sizes can be assessed.

Figure 16: Adopted Average Claim Sizes, by Accident Year ($, Dec-24 values)



* The average claim size shown for 2026 is the assumption that has been adopted for the 2025/26 underwriting year.

2.4.1 Adopted Claim Size Assumption

Table 8: Adopted Claim Size Assumption

Adopted Claim Size (all claims)	Dec-24 values	Jun-25 values	2025/26 values*
2024/25 Premium Rates**	27,509		
2025/26 Premium Rates	32,135	32,810	33,784
Change between 2024/25 and 2025/26	16.8%		

* Refers to 15 March 2026 values, given this is the assumed timing of the average accident date for policies that are written in the 2025/26 underwriting year.

** The average claim size assumed at the Previous Pricing Review was 26,395, in 31 December 2023 values. When restated in 31 December 2024 values, the average claim size assumption at the Previous Pricing Review is 27,509.

The adopted average claim size assumption for the 2025/26 underwriting year (in 31 December 2024 values) is $32,135. On a like for like basis, this is 16.8% higher than the average claim size assumption adopted at the Previous Pricing Review.

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2.5 Mental Health Claims

Key Points

The proportion of reported licensed insurer claims that are mental health related has grown steadily across recent years – from 5% for accident year 2015/16 to 10% for accident year 2023/24, with particularly notable increases in the last three years. There are no clear signs of the increasing trend abating.

The growth in proportion of claims that are mental health related is a trend that has been observed in other Australian states and territories for workers compensation and also within the life insurance industry.

The proportion of licensed insurer payments that pertains to mental health related claims has ranged between 14% to 16% in the last 7 years. Weekly benefits have seen the largest increase in the proportion of payments that relate to mental health-related claims.

2.5.1 Mental Health Claim Numbers

Figure 17 shows the number of claims reported to date by accident year for licensed insurers. The claims reported numbers have been split out into mental health-related claims and non-mental health-related claims.

Figure 17: Claims Reported to Date by Accident Year, Split by Mental Health (MH) and Non-MH Claims

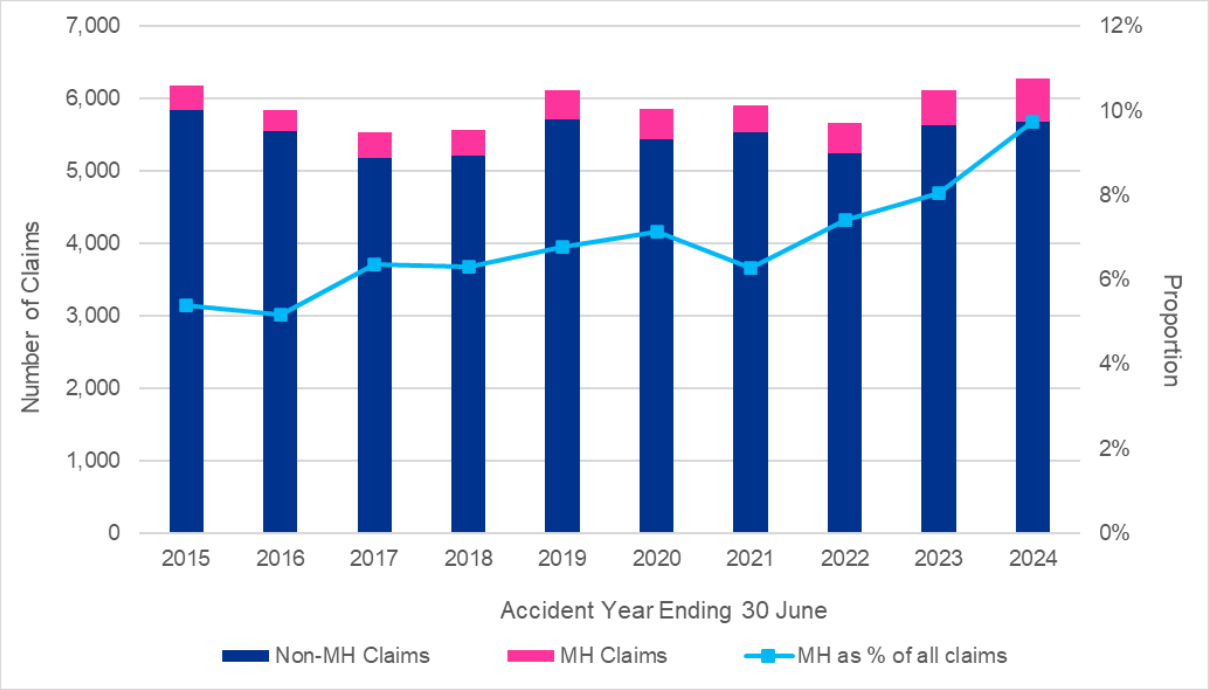

Figure 17 shows the proportion of reported licensed insurer claims that are mental health-related has grown steadily across recent years – from 5% for accident year 2015/16 to 10% for accident year 2023/24. The growth in proportion of claims that are mental health-related is a trend that has been observed in other Australian states and territories for workers compensation, and also within the life insurance industry.

2.5.2 Mental Health Claim Payments

Figure 18 shows licensed insurer payments in total since the 2014/15 payment year, and Figure 19 shows licensed insurer payments by payment type since the 2014/15 payment year. Payments have been split out into payments for mental health (MH) related claims and payments for non-mental health (non-MH) related claims.

All figures shown are in 31 December 2024 values, so that real growth in payments can be assessed. In addition, large lump sum payments (based on a nominal threshold of $2 million) have been excluded (for illustrative purposes) to avoid the distortionary impact of these large payments.

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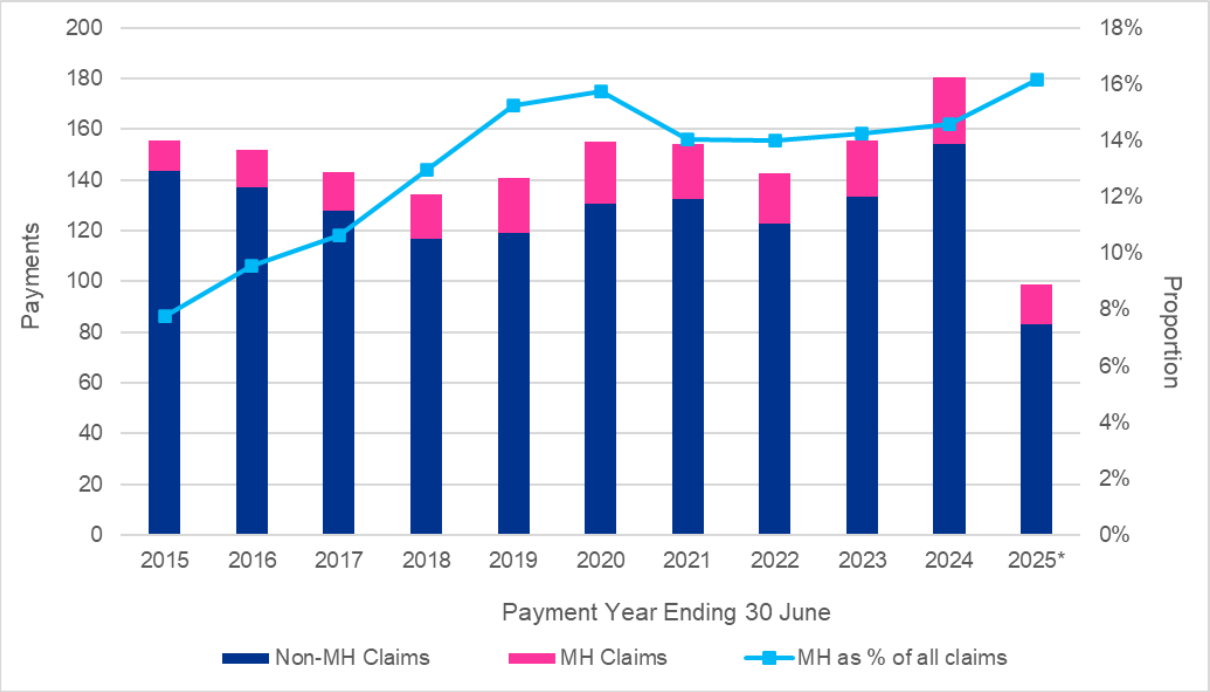
Figure 18: Payments by Payment Year, Split by Mental Health (MH) and Non-MH Claims ($m, Dec-24 values)



* Figures shown for payment year 2025 represents experience in the 6 months to 31 December 2024 (i.e. December 2024 payment half-year).

The proportion of reported licensed insurer payments that are mental health-related has grown sharply since 2014/15. As mental health-related claims have a higher average cost than non-mental health-related claims, the proportion of payments that are mental health-related is significantly higher than the proportion of claims reported that are mental health-related. The proportion of payments that are mental health-related has ranged between 14% to 16% in the last 7 years (i.e. since payment year 2018/19).

Figure 19: Payments by Payment Type by Payment Year, Split by Mental Health (MH) and Non-MH Claims ($m, Dec-24 values)

* Figures shown for payment year 2025 represents experience in the 6 months to 31 December 2024 (i.e. December 2024 payment half-year).

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Figure 19 shows that the change in the proportion of licensed insurer payments that pertains to mental health-related claims has varied by payment type. Experience by payment type has been as follows:

- **Weekly benefits**: The proportion of weekly payments that pertain to mental health-related claims has been steady around 17% between 2016/17 to 2022/23, however it has increased to 19% in 2023/24 and 20% in the first half of 2024/25.
- **Lump sum benefits**: The proportion of lump sum payments that pertain to mental health-related claims has averaged 14% across the last 10 years, however the experience has been volatile. The lowest proportion year is 2014/15 at 5%, and the highest proportion year is 2019/20 at 21%. The payments in the first half of 2024/25 is 17% or $4.8m. This compares to 2023/24 (note, 12 months of experience) of 13% or $7.3m.
- **Medical benefits**: The proportion of medical payments that pertain to mental health-related claims has averaged 7% across the last 10 years. Its trend over time has been relatively steady, however, there are some increases in recent years. It has increased to 9% for 2023/24 and the first half of 2024/25.
- **Legal benefits**: The proportion of legal payments that pertained to mental health-related claims is somewhat volatile. Prior to 2016/17, the proportion has averaged approximately 15%. Since 2016/17, the proportion has averaged approximately 21%. The proportion for 2023/24 and the first half of 2024/25 are 20% and 23% respectively.

2.6 Silicosis Claims Experience

Key Points

22 silicosis claims have been reported to date (an increase from 19 at the Previous Pricing Review), in respect of 17 distinct claimants (an increase from 16 at the Previous Pricing Review) and 11 distinct employers (no change from the Previous Pricing Review).

In terms of accepted claims, there is a total of 16 accepted claims with the average age at injury of 42 years old. Since the Previous Pricing Review, there have been 2 new accepted claims. These claims relate to the following ANZSIC classes: the 2009/10 accident year from the employer Barminco (i.e. Mining industry), and the 2023/24 accident year from the employer Stoneworld, (i.e. Wholesale Trade industry).

The total incurred cost (in nominal values) for accepted silicosis claims is expected to be $4.68m (an increase from $4.45m in the Previous Pricing Review). The amount outstanding (in nominal values) is $1.64m or 35% of the incurred cost. Payments to date (in nominal values) are around $3.05m, of which 42% relate to lump sum benefits, 32% relate to weekly benefits, 18% relate to legal/investigation costs, and 7% relate to medical benefits.

ANZSIC division C represents 9 of the 16 accepted silicosis claims, as well as 71.5% of payments to date (in nominal values) and 33.5% of outstanding case estimates (in nominal values). For the remaining 7 accepted silicosis claims, three claims each relate to division B, and one claim each relates to divisions D, E, F and G.

The work of the National Dust Disease Taskforce (2022) has demonstrated the need for greater visibility of the respiratory disease in the workplace. In particular, the importance of understanding the impact of silica dust through the manufacturing and use of engineered stone. We note the Federal government has also imposed strict regulations, including a ban on the manufacture, supply, processing, and installation of engineered stone benchtops from July 2024.

While there is a National Occupational Respiratory Disease Registry that captures silicosis claims data at the national level, we have also considered the Tasmania experience of silicosis claims in the workers compensation system. We have considered this experience with respect to the need to make allowance in the suggested premium rates.

Silicosis claims are treated like all other claims in our analysis and hence would only impact the suggested premium rates, as far as the historical experience suggests that it is warranted.

In terms of volume of claims, 22 silicosis claims have been reported to date (an increase from 19 at the Previous Pricing Review), in respect of 17 distinct claimants (an increase from 16 at the Previous Pricing Review) and 11 distinct employers (no change from the Previous Pricing Review).

In terms of accepted claims, there is a total of 16 accepted claims with the average age at injury of 42 years old. Since the Previous Pricing Review, there have been 2 new accepted claims. These claims relate to the following

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ANZSIC classes: the 2009/10 accident year from the employer Barminco (i.e. Mining industry), the 2023/24 accident year from the employer Stoneworld, (i.e. Wholesale Trade industry).

The total incurred cost (in nominal values) for silicosis is expected to be $4.68m (an increase from $4.45m at the Previous Pricing Review). Payments to date (in nominal values) are around $3.05m, of which 41% of payments relate to lump sum benefits, 32% for weekly payments, 20% for legal/investigation and 7% for medical.

Table 9: Summary of Experience for Accepted Silicosis Claims at the Previous and Current Pricing Reviews[1]

Accident Year	Current							Previous
	Industry Division	ANZSIC Class	Relativity Group (2025/26)	Number of Claimants	Payments to Date ($'000)	Case Estimates ($'000)	Reported Incurred Costs ($'000)	Reported Incurred Costs ($'000)
1990	Mining	807	9	1	286	-	286	0
1992	Electricity, Gas, Water and Waste Services	2619	32	1	6	27	33	33
1997	Construction	3212	34	1	4	-	4	4
2010	Mining	804	10	1	29	3	32	-
2011	Retail Trade	4231	58	1	343	10	354	353
2018	Manufacturing	2090	40	1	121	0	121	121
2019	Manufacturing	2090	40	4	1,299	291	1,590	1,740
2020	Manufacturing	2090	40	1	289	0	289	289
2020	Mining	911	10	1	194	624	819	818
2021	Manufacturing	2090	40	1	291	7	299	705
2022	Manufacturing	2090	40	1	145	65	210	207
2023	Manufacturing	2090	40	1	32	184	216	217
2024	Wholesale Trade	3339	58	1	6	423	429	-
Total				**16**	**3,046**	**1,635**	**4,681**	**4,487**

[1] Figures shown are in nominal values.

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3. Economic, Expense and Insurer Margin Assumptions

Key Points

Discount and economic inflation rate assumptions have increased across all development periods, as compared to the Previous Pricing Review.

The adopted expense loading, as a percentage of premiums, has decreased from 21.00% to 19.87% at the Current Pricing Review, with the decrease driven by "other administration expenses" and the "Workers Rehabilitation and Compensation Fund (WRCF) levy".

The adopted insurer margin assumption of 13% of premium is unchanged from the Previous Pricing Review.

3.1 Discount Rates

Forward discount rates have been set with reference to the market prices of Commonwealth Government bonds as at 31 December 2024. For the purposes of our suggested average premium rate calculation, we discount projected claim payment cashflows to 15 March 2026, given this is the assumed average timing of premium collection for policies that are written in the 2025/26 underwriting year. Similarly, at the Previous Pricing Review, claim payments were discounted to 15 March 2025.

Table 10 shows the adopted discount rates at the Previous and Current Pricing Reviews by development half-year, which is a like-for-like comparison basis. Discount rate assumptions have increased across all development periods. This has resulted in a small decrease to our suggested average premium rate, as will be discussed in Section 4.2.

At the Current Pricing Review, the projected mean term of payments is 1.9 years.

Table 10: Discount Rates (p.a.) by Development Half-Year (DHY), at Previous and Current Pricing Reviews

Development Half-Year (DHY)[1]	Current	Previous	Change
DHY 1	3.68%	3.44%	+0.24%
DHY 2	3.67%	3.37%	+0.30%
DHY 3	3.75%	3.46%	+0.29%
DHY 4	3.92%	3.60%	+0.32%
DHY 5	4.08%	3.73%	+0.35%
DHY 6	4.24%	3.86%	+0.38%
DHY 7	4.39%	3.97%	+0.42%
DHY 8	4.52%	4.08%	+0.44%
DHY 9	4.65%	4.18%	+0.47%
DHY 10	4.76%	4.26%	+0.50%
DHY 11	4.85%	4.34%	+0.51%
DHY 12	4.94%	4.41%	+0.53%
DHY 13	5.02%	4.47%	+0.55%

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Development Half-Year (DHY)[1]	Current	Previous	Change
DHY 14	5.08%	4.52%	+0.56%
DHY 15	5.13%	4.56%	+0.57%
DHY 16	5.17%	4.60%	+0.57%
DHY 17	5.19%	4.62%	+0.57%
DHY 18	5.21%	4.64%	+0.57%
DHY 19	5.23%	4.64%	+0.59%
DHY 20	5.24%	4.64%	+0.60%

[1] For example, for the Current Pricing Review, DHY1 refers to the 6 months to 15 September 2026, and DHY2 refers to the 6 months to 15 March 2027. In comparison, for the Previous Pricing Review, DHY1 refers to the 6 months to 15 September 2025, and DHY2 refers to the 6 months to 15 March 2025.

3.2 Inflation Rates

Two types of inflation are considered in our projections of claim payments: normal/economic inflation and superimposed inflation.

3.2.1 Economic Inflation

Our analysis of experience is performed on current dollar values, that is, past payments, wages and premiums information have been converted to 31 December 2024 values using the Average Weekly Earnings (AWE) index for Tasmania for All Persons Total Ordinary Time Earnings (ABS AWE Table 11F series ID A84994910A).

Our assumptions for future economic inflation are based on current economic forecasts for wage inflation (specifically, the AWE index), especially given the income-related nature of weekly benefits.

Table 11 shows the adopted economic inflation rates at the Previous and Current Pricing Reviews by development half-year. The selection for the Current Pricing Review has been made after consideration of the Tasmania Department of Treasury and Finance's 2024-25 Revised Estimates Report (February 2025)[2] and outlook from the Reserve Bank Statement of Monetary Policy (February 2025)[3].

As shown, our economic inflation rate assumptions have increased across all development periods, and this has resulted in an increase to our suggested average premium rate, as will be discussed in Section 4.2.

Table 11: Economic Inflation Rates (p.a.) by Development Half-Year, at Previous and Current Pricing Reviews

Development Half-Year (DHY)[1]	Current	Previous	Change
DHY 1	3.50%	3.40%	+0.10%
DHY 2	3.50%	3.25%	+0.25%
DHY 3+	3.50%	3.25%	+0.25%

[1] For example, for the Current Pricing Review, DHY1 refers to the 6 months to 15 September 2026, and DHY2 refers to the 6 months to 15 March 2027. In comparison, for the Previous Pricing Review, DHY1 refers to the 6 months to 15 September 2025, and DHY2 refers to the 6 months to 15 March 2025.

3.2.2 Superimposed Inflation

Superimposed inflation refers to an allowance for the tendency for average claim sizes to increase at a faster rate than normal/economic inflation. Superimposed inflation is notoriously difficult to quantify and rarely operates in a uniform and predictable manner. It can arise from many sources, including:

[2] 2024-25 Revised Estimates Report.pdf
[3] Statement on Monetary Policy – February 2025 | RBA

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- benefit changes from judicial precedents;
- increased use/cost of medical services/technology; and
- claims from previously unknown sources.

It may manifest itself through higher utilisation of services, higher volume of claims and higher cost per claim.

We have reviewed the level of superimposed inflation for each payment type.

Despite the worsening experience in weekly and medical payments, we believe there is insufficient evidence to increase the superimposed inflation assumption from the Previous Pricing Review. Therefore, we have adopted a superimposed inflation assumption of 0.75% p.a. across all benefit types. This is unchanged from the Previous Pricing Review.

3.3 Economic Growth

Based on the Tasmania Department of Treasury and Finance's latest forecast[4], the Tasmanian gross state product is expected to grow by 2.0% p.a. in 2025/26 and 2.5% p.a. in 2026/27 and 2027/28.

We have adopted an economic growth rate of 2.0% p.a., in determining our estimate of written wages for the 2025/26 underwriting year. This is unchanged from the Previous Pricing Review.

3.4 Expenses

Key Points

The adopted expense loading, as a percentage of premiums, has decreased from 21.00% at the Previous Pricing Review to 19.87% at the Current Pricing Review.

This reduction was driven by a 0.64 percentage point decrease for other administration expenses and a 0.77 percentage point reduction for the Workers Rehabilitation and Compensation Fund (WRCF) levy, partially offset was a 0.28 percentage point increase for commission and brokerage expenses.

Table 12 summarises the expense loadings, and the equivalent dollar amounts (in 31 December 2024 values), that have been adopted the Previous and Current Pricing Review, in the calculation of the suggested average premium rate.

Table 12: Expense Loadings at the Previous and Current Pricing Reviews

Item	Loading as % Premium			Equivalent Dollars ($m)		
	Current	Previous	Movement	Current	Previous	Movement
Net cost of reinsurance	0.38%	0.38%	n/a	1.3	1.0	+0.2
Commission and brokerage	3.78%	3.50%	+0.28%	12.8	10.0	+2.8
Other administration expenses	12.30%	12.94%	-0.64%	41.6	36.9	+4.7
Nominal insurer levy	0.00%	0.00%	n/a	0.0	0.0	n/a
Workers' Rehabilitation and Compnesation Fund levy (WCRF levy)	3.41%	4.18%	-0.77%	11.5	11.9	-0.4
Total	**19.87%**	**21.00%**	**-1.13%**	**67.1**	**59.8**	**+7.3**

There has been a 1.13 percentage point reduction between the Previous and Current Pricing Reviews, in respect of the overall loading for expenses.

[4] 2024-25 Revised Estimates Report.pdf

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This reduction was driven by a 0.64 percentage point decrease for other administration expenses (i.e. acquisition, policy handling and claims handling expenses). On a like for like basis, the dollar-value loading assumed for other administration expenses has increased by 13.6% relative to the Previous Pricing Review, highlighting the impact of the 9% increase in the projection of wages for the 2025/26 underwriting year at the Current Pricing Review in comparison to the projection of wages for the 2024/25 underwriting year at the Previous Pricing Review.

The increase in the expense loading was also driven by a 0.77 percentage point reduction for the Workers Rehabilitation and Compensation Fund (WRCF) levy, partially offset was a 0.28 percentage point increase for commission and brokerage expenses.

3.4.1 Net Cost of Reinsurance

Consistent with the approach adopted at the Previous Pricing Review, we first adopted a gross cost of reinsurance (as a percentage of premium) assumption of 0.75%, which is based on average experience for the licensed insurer sector across financial years 2019/20 to 2023/24.

The net cost of reinsurance assumption is then calculated by assuming reinsurance recoveries will be 50% of reinsurance premiums (we have not changed this assumption relative to that adopted at the Previous Pricing Review).

As a result, the assumption adopted for net cost of reinsurance is 0.38% and is unchanged from the Previous Pricing Review.

3.4.2 Commission and Brokerage

The assumption of 3.78% adopted for commission and brokerage costs (as a percentage of premium) is based on average experience for the licensed insurer sector for financial years 2019/20 to 2023/24 and is comparable to financial year 2022/23 specifically (3.81%). The adopted assumption is higher than that assumed for the Previous Pricing Review (3.50%).

We have observed an upward trend for commission and brokerage expenses (as a percentage of premium) from financial year 2021/22 (3.29%) to financial year 2023/24 (5.12%). We have therefore not given too much weight to the rate exhibited for 2023/24 (5.12%) in setting this assumption at this time.

Further details are shown in Appendix G.

3.4.3 Other Administration Expenses

As mentioned in Section 3.4, the ‘other administration expenses’ loading represents an allowance for acquisition, policy handling and claims handling expenses. While insurers do not report the individual components of other administration expenses, we understand it to include expenses such as: overhead/personnel costs; premises/office accommodation; motor vehicles; entertainment and travel; communications, advertising and promotion; professional fees for accounting, audit, management, and legal interpretations; head office expenses; safety and medical advice; finance such as banking fees and charges on transactions; and computing.

In determining the other administration expenses loading, we have based our assumption on average experience for the licensed insurer sector across financial years 2019/20 to 2023/24. This has resulted in a 0.64 percentage point reduction for other administration expenses (as a percentage of premium) from 12.94% at the Previous Pricing Review to 12.30% at the Current Pricing Review. This reduction reflects the decreasing trend observed for other administration expenses (as a percentage of premium) since 2019/20.

3.4.4 Nominal Insurer Levy

We understand that no nominal insurer levy will apply for the 2025/26 year. As such, we have adopted a nil expense allowance in respect of the nominal insurer levy. This is unchanged from the Previous Pricing Review.

3.4.5 Workers’ Rehabilitation and Compensation Fund (WRCF) Levy

The WRCF levy is collected from licensed insurers (as well as self-insurers and the Tasmanian State Service) to fund the operations of the Board.

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The invoice issued to licensed insurers during each financial year comprises WorkSafe's budgeted allowance for the ongoing financial year, as well as an adjustment amount that reflects the extent to which actual expenses of the Board for the previous financial year was different to that budgeted.

The adopted levy is based on the approved Worksafe budget for 2025/26 year. The resultant dollar-value WRCF levy expense allowance was equivalent to 3.41% of premiums, which was a decrease from 4.18% at the Previous Pricing Review.

3.5 Insurer Margin

The adopted insurer margin, at 13% of premium, is unchanged from the Previous Pricing Review.

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4. Suggested Average Premium Rate

Key Points

Our estimate of the total premium pool required for the 2025/26 underwriting year is $337.9 million, which is equivalent to a suggested average premium rate of 2.06% of forecasted wages for the 2025/26 underwriting year.

The increase in the suggested average premium rate, compared to 1.89% at the Previous Pricing Review, is driven by a 0.37 percentage point increase due to an increase in the adopted average claim size assumption, partially offset by a 0.15 percentage point decrease from a reduction in the adopted claim frequency assumption.

4.1 Suggested Average Premium Rate

The risk premium pool for the 2025/26 underwriting year represents the total expected claim costs for licensed insurers. It is calculated by multiplying our forecast of the number of claims for 2025/26 (refer to Section 2.2), by the adopted average claim size assumption (refer to Section 2.4), while allowing for discounting and inflation (refer to Sections 3.1 and 3.2).

This has resulted in a risk premium pool of $226.9 million (in 31 December 2024 values), which is equivalent to an average risk premium of 1.38% of forecasted wages for the 2025/26 underwriting year.

After allowing for expenses (refer to Section 3.4) and insurer margins (refer to Section 3.5), the estimate of the total premium pool required for the 2025/26 underwriting year is $337.9 million (in 31 December 2024 values).

This is equivalent to a suggested average premium rate of 2.06% of forecasted wages for the 2025/26 underwriting year. Table 13 shows the breakdown of the total premium pool across its different components.

Table 13: Summary of Suggested Total Premium Pool and Average Premium Rates for Underwriting Year 2025/26 ($m)

Item	Dec-24 values	2025/26 values*
Forecasted written wages	16,558	17,258
Risk premium pool	226.9	238.6
Expenses	67.1	70.6
Insurer margin	43.9	46.2
Total premium pool	**337.9**	**355.4**
Average risk premium (% wages)		**1.38%**
Average premium rate (% wages)		**2.06%**

* Refers to 15 March 2026 values, given this is the assumed timing of the average accident date for policies that are written in the 2025/26 underwriting year.

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4.2 Comparison with 2024/25 Suggested Premium Rates

Table 14 summarises the drivers of the movement in the suggested average premium rate, from 1.89% at the Previous Pricing Review for the 2024/25 underwriting year to 2.06% at the Current Pricing Review for the 2025/26 underwriting year.

Table 14: Reconciliation with 2024/25 Suggested Average Premium Rate

	Average Premium Rate (% Wages)	Change (% Wages)
Suggested Rate for 2024/25 (excl. GST)	**1.89%**	
Expected Rate for 2024/25	1.89%	
Changes made in basis for 2025/26		
Change in Claim Frequency		-0.09%
Change in Average Claim Size		0.30%
Change in Expenses Loading		-0.04%
Change in Profit Margin		0.00%
Change in Discount Rates		-0.01%
Change in Inflation Rates		0.01%
Change in Payment Pattern*		-0.01%
Total Change		**0.17%**
Suggested Rate for 2025/26 (excl. GST)	**2.06%**	

* KPMG did not have oversight of the payment patterns adopted at the Previous Pricing Review. As a result, this item acts as a balancing item when reconciling to the 2024/25 suggested average premium rate.

The 0.17 percentage point increase in the suggested average premium rate has been primarily driven by:

- a 0.30 percentage point increase, due to an increase in the adopted average claim size assumptions across all payment types, and in particular weekly and medical benefits (refer to Section 2.4);

partially offset by

- a 0.09 percentage point decrease, due to a reduction in the adopted claim frequency assumption (refer to Section 2.2);
- a 0.04 percentage point decrease, due to a reduction in the expense loading, particularly for “other administration expenses” and the “WRCF levy” (refer to Section 3.4); and

Changes to economic assumptions, i.e. inflation and discount rates. neutralise one another.

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4.3 Sensitivity Analysis

The estimate of the suggested average premium rate is sensitive to the underlying assumptions, and the selection of our assumptions is subject to uncertainty. Table 15 shows the impact of changing key assumptions on the suggested average premium rate for the 2025/26 underwriting year. Noe that:

- Each scenario shown below is an adverse scenario, i.e. we would expect an increase in the suggested average premium rate if that scenario prevailed.

  Equivalent and opposite scenarios (i.e. favourable outcomes) would be expected to have a similar quantum of impact on the suggested average premium rate, but in the opposite direction (i.e. downwards).
- The scenarios tested do not reflect the full range of possible outcomes for the average premium rate. In reality, actual outcomes could emerge that would be outside of the ranges of scenarios shown below.
- Each scenario is treated independent of the other scenarios shown.
- We have provided one "combined" scenario of higher average claim sizes and the need for higher superimposed inflation simultaneously.

We note, average claim size figures shown are in 2025/26 values (i.e.15 March 2026 values).

Table 15: Summary of Sensitivity Analysis of Suggested Average Premium Rates for 2025/26

Item	Best Estimate Value	Sensitivity Assumption	Premium Rate	Absolute Difference in Premium Rate	Percentage Difference in Premium Rate
Best estimate			**2.06%**		
Sensitivities					
Claim frequency +5%	0.424	0.445	2.16%	0.10%	4.8%
Weekly benefit ACS +10%	$12,222	$13,444	2.13%	0.07%	3.4%
Medical benefit ACS +10%	$9,077	$9,985	2.11%	0.05%	2.6%
Legal ACS +10%	$3,024	$3,327	2.08%	0.02%	0.9%
Lump sum ACS +10%	$9,461	$10,407	2.11%	0.05%	2.7%
Total ACS +10%	$33,784	$37,163	2.26%	0.20%	9.5%
Superimposed inflation +0.75% p.a.	0.75%	1.50%	2.11%	0.06%	2.7%
Total ACS +10%; and Superimposed inflation +0.75% p.a.	$33,784 0.75%	$37,163 1.50%	2.32%	0.26%	12.5%
Expense loading +1% of premium	19.87%	20.87%	2.09%	0.03%	1.5%
Insurer margin +1% of premium	13.00%	14.00%	2.09%	0.03%	1.4%
Discount rate -0.5% p.a.	3.66% to 5.25%	3.16% to 4.75%	2.08%	0.02%	0.9%
Inflation rate +0.5% p.a.	3.50%	4.00%	2.08%	0.02%	1.2%

To provide additional context in respect of the claim frequency and average claim size sensitivities:

- A 5% increase in the claim frequency assumption results in an assumption that is broadly consistent with the overall claim frequency for accident years 2019/20 to 2022/23.
- A 10% increase in the weekly benefit average claim size results in a 3.6% increase in the overall average claim size assumption.
- A 10% increase in the medical benefit average claim size results in a 2.7% increase in the overall average claim size assumption.
- A 10% increase in the legal average claim size results in a 0.9% increase in the overall average claim size assumption.

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- A 10% increase in the lump sum average claim size results in a 2.8% increase in the overall average claim size assumption.

Table 15 also includes a scenario which combines the impact of two factors: increasing the total average claim size by 10% and increasing the superimposed inflation rate to 1.50% p.a.. This scenario reflects the growing uncertainty in respect of the increasing average claim sizes observed across all payment types, and in particularly weekly and medical benefits. This scenario implies an 0.26 percentage point (+12.5%) increase in the suggested average premium rate.

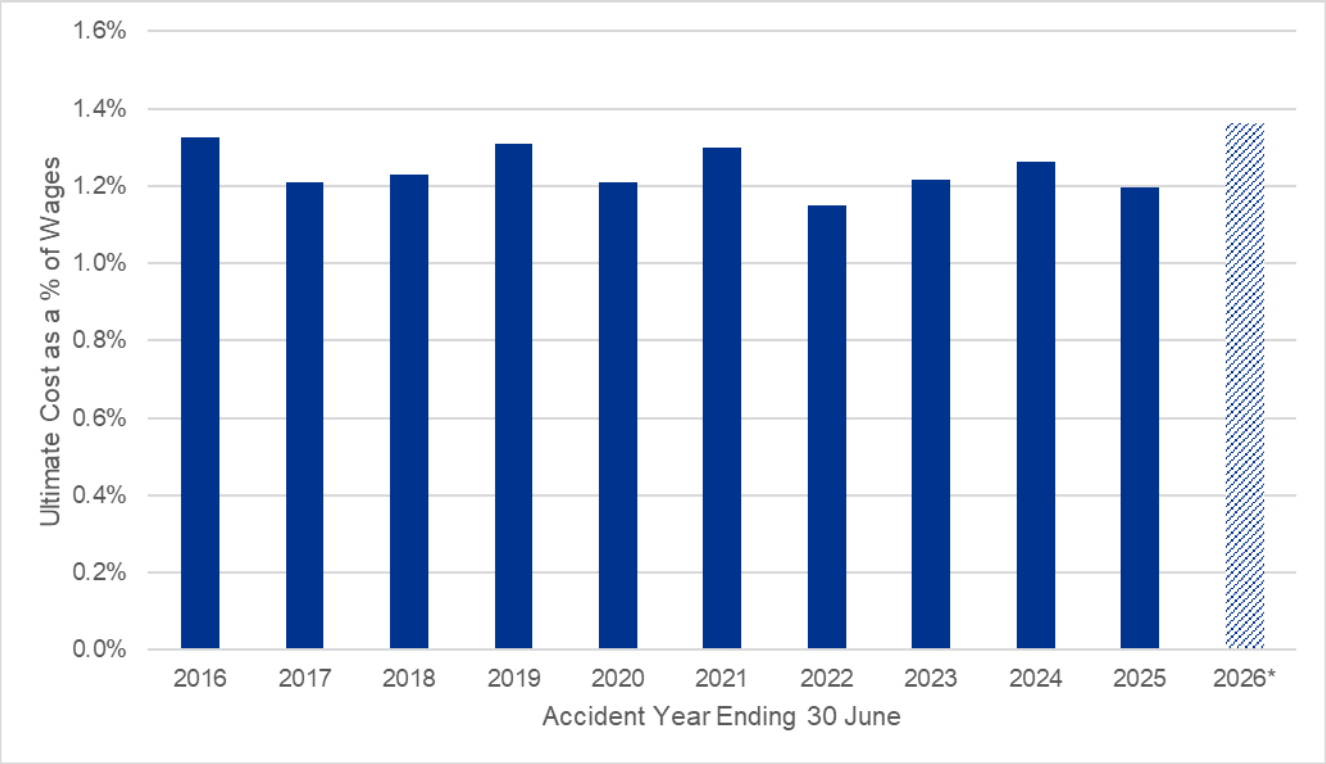
The scenarios presented show that the suggested average premium rate could increase (or decrease) by between 0.9% and 12.5% of wages, if our assumptions were to be varied. We note that this does not reflect the full range of possible outcomes for the average premium rate, but rather plausible alternatives given recent experience. We also note that each sensitivity is considered in isolation to the other sensitivities; the combined effect of two or more changes is not considered here.

4.4 Claims Cost as a Proportion of Wages

Figure 20 shows the undiscounted ultimate claims costs as a proportion of earned wages by accident year. Ultimate cost as a percentage of wages has been calculated by dividing uninflated and undiscounted ultimate claims costs (in 31 December 2024 values) for each accident year by earned wages (in 31 December 2024 values) for the respective accident year.

We have also shown the implied projection for the 2025/26 underwriting year, which is based on our projection of written wages for the 2025/26 underwriting year and our selected claim frequency and average claim size assumptions.

Figure 20: Ultimate Claims Costs (Undiscounted) as a Proportion of Earned Wages



Ultimate cost as a proportion of wages has varied between 1.15% and 1.32% of wages for accident years 2015/16 to 2023/24. The ultimate cost of the 2024/25 accident year is projected to be 1.20% of earned wages, with the decrease relative to the implied projection of 1.23% of earned wages at the Previous Pricing Review being driven by favourable claim volumes experience.

Our assumptions for the 2025/26 underwriting year imply an ultimate cost as a proportion of written wages of 1.36%, which is 7.9% higher than the projection for accident year 2023/24.

The higher projection compared to more recent accident years is driven by the increased average claim size assumptions across all payment types, and in particular for weekly and medical benefits (refer to Section 2.4).

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5. Suggested Relativities and Premium Rates

Key Points

The ANZSIC classes have been grouped into 119 different "relativity groups" at the Current Pricing Review, with suggested premium rates for these relativity groups ranging from 0.4% to 12.35%.

For the 2023/24 underwriting year, it has been observed that the achieved relativity was lower than the suggested relativity for 10 of the 19 ANZSIC divisions. This indicates that about half of the divisions were charged lower premium rates than the suggested premium rates for 2023/24.

Up to and including 2021/2022, reported achieved rates have been lower than suggested rates, with this gap narrowing over time. The gap inverted for 2022/23, such that achieved rates are higher than suggested rates. This gap has widened for 2023/24.

The ANZSIC classes with the largest proportional increase in suggested premium rate were Sport and Camping Equipment Retailing (4241) and Clothing Retailing (4251). The ANZSIC class with the largest proportional decrease in suggested premium rate was Onshore Aquaculture (0203). Most of the ANZSIC classes with the largest increases and decreases in suggested premium rates were classes impacted by relativity regrouping that occurred between the Previous and Current Pricing Review and the increases in the overall premium rate, others were impacted by recent claims experience over the Current Pricing Review or continuing from the Previous Pricing Reviews.

5.1 Selected Relativities

The ANZSIC classes, as based on the 2006 classification system, have been allocated into 119 different "relativity groups" based on consideration of each class's claim frequency and payments experience, nature of activity and volume of wages.

The selected relativities range from 15% for the lowest relativity groups to 600% for the highest relativity group. Part I of this report provides details of the selected relativities and suggested premium rates, by ANZSIC class.

5.2 Suggested Premium Rates

The suggested rates by ANZSIC class are tabulated in Part I and is presented alongside the following supporting information:

- ANZSIC class code and description;
- adopted relativity group for rating purposes;
- estimated wages for underwriting year 2025/26;
- claim frequency relativity (average over the last 3 years) for the relativity group the class has been allocated to at the Current Pricing Review;
- attritional payments relativity (average over the last 5 years) for the relativity group the class has been allocated to at the Current Pricing Review;
- suggested relativity for 2025/26 (excluding large claim allowance);
- suggested relativity for 2025/26;
- suggested relativity for 2024/25; and
- suggested premium rate for 2025/26.

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These rates are intended to provide a guide to employers and licensed insurers. The rates charged by an insurer ("achieved rates") for an individual employer can be expected to differ from suggested rates, due to factors such as:

- riskiness of individual employers within an ANZSIC class;
- pricing and marketing strategy; and
- expense structure and required return on capital.

It is expected that an insurer will perform their own analysis to support their pricing, including analysis of the average premium rate, and at the level of individual risks.

5.3 Suggested versus Achieved Premium Relativities by ANZSIC Division

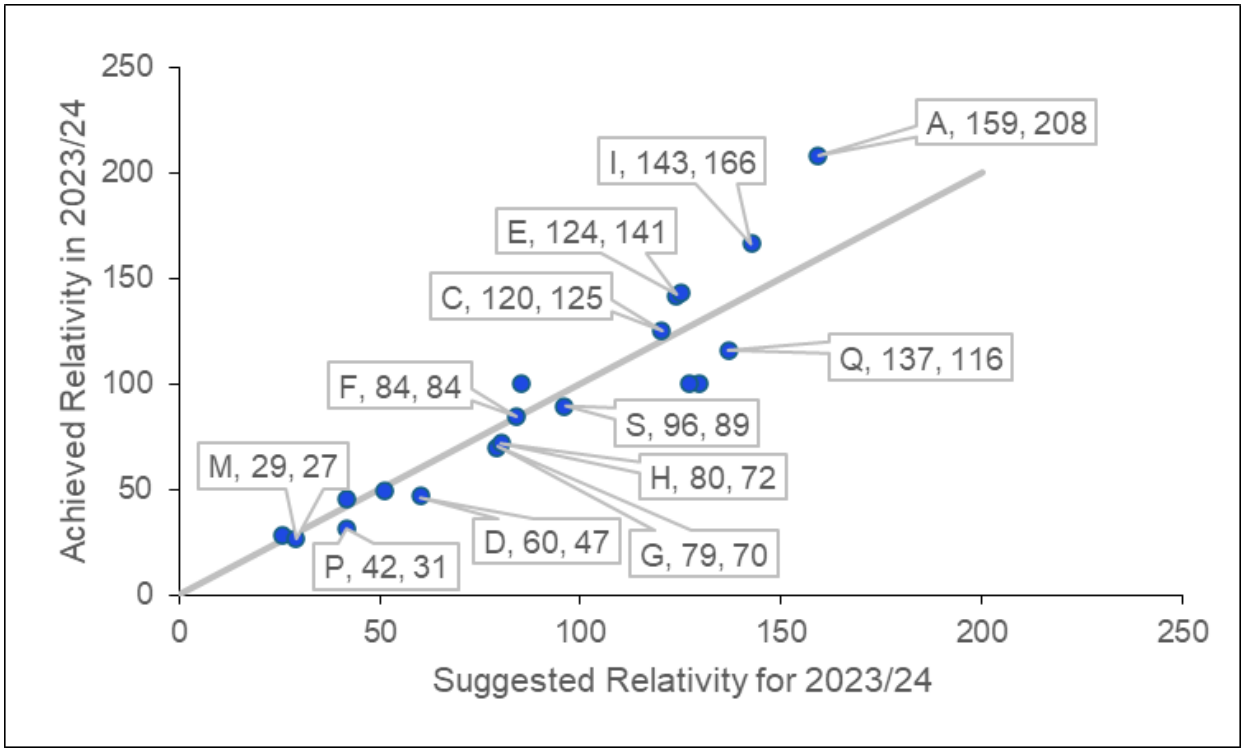
Achieved rates can be expected to differ from suggested rates. For the achieved rates, insurers may apply judgement, commercial reasons and other considerations in setting the premium rate for an individual employer. The overall impact may imply that the collected premium rate will not align with the suggested premium rate, at each ANZSIC level or at the scheme level.

This section compares suggested premium rate relativities for underwriting year 2023/24 with licensed insurers' achieved premium rate relativities for the 2023/24 year. This analysis has been performed by ANZSIC division, as can be seen in Figure 21 below.

Note that we have presented figures for the 2023/24 underwriting year, as this is the most recent year for which written wages and premiums data are sufficiently developed, which is essential to producing an accurate comparison between suggested and achieved relativities. Each point on the graph represents one of the 19 divisions, with the overall result for each division produced by weighting individual ANZSIC classes based on actual written wages for each class.

The 12 largest divisions (ranked based on each division's share of written wages for 2023/24) have been highlighted through the data labels in Figure 21.

Figure 21: Suggested versus Achieved Premium Relativities in 2023/24, by ANZSIC Division



Note: First value in the box for the division is the suggested relativity, the second value in the box for the division is the actual relativity

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ANZSIC divisions that lie on the 45-degree line have achieved relativities that are equal to suggested relativities. Points above the line represent divisions with achieved relativities that are higher than suggested relativities. For example, Division A has an achieved relativity of 208 versus a suggested relativity of 159. Points below the line represent divisions with achieved relativities that are lower than suggested relativities. For example, Division Q has an achieved relativity of 116 versus a suggested relativity of 137.

The achieved relativity is less than the suggested relativity for 10 of the 19 divisions. This indicates that most divisions were charged lower premium rates than suggested premium rates for 2023/24. For the remaining 9 divisions that fall above the 45-degree line, achieved premium rates were higher than suggested premium rates.

Note that differences in achieved and suggested relativities may indicate that insurers have a different view of the relative riskiness of divisions than that presented in our reports. Furthermore, licensed insurers tend to apply some level of self-experience rating for larger employers, whilst smaller employers tend to be rated closer to suggested rates. Thus, the achieved premium rate within each division is likely to differ by size of employer.

5.3.1 Movements in Suggested versus Achieved Relativities

In general, for the larger divisions (as highlighted in Figure 21), the relationships between achieved and suggested relativities are similar to those observed at the Previous Pricing Review for the 2022/23 underwriting year, except for Division I which previously had an achieved relativity that was close to the suggested relativity. In saying that, observations regarding divisions with noteworthy achieved versus suggested experience are as follows:

- For Division I (Transport, Postal and Warehousing), the achieved relativity (166) is 17% higher than the suggested relativity (143) for 2023/24. The gap between achieved and suggested relativity has widened since 2022/23, where the achieved relativity (157) was 1% lower than the suggested relativity (158).
- For Division A (Agriculture, Forestry and Fishing), the achieved relativity (208) is 30% higher than the suggested relativity (159) for 2023/24. The gap between achieved and suggested relativity has narrowed since 2022/23, where the achieved relativity (219) was 34% higher than the suggested relativity (163).
- For Division P (Education and Training), the achieved relativity (31) is 26% lower than the suggested relativity (42) for 2023/24. The gap between achieved and suggested relativity has widened since 2022/23, where the achieved relativity (34) was 11% lower than the suggested relativity (38).
- For Division D (Electricity, Gas, Water and Waste Services), the achieved relativity (47) is 22% lower than the suggested relativity (60) for 2023/24. The gap between achieved and suggested relativity has widened since 2022/23, where the achieved relativity (48) was 18% lower than the suggested relativity (58).
- For Division Q (Health Care and Social Assistance), the achieved relativity (116) is 15% lower than the suggested relativity (137) for 2023/24. The gap between achieved and suggested relativity is similar to 2022/23, where the achieved relativity (117) was 14% lower than the suggested relativity (135).
- For Division E (Construction), the achieved relativity (141) is 14% higher than the suggested relativity (124) for 2023/24. The gap between achieved and suggested relativity has widened since 2022/23, where the achieved relativity (140) was 9% higher than the suggested relativity (129).
- For Division G (Retail Trade), the achieved relativity (70) is 12% lower than the suggested relativity (79) for 2023/24. The gap between achieved and suggested relativity has widened since 2022/23, where the achieved relativity (77) was 9% lower than the suggested relativity (85).
- For Division H (Accommodation and Food Services), the achieved relativity (72) is 10% lower than the suggested relativity (80) for 2023/24. The gap between achieved and suggested relativity has narrowed since 2022/23, where the achieved relativity (74) was 13% lower than the suggested relativity (85).

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5.4 Suggested versus Achieved Rates by ANZSIC Division

The graphs in this section compare reported achieved rates with suggested rates, with the latter being re-weighted using actual wages written for each constituent ANZSIC class. We are unable to provide achieved rates for the 2024/25 underwriting year, given that premiums and wages were incomplete for this year as at 31 December 2024. Similarly, achieved rates for 2025/26 are unavailable, given that this year is yet to commence. As a result, suggested rates for 2024/25 and 2025/26 have been estimated using the wage distribution implied by the actual wages written for 2023/24. It should be noted that based on historic experience, the reported achieved rates for the most recent underwriting years will likely increase as premium adjustments are received. However, the extent of remaining development is uncertain.

The figure below shows each ANZSIC division's share of written wages reported to date for the 2023/24 underwriting year.

Figure 22: Written Wages Reported to Date for 2023/24, by ANZSIC Division

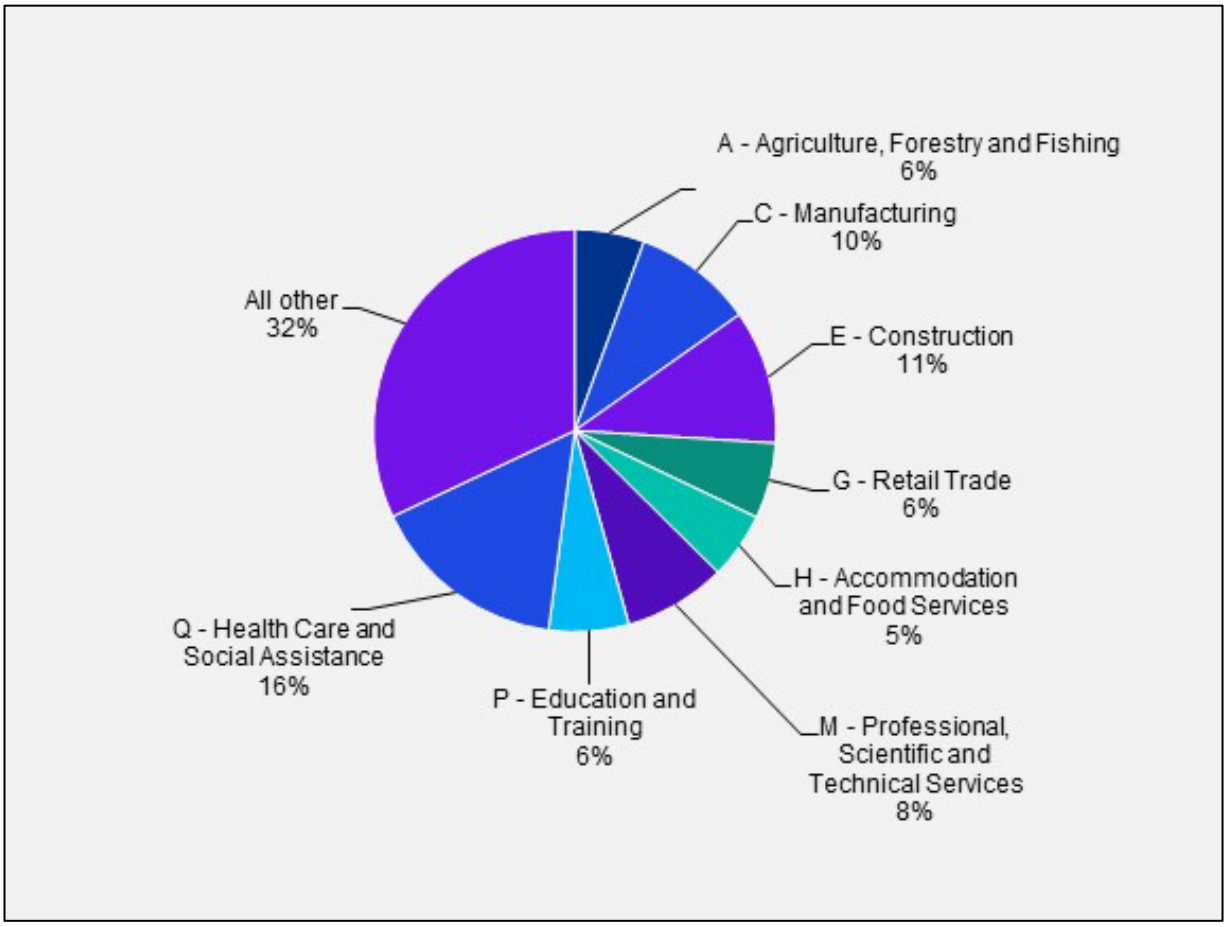

Figure 22 shows that the eight largest divisions (Q, E, C, M, P, G, H, and A) collectively account for 68% of wages for 2023/24. As such, below we have presented suggested versus achieved premium rates for these eight largest divisions in individual graphs, and combined the remaining 11 divisions into 'All Other'.

The figure below compares overall suggested and achieved premium rates for licensed insurers.

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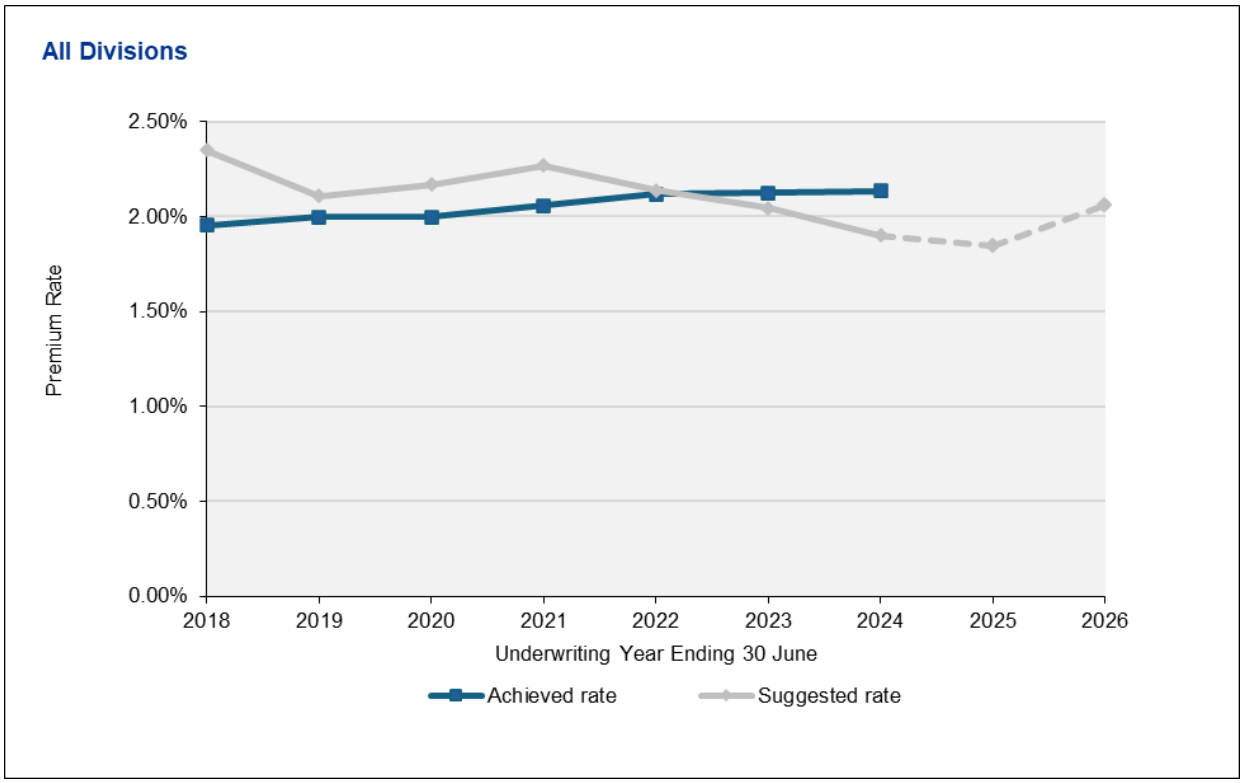
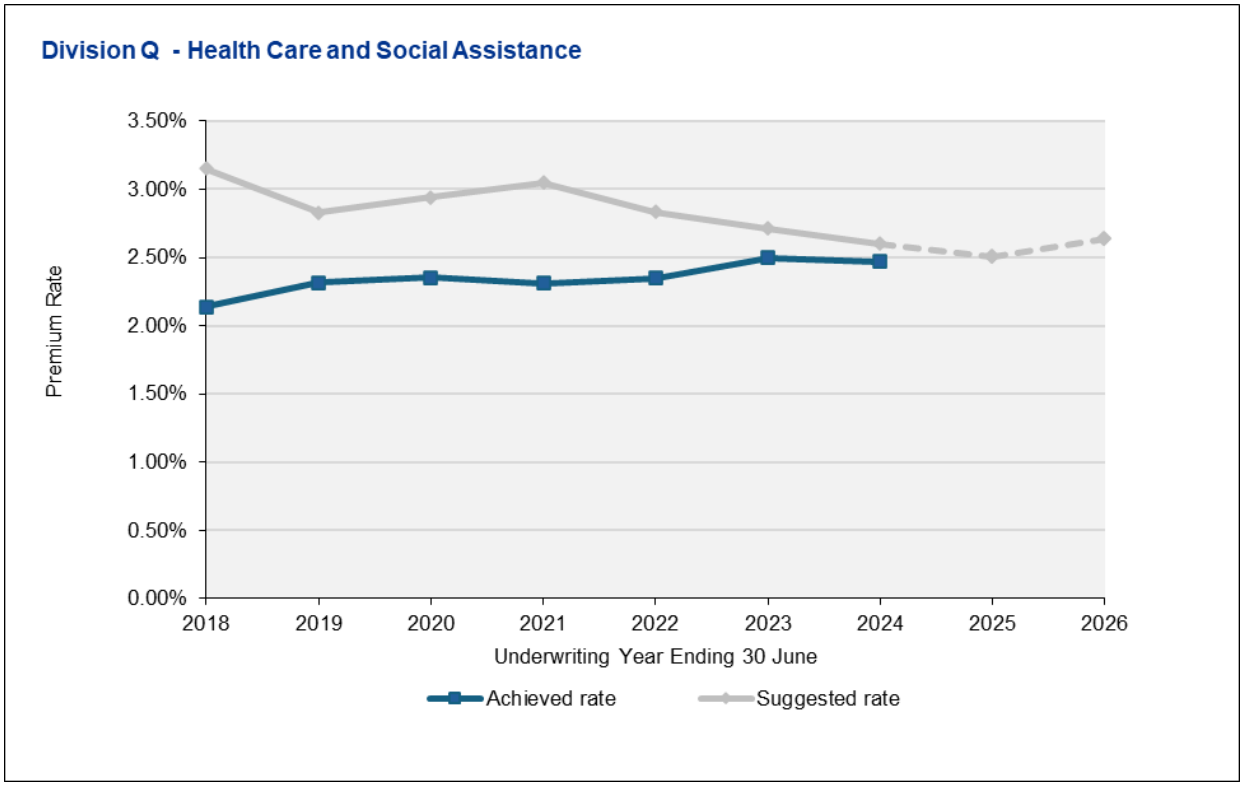
Figure 23: Suggested versus Achieved Rates



Up to and including 2021/22, reported achieved rates have been lower than suggested rates, albeit this gap has narrowed over time. The gap has now inverted for underwriting year 2022/23, such that achieved rates are higher than suggested rates. This has resulted in most divisions seeing a level of convergence between achieved and suggested rates, which can be observed in most of the figures presented below. For the 2023/24 underwriting year, the achieved rate reported to date is equivalent to 112% of the suggested rate (increased from 104% in 2022/23).

Figure 24: Suggested versus Achieved Rates, Division Q (Health Care and Social Assistance)



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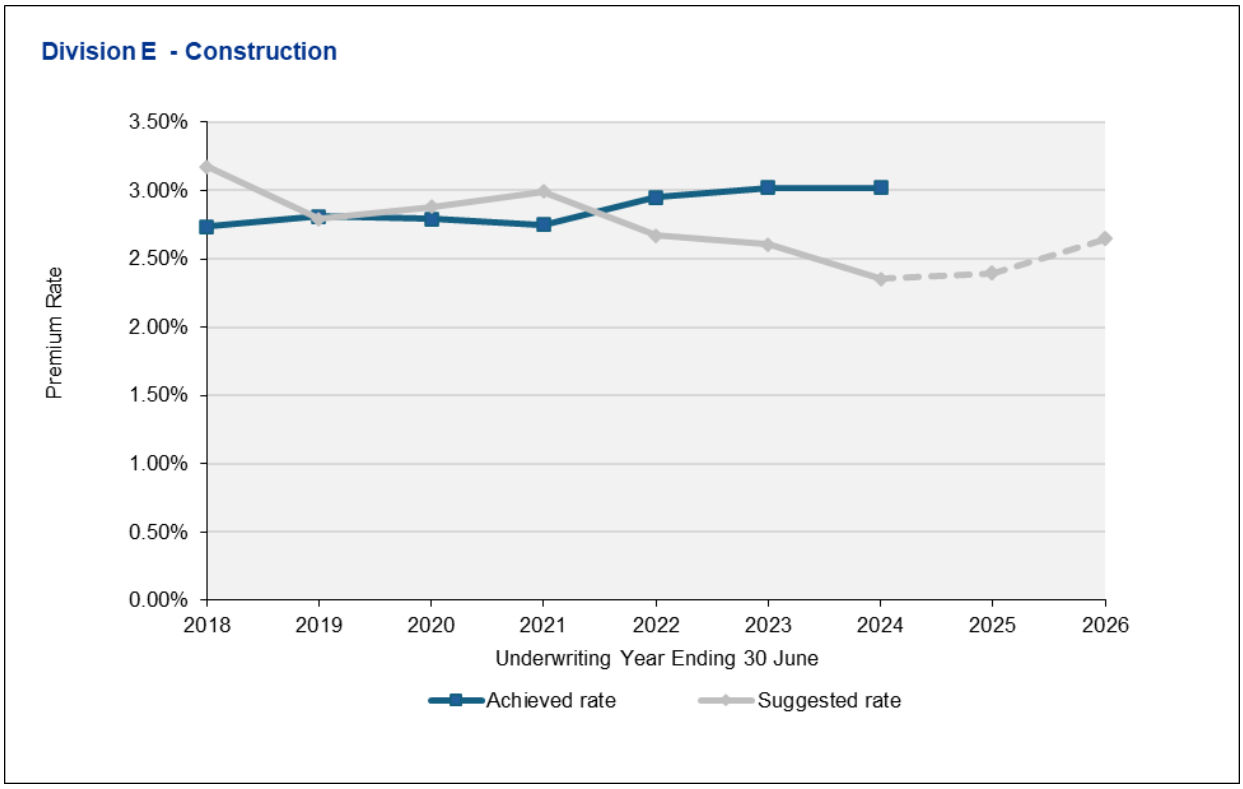
The suggested and achieved rates for Division Q (Health Care and Social Assistance) maintained a relatively large gap up to 2020/21, but has since narrowed. Since 2020/21, the suggested rate for Division Q has gradually fallen in line with the rate of decrease for the overall rate average.

For Division Q, the achieved rate reported to date for the 2022/23 underwriting year is equivalent to 94% of the suggested rate (increased from 92% in 2022/23).

The suggested rate for Division Q reduced from 2.60% for 2023/24 to 2.51% for 2024/25, then increased to 2.64% for 2025/26.

Figure 25: Suggested versus Achieved Rates, Division E (Construction)



The suggested and achieved rates for Division E (Construction) have fluctuated over time, with suggested rates being higher than achieved rates for most years between 2017/18 to 2020/21. The last three underwriting years show that achieved rates have begun to emerge higher than suggested rates. The achieved rate reported to date for the 2023/24 underwriting year is equivalent to 128% of the suggested rate (increased from 116% in 2022/23).

The suggested rate for Division E had increased slightly from 2.35% for 2023/24 to 2.39% for 2024/25, then increased to 2.64% for 2025/26.

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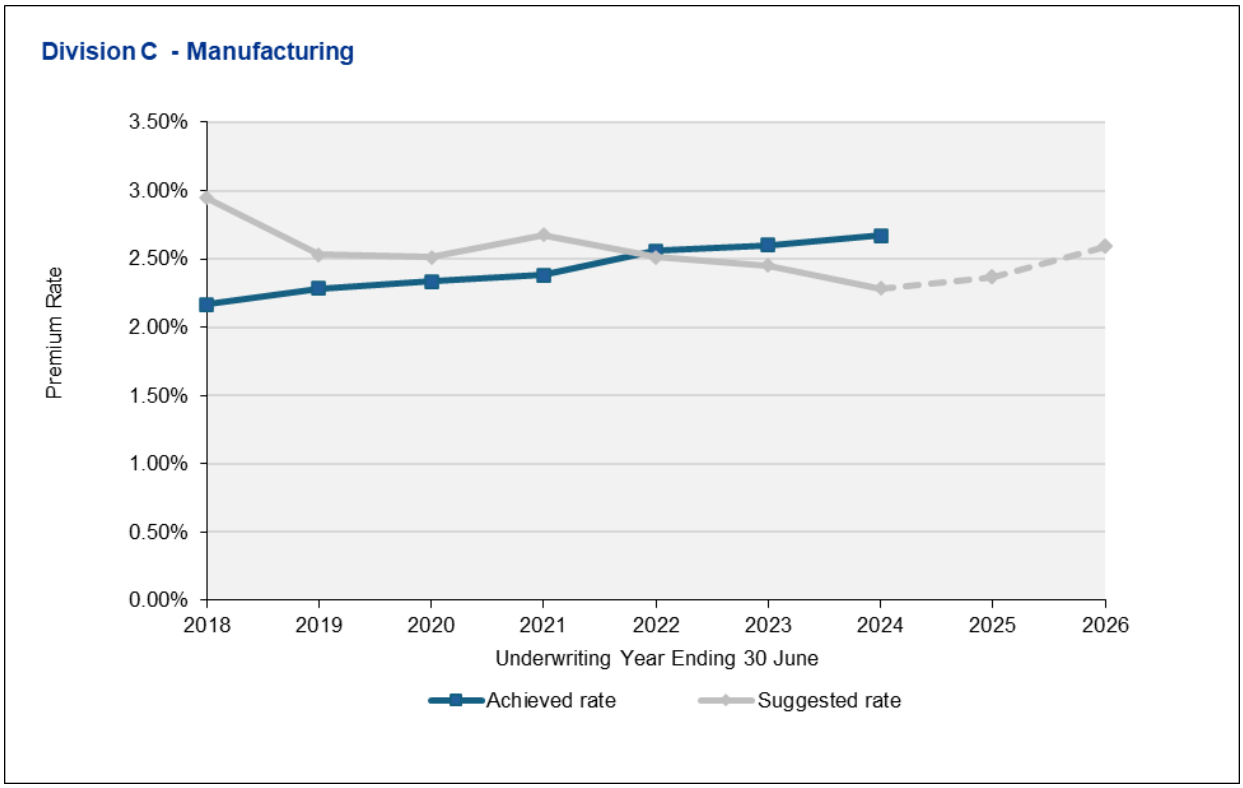
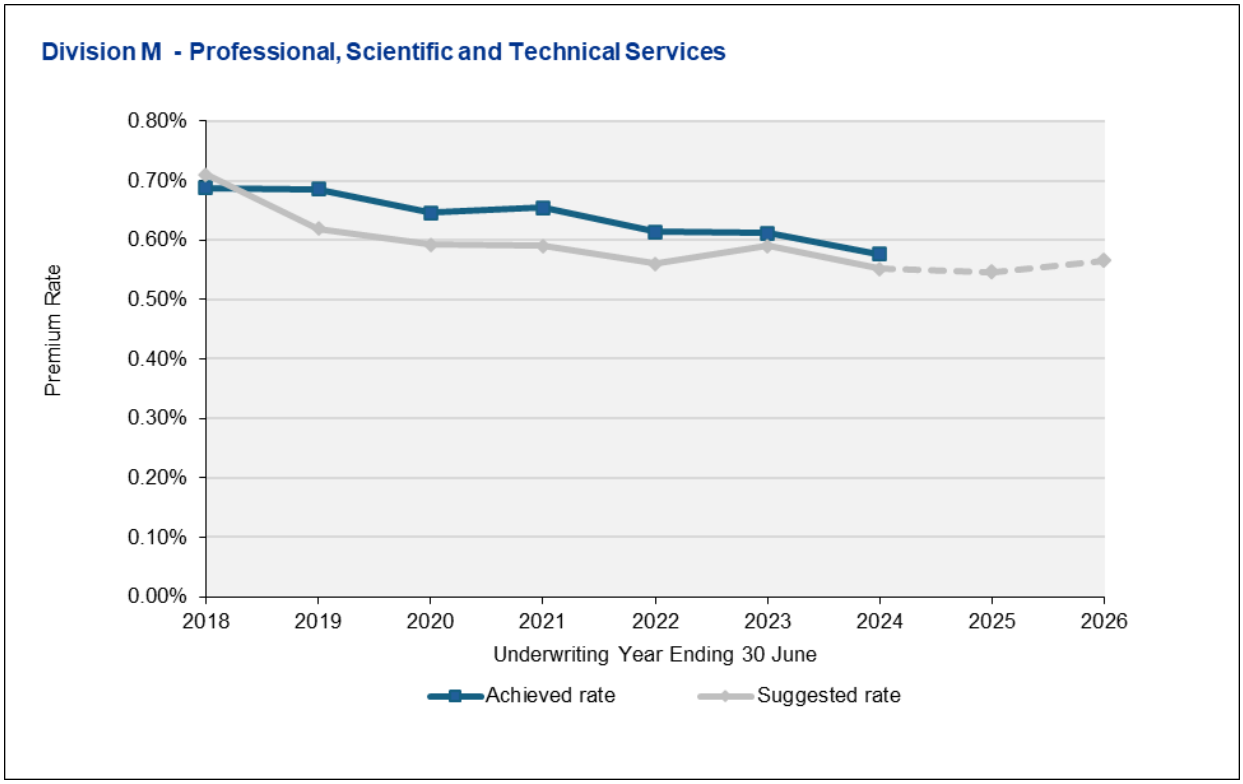
Figure 26: Suggested versus Achieved Rates, Division C (Manufacturing)



The gap between suggested and achieved rates for Division C (Manufacturing) has been small for the last six underwriting years. The achieved rate reported to date for the 2023/24 underwriting year is equivalent to 116% of the suggested rate (increased from 106% in 2022/23).

The suggested rate for Division C had increased from 2.28% for 2023/24 to 2.37% for 2024/25, then increased to 2.59% for 2025/26.

Figure 27: Suggested versus Achieved Rates, Division M (Professional, Scientific and Technical Services)



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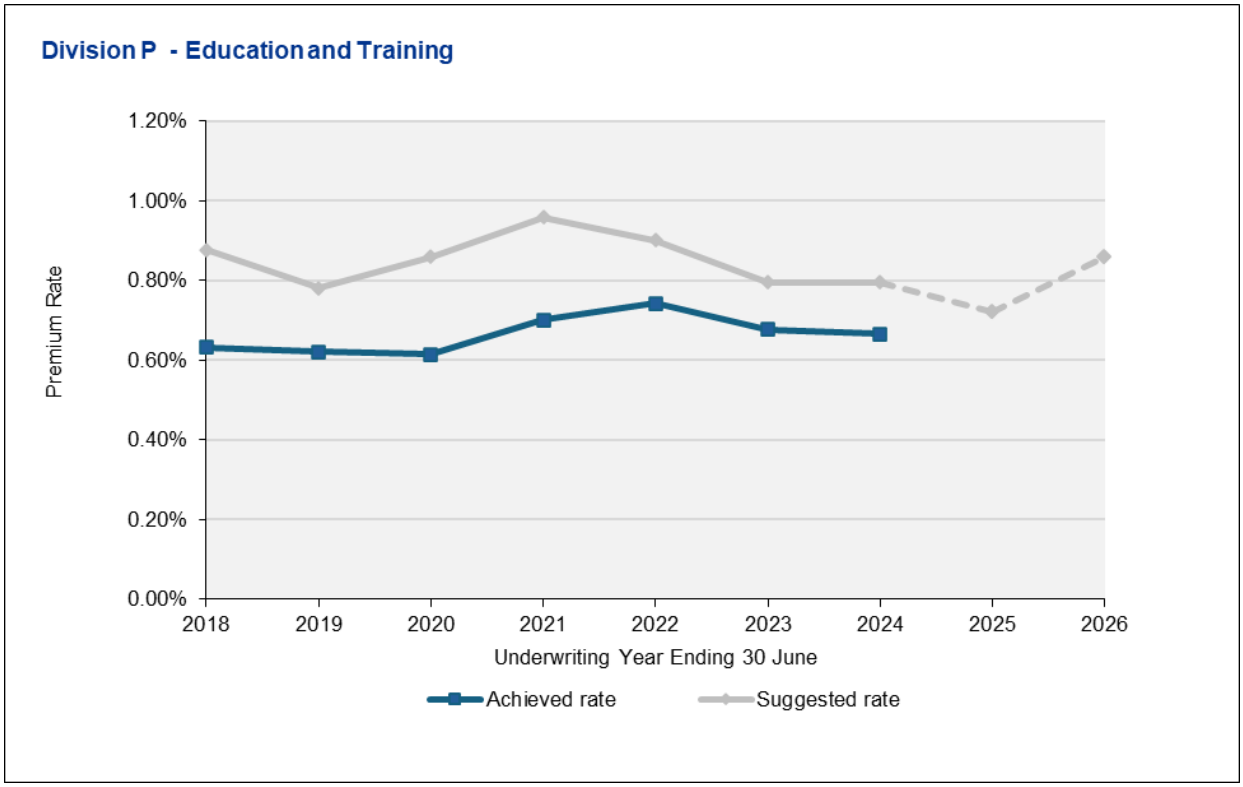
The suggested and achieved rates for Division M (Professional, Scientific and Technical Services) have been relatively stable and similar across all underwriting years shown. From 2018/19 onwards, achieved rates have been consistently higher than suggested rates. The achieved rate reported to date for the 2023/24 underwriting year is equivalent to 104% of the suggested rate (increase from 103% in 2022/23).

The suggested rate for Division M has been stable at 0.55% for 2023/24 and 2024/25, then increased slightly to 0.57% for 2025/26.

Figure 28: Suggested versus Achieved Rates, Division P (Education and Training)



The gap between the suggested and achieved rates for Division P (Education and Training) have been relatively stable over time. The achieved rate reported to date for the 2023/24 underwriting year is equivalent to 84% of the suggested rate (decreased from 86% in 2022/23).

The suggested rate for Division P has reduced from 0.80% for 2023/24 to 0.72% for 2024/25, then increased to 0.86% for 2025/26.

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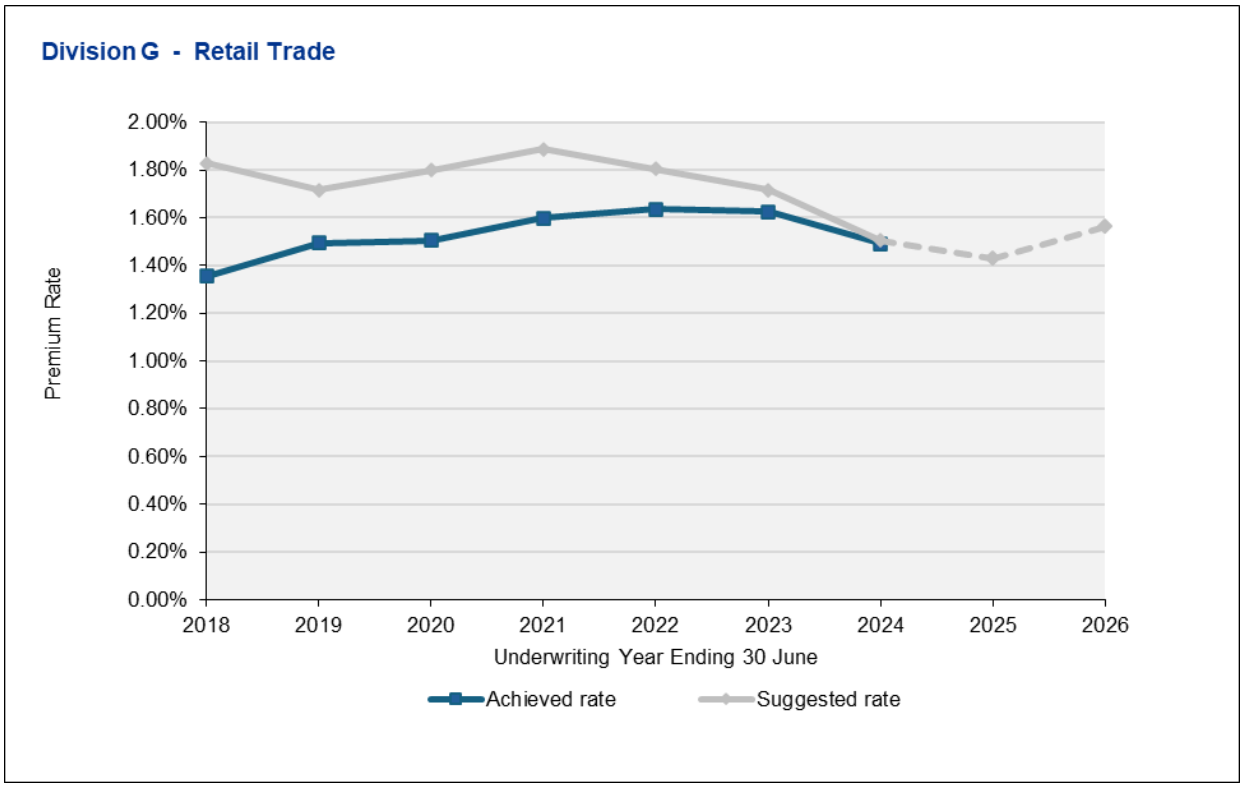
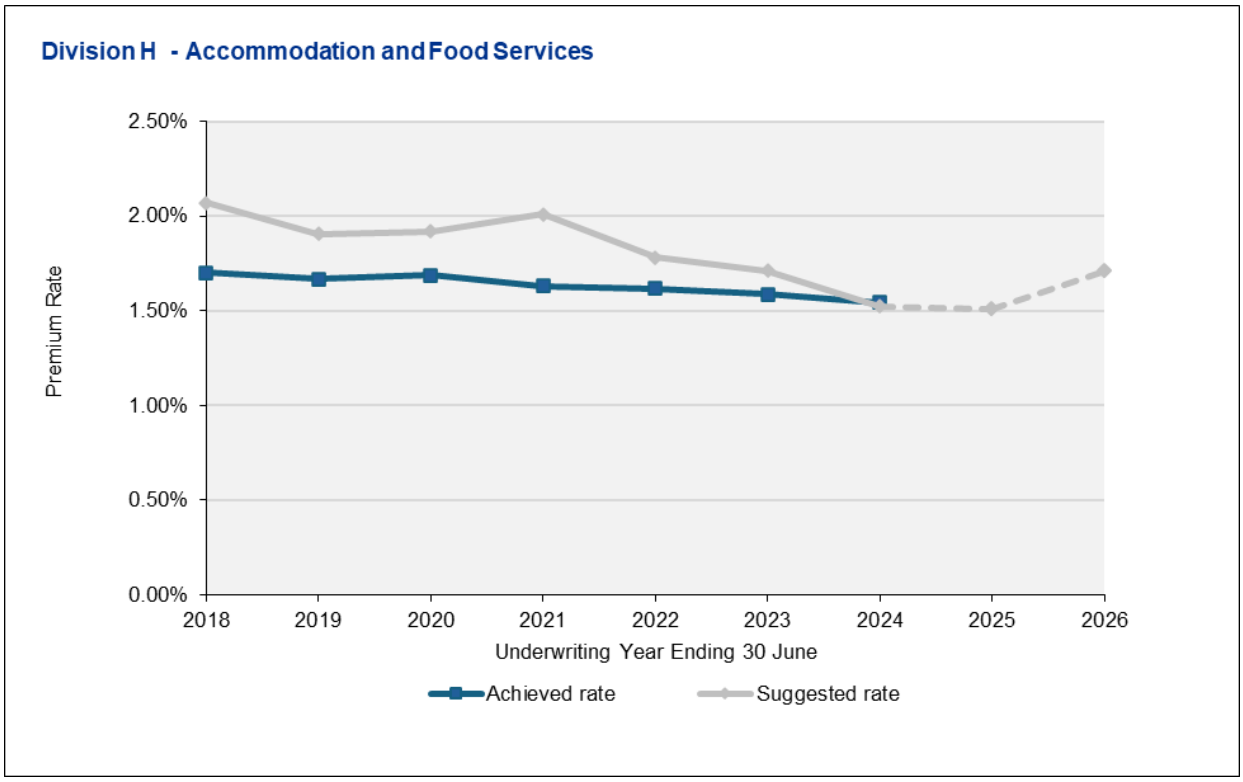
Figure 29: Suggested versus Achieved Rates, Division G (Retail Trade)



The achieved rates for Division G (Retail) have remained lower than the suggested rates across all underwriting years shown, although the gap has narrowed over time. The achieved rate reported to date for the 2023/24 underwriting year is equivalent to 99% of the suggested rate in 2023/24 (increased from 95% in 2022/23).

The suggested rate for Division G has reduced from 1.50% for 2023/24 to 1.43% for 2024/25, then increased to 1.56% for 2025/26.

Figure 30: Suggested versus Achieved Rates, Division H (Accommodation and Food Services)



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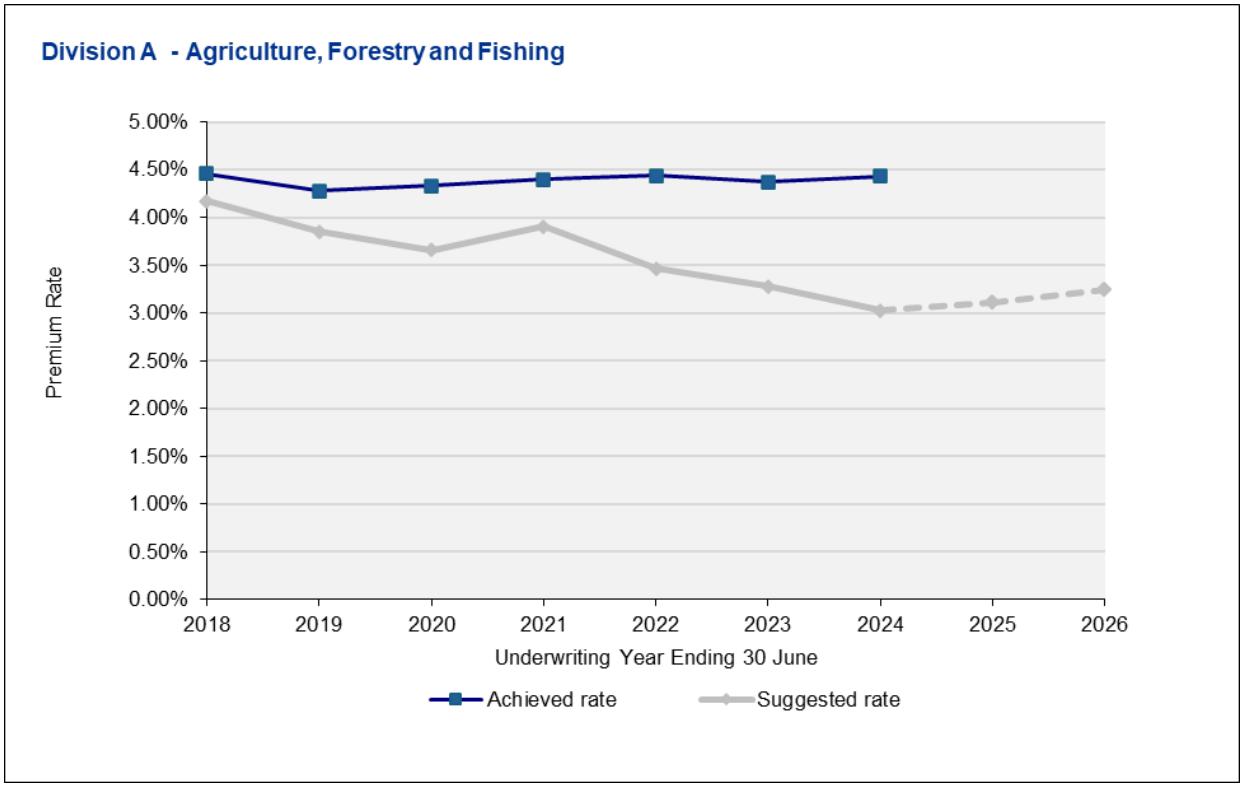
The achieved rates for Division H (Accommodation and Food Services) have been trending downwards gradually, while suggested rates have been trending downwards more sharply over the last six years. The suggested rates have been higher than the achieved rates, albeit the gap has narrowed recently. The achieved rate reported to date for the 2023/24 underwriting year is equivalent to 101% of the suggested rate (increased from 93% in 2022/23).

The suggested rate for Division H has reduced slightly from 1.52% for 2023/24 to 1.51% for 2024/25, then increased to 1.71% for 2025/26.

Figure 31: Suggested versus Achieved Rates, Division A (Agriculture, Forestry and Fishing)



The achieved rates for Division A (Agriculture, Forestry and Fishing) have remained higher than suggested rates for the last six years, with the gap widening over time. The achieved rate reported to date for the 2023/24 underwriting year is equivalent to 146% of the suggested rate (increased from 133% in 2022/23).

The suggested rate for Division A had increased from 3.03% for 2023/24 to 3.11% for 2024/25, then increased to 3.25% for 2025/26.

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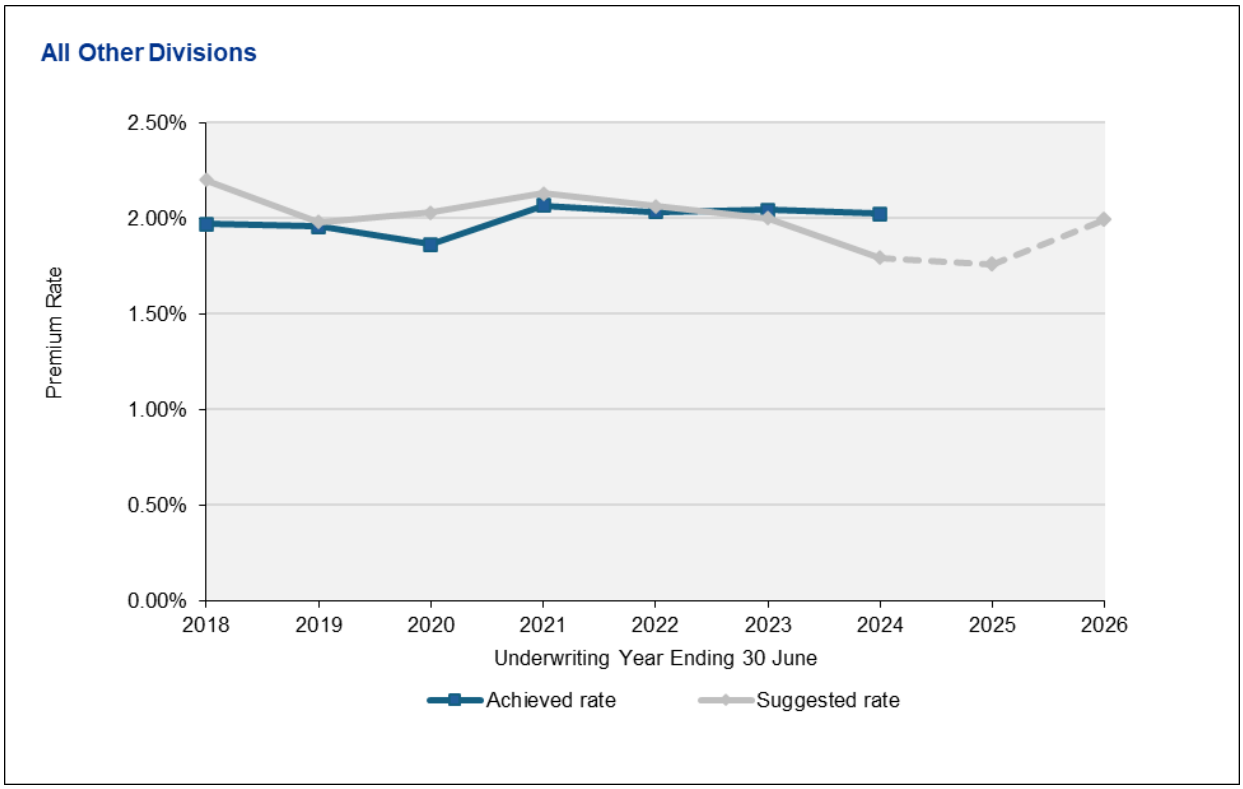
Figure 32: Suggested versus Achieved Rates, All Other Divisions



For 'All Other' divisions (which encompasses the remaining 11 divisions or approximately 32% of wages), achieved rates have been very similar to suggested rates for many years. The achieved rate reported to date for the 2023/24 underwriting year is equivalent to 113% of the suggested rate (increased from 102% in 2022/23).

The suggested rate for 'All Other' divisions had reduced from 1.79% for 2023/24 to 1.76% for 2024/25, but has increased to 1.99% for 2025/26.

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5.5 ANZSIC Classes with Large Changes in Suggested Premium Rates

The table below summarises ANZSIC classes with the largest proportional **increases** in suggested premium rates, between the Previous and Current Pricing Review.

Table 16: ANZSIC Classes with the Largest Proportional Increases in Suggested Premium Rates

Rel Group	ANZSIC	Description	2025/26	2024/25	Change
124	4241	Sport and Camping Equipment Retailing	1.13%	0.85%	+33.19%
	4251	Clothing Retailing			

For 2025/26, the wages for these two classes are expected to be $90.8 million. They were previously part of relativity group 56, which included nine other retail ANZSIC classes (4222, 4242, 4243, 4244, 4245, 4252, 4259, 4271, 9491) covering pharmaceuticals, cosmetics, newspapers, toys, games, and footwear.

Their claim experience relativity was found to be *higher* than the other classes in the group, both in terms of claim frequency and claim size. Thus, they have been regrouped to a new relativity group with a higher adopted relativity, from 45 to 55 (+22%). This, along with an overall premium rate increase, has led to a 33.19% rise in their suggested rate.

As a result, the remaining ANZSIC classes in relativity group 56, with wages expected to be $171.1 million, have seen their suggested rate decrease from 0.85% in 2024/25 to 0.82% in 2025/26, a decrease of 3.13%.

126	3019	Other Residential Building Construction	3.50%	2.64%	+32.55%

This class, with wages for the 2025/26 year expected to be $38.5 million, was previously part of the relativity group 36, which included ANZSIC class 3011 (House Construction) with expected wages of $260.8 million.

The claim frequency relativity for Other Residential Building Construction (370) was significantly *higher* than that for House Construction (147), whilst the claim size relativity was also marginally *higher*.

The decision to separate these two ANZSIC classes to form their own relativity groups has resulted in an increase in the adopted relativity for Other Residential Building Construction from 140 to 170 (+21%), as well as a decrease in the adopted relativity for House Construction from 140 to 125 (-11%).

The 32.55% increase in the suggested rate for Other Residential Building Construction reflects both the overall premium rate increase and adopted relativity increase.

The suggested rate for House Construction has decreased from 2.64% in 2024/25 to 2.57% in 2025/26, a decrease of 2.54%.

76	5511	Motion Picture and Video Production	0.62%	0.47%	+31.39%
	5512	Motion Picture and Video Distribution			
	5513	Motion Picture Exhibition			
	5514	Post-production Services and Other Motion Picture and Video Activities			
	5521	Music Publishing			
	5522	Music and Other Sound Recording Activities			
	5610	Radio Broadcasting			
	5621	Free-to-Air Television Broadcasting			
	5622	Cable and Other Subscription Broadcasting			
	6020	Other Information Services			
	6632	Video and Other Electronic Media Rental and Hiring			

The implied technical relativity based on the emerged claims experience for this relativity group is *higher* than the adopted relativity from the Previous Pricing Review, thus the adopted relativity at the Current Previous Review has increased from 25 to 30 (+20%).

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Rel Group	ANZSIC	Description	2025/26	2024/25	Change
The increase of 31.39% in the suggested premium rate reflects both the overall premium rate increase and adopted relativity increase.					
125	9551	Business and Professional Association Services	0.82%	0.66%	+24.75%
	9552	Labour Association Services			
These classes cover employee associations, unions and other professional associations. These are distinct from the ANZSIC class 7212 (Labour Supply Services), which covers labour hire employees. For these two classes, the wages for the 2025/26 year are expected to be approx. $94.1 million. The classes were previously part of the relativity group 73, which included eight business, operations and administration type ANZSIC classes (5291, 6924, 6940, 6950, 7291, 7293, 7294, 7299). The claim experience relativity of these two classes was identified as sufficiently *higher* than the remaining ANZSIC classes in the relativity group, both in terms of claim frequency and claim size. We have moved these classes to a new relativity group, being relativity group 125. As a result, the adopted relativity has increased from 35 to 40 (+14%). The increase of 24.75% in the suggested premium rate reflects both the overall premium rate increase and adopted relativity increase. In respect of the remaining ANZSIC classes within relativity group 73, with expected wages of $191.7 million, its adopted relativity has decreased from 35 to 30 (-14%). The suggested rate has decreased from 0.66% in 2024/25 to 0.62% in 2025/26, a decrease of 6.43%.					
46	3323	Industrial and Agricultural Chemical Product Wholesaling	1.75%	1.41%	+24.09%
	3331	Timber Wholesaling			
	3332	Plumbing Goods Wholesaling			
	3736	Paper Product Wholesaling			
	3739	Other Goods Wholesaling n.e.c.			
The ANZSIC classes within this relativity group covers wholesaling of various non-household products. The wages for the 2025/26 year are expected to be $59.4 million. Given the implied technical relativity for this relativity group is *higher* than the adopted relativity from the Previous Pricing Review, the adopted relativity has increased from 75 to 85 (+13%) at the Current Previous Review. The resulting increase of 24.09% in the suggested premium rate reflects both the overall premium rate increase and adopted relativity increase.					
50	3606	Liquor and Tobacco Product Wholesaling	1.75%	1.41%	+24.09%
	3711	Textile Product Wholesaling			
	3712	Clothing and Footwear Wholesaling			
	3720	Pharmaceutical and Toiletry Goods Wholesaling			
	3731	Furniture and Floor Covering Wholesaling			
	3732	Jewellery and Watch Wholesaling			
	3733	Kitchen and Diningware Wholesaling			
	3734	Toy and Sporting Goods Wholesaling			
	3735	Book and Magazine Wholesaling			
	3800	Commission-Based Wholesaling			
The ANZSIC classes within this relativity group covers wholesaling of various household and personal products. The wages for the 2025/26 year are expected to be $66.3 million. Recent favourable claims experience in this relativity group has led to slight improvements in the claim frequency and claim size relativities, however the implied technical relativity for this relativity group remains *higher* than the adopted relativity from the Previous Pricing Review. Consequently, the adopted relativity has increased from 75 to 85 (+13%) at the Current Previous Review. The resulting increase of 24.09% in the suggested premium rate reflects both the overall premium rate increase and adopted relativity increase.					

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The table below summarises ANZSIC classes with the largest proportional **decreases** in suggested premium rates, between the Previous and Current Pricing Review.

Table 17: ANZSIC Classes with the Largest Proportional Decreases in Suggested Premium Rates

Rel Group	ANZSIC	Description	2025/26	2024/25	Change
122	203	Onshore Aquaculture	2.26%	2.64%	-14.23%

This wages for Onshore Aquaculture for the 2025/26 year are expected to be $133.2 million.
This class was previously part of the relativity group 6, which included eight other fishing related ANZSIC classes (0201, 0202, 0411, 0412, 0413, 0414, 0419, 0529).

The claim experience relativity of this class was identified as sufficiently *lower* than the remaining ANZSIC classes in the relativity group, both in terms of claim frequency and claim size. We have moved this class to a new relativity group, being relativity group 122. As a result, the adopted relativity has decreased from 140 to 110 (-21%). The resulting decrease in the suggested premium rate of 14.23% reflects the net effect of the overall premium rate increase and adopted relativity decrease.

In relation to the remaining ANZSIC classes within relativity group 6, with expected wages of $184.8 million, its adopted relativity has increased from 140 to 155 (+11%). The suggested rate has increased from 2.64% in 2024/25 to 3.19% in 2025/26, an increase of 20.85%.

123	3234	Fire and Security Alarm Installation Services	2.16%	2.45%	-11.78%
	3239	Other Building Installation Services			
	3241	Plastering and Ceiling Services			

The wages of these three classes for the 2025/26 year are expected to be $81.2 million. These classes were previously part of relativity group 41, which included five other trade ANZSIC classes (3231, 3233, 3242, 3243, 3244), such as plumbing, air conditioning, painting and carpentry services.

Their claim experience was found to be significantly more favourable than the other classes in the group, particularly in terms of claim size. Thus, these classes have been moved to a new relativity group with a *lower* adopted relativity, from 130 to 105 (-19%). The resulting decrease in the suggested rate of 11.78% reflects the net effect of the overall premium rate increase and the adopted relativity decrease.

As a result, the remaining ANZSIC classes in relativity group 41, with expected wages of $250.4 million, have seen their suggested rate increase from 2.45% in 2024/25 to 2.98% in 2025/26, an increase of 21.83%.

82	6419	Other Auxiliary Finance and Investment Services	0.51%	0.56%	-8.11%
	6420	Auxiliary Insurance Services			

The wages for the 2025/26 year are expected to be $143.9 million. Continued low claims experience for both ANZSIC classes has resulted in an implied technical relativity for this relativity group that is *lower* than the adopted relativity from the Previous Pricing Review. Therefore, the adopted relativity has decreased from 30 to 25 (-17%) at the Current Previous Review.

The resulting change in the suggested rate of 8.11 reflects the net effect of the overall premium rate increase and the adopted relativity decrease.

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6. Our Approach

There is a two-step approach to developing the premium rates for each ANZSIC level,

- First, an overall average premium rate for the scheme is estimated;
- Second, a relativity for each ANZSIC level is determined, based on the relative risk level of each ANZSIC to the scheme.

6.1 Overall Average Premium Rate

The estimate of the expected future claims cost is based on our analysis of wages, claim counts and payments for licensed insurers to 31 December 2024. The estimate is discounted for the time value of money.

There is allowance for future economic and superimposed inflation.

Expenses and a profit margin are also added to derive an average overall premium rate. In short, the overall average premium rate reflects a 'central estimate' view of the level of premium required for the scheme to be in a fully funded position.

We have projected the expected claims cost for the 2025/26 underwriting year based on:

- our projection of written wages (see Section 2.1);
- our adopted claim frequency assumption (see Section 2.2);
- our adopted average claim size assumption (see Section 2.4); and
- allowances for inflation and the time value of money (see Sections 3.2 and 3.1, respectively).

Insurer expenses have been estimated based on our analysis of expenses figures reported by insurers each financial year to WorkSafe as part of the End of the Financial Year Reconciliations. See Section 3.4 for further details.

The profit margin is set at a level that is anticipated to provide a reasonable return on the insurers' capital. See Section 3.5 for further details.

6.2 Premiums for Individual ANZSIC Classes

The premium rate for each individual ANZSIC class is calculated based on a relativity factor (associated with the "relativity group" that each ANZSIC class has been allocated to), multiplied by the suggested average premium rate.

The relativity factor is in essence a measure of the risk of the ANZSIC class(es) that belong to that relativity group, relative to the overall licensed insurer sector.

Details of the process for determining premium rates by ANZSIC class are outlined in the following sections.

6.2.1 Relativity Groups

There are 506 individual ANZSIC classes, with the volume of wages written for some classes being relatively small. As such, it is necessary to adopt an approach of allocating classes to "relativity groups", in order to:

- reduce the claims and payments volatility that would otherwise affect our calculation of relativity factors at an individual ANZSIC class level; and thereby
- improve premium rate stability for individual ANZSIC classes.
- At each pricing review, we consider the appropriateness of the assigned relativity group for each ANZSIC class. In particular, we consider whether there is merit in changing the relativity group allocation for classes that meet the following criteria:

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- the class's relativity is more than +/-20% different to the overall relativity for the remaining classes in its current relativity group; and
- the class is of sufficient size and, hence, the different relativity experience is likely to be credible (a class is deemed to meet this criterion, if written wages have been averaging more than $25 million p.a. and/or the average number of claims reported has been greater than 15 p.a.).

The 506 ANZSIC classes have been allocated to 119 different relativity groups at the Current Pricing Review, considering the claim frequency and payments relativities, nature of activities and volume of wages of each class.

Accordingly, these factors are also considered when determining which classes to reassign relativity group and which relativity group is it appropriate for the class to be recategorized to.

We note that there were 114 different relativity groups at the Previous Pricing Review. Table 18 lists the ANZSIC classes that were regrouped, as well as their relativity groups at the Previous Pricing Review ("Previous") and the Current Pricing Review ("Current"). The regrouping resulted in the creation of four new relativity groups (122, 123, 124, 125 and 126). Table 16 and Table 17 in Section 5.5 provide context regarding the rationale for regrouping these ANZSIC classes.

Table 18: ANZSIC Classes Regrouped Between Previous and Current Pricing Review[1]

		Relativity Group	
ANZSIC	ANZSIC06 Class Description	Previous	Current
203	Onshore Aquaculture	6	122
3019	Other Residential Building Construction	36	126
3234	Fire and Security Alarm Installation Services	41	123
3239	Other Building Installation Services	41	123
3241	Plastering and Ceiling Services	41	123
4241	Sport and Camping Equipment Retailing	56	124
4251	Clothing Retailing	56	124
4273	Antique and Used Goods Retailing	59	55
4279	Other Store-Based Retailing n.e.c.	59	55
6961	Corporate Head Office Management Services	86	125
9551	Business and Professional Association Services	73	125
9552	Labour Association Services	73	125

[1] Relativity groups 122 to 126 represent new relativity groups that did not exist in the Previous Pricing Review.

6.2.2 Calculation of Group Relativities

Analysis of the relative risk level includes consideration of recent claim frequency and payment experience of each ANZSIC.

The relativity of claim frequency is based on the experience in the last 3 years; while the relativity of payment relativity is based on experience in the last 5 years. The payment relativity includes a large claims loading.

The initial relativity factor for each relativity group is calculated as a weighted average of the claim frequency relativity and the payments relativity.

Weightings are provided to each component, with 25% weighting is given to the claim frequency relativity and 75% weighting is given to the payment relativity. The greater weight on payment relativity reflects the allowance for the underlying risk being more heavily associated with the cost of each relativity group.

Large Claims Loading

Our methodology continues to allow for the risk (and cost) of large claims by ANZSIC division (rather than at an ANZSIC class level). This approach acknowledges the infrequent occurrence of large claims at the ANZSIC class level, while also acknowledging certain divisions represent a higher share of large claims costs.

Large claim costs are defined as the portion of each claim's cost that falls between $410,374 and $655,081 in 31 December 2024 values (i.e. $300,000 and $500,000 in 31 December 2015 values).

The large claim loading is calculated for each relativity group as follows:

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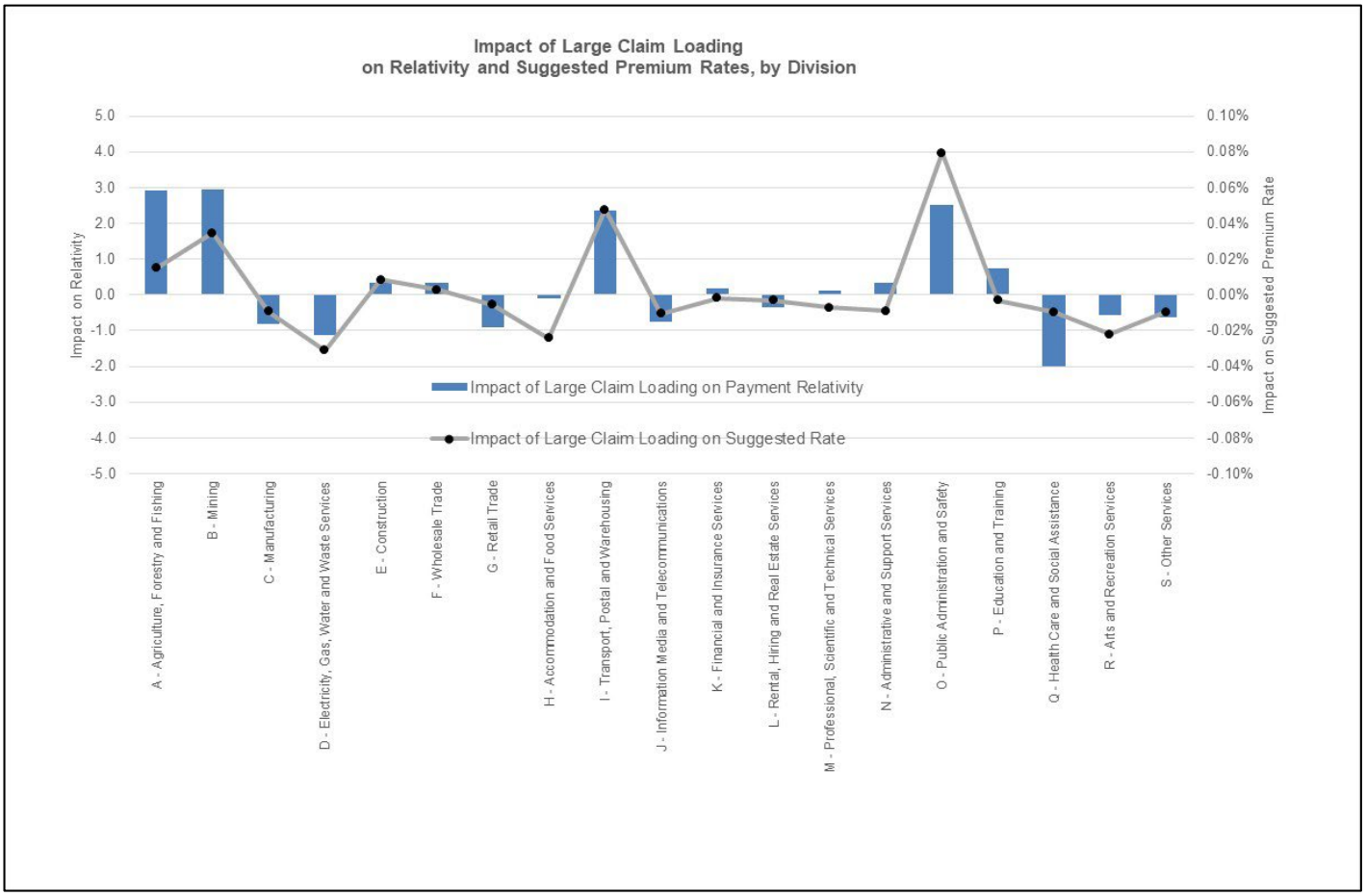
- First, a “major division” is assigned for each relativity group, being the ANZSIC division identified as the dominant division amongst the individual ANZSIC classes the make up the relativity group.
- The large claim loading is then calculated for each relativity group as:
  - the average annual large claim cost over the ten underwriting years prior to the four most recent underwriting years (as large claims often take time to develop) for the major division associated with the relativity group; multiplied by
  - projected 2025/26 wages of the relativity group as a proportion of all wages for relativity groups that have been assigned the same major division.

The large claim loading for each relativity group is then added to the attritional relativity for the relevant group. Our approach implies that claims costs above $655,081 for each claim are spread proportionally across all ANZSIC classes.

Figure 33 below shows the impact of the large claim loading by ANZSIC division on the overall relativity of the division, as well as the impact on the suggested premium rate for the division.

Figure 33: Impact of Large Claim Loading on Relativity and Suggested Premium Rates, by Division



The inclusion of the large claim loading has led to mixed impacts on each division’s relativity and, hence, their suggested premium rate.

Of the 19 ANZSIC divisions, 4 experienced an increase in the selected relativity following the inclusion of the large claims loading, five experienced a decrease and the rest had very minimal impact.

Generally, the directional impact on suggested premium rates are either consistent with the impact on relativity (e.g. both positive movements or both negative movements), or neutral (i.e. no impact from the inclusion of the large claim loading) which tends to occur for divisions with smaller volumes of wages (e.g. Divisions K and L).

Various factors such as claim frequency relativities being given 25% weight in our selected relativities, capping/cupping adjustments (as will be discussed in Section 6.2.3) and selected relativities being rounded to the nearest 5%, will lead to differences in the quantum of the impact of the relativity and suggested rates.

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6.2.3 Capping and Cupping of Relativities

Once the relativities (including large claim loading) have been determined for each relativity group, a capping and cupping process is performed to facilitate an element of stability of the selected relativities over time. This involves an adjustment to the selected relativity, if the difference between the selected relativity at the Previous Pricing Review and the calculated relativity at the Current Pricing Review exceeds a certain threshold.

For ANZSIC classes that belong to a relativity group that has been affected by regrouping (i.e. the relativity groups mentioned in Table 18), the threshold is a difference of +/- 20%. For all remaining ANZSIC classes, the threshold is a difference of +/- 10%. The higher threshold for ANZSIC classes impacted by regrouping is to allow for the more significant movement in selected relativity that is expected to accompany a regrouping decision.

For illustration, the relativity adopted for relativity group 2 was 180 at the Previous Pricing Review. The relativity factor (prior to capping, cupping and rounding) selected at the Current Pricing Review is 324. Since 324 is 80% higher than the relativity adopted at the Previous Pricing Review (and hence meets the relevant threshold), a capping adjustment is required. As such, the final relativity selected for relativity group 2 at the Current Pricing Review is 200 (180 x 1.1, noting that the selected relativities are rounded to the nearest multiple of five).

6.2.4 Calculation of Premium Rates

The suggested premium rate for each ANZSIC class is calculated by first multiplying the selected relativity (after capping/cupping) for the class's relativity group by the suggested average premium rate. The resultant suggested premium rates by ANZSIC class are then normalised to ensure that the suggested average premium rate of 2.06% is achieved.

Consistent with previous years, we have maintained a minimum premium rate of 0.40% per million dollar of wages.

There is no maximum cap on the premium rate.

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7. Reliance and Limitations

The results presented in this report are subject to a number of limitations, reliances and assumptions as outlined in the following sections.

7.1 Distribution and Use

This report is being provided for the use of the Board for the purposes stated in Section 1.1 of this report. It is not intended, nor necessarily suitable, for any other purpose. This report should only be relied on by the Board for the purpose for which it is intended. This report should be considered as a whole.

We understand that WorkSafe will publish this report on their website. Permission is granted for such publication on the condition that the entire report (including appendices), rather than any excerpt, be distributed.

Third parties, including but not limited to parties who obtain this report from WorkSafe's website, should recognise that the use of this report is not a substitute for their own due diligence and should place no reliance on this report or the data contained herein which would result in the creation of any duty or liability by KPMG to the third party.

KPMG has performed the work assigned and has prepared this report in conformity with its intended utilisation by a person technically competent in the areas addressed and for the stated purposes only. Judgements about the conclusions drawn in this report should be made only after considering the report in its entirety, as the conclusions reached by a review of a Section or Sections on an isolated basis may be incorrect.

This report should be considered in its entirety.

7.2 Professional standards

The report complies with the requirements of the current Code of Professional Conduct issued by the Institute of Actuaries of Australia.

While there are no specific Professional Standards that would apply to this exercise, there is a more general guideline (referred to as Practice Guideline 1 – General Actuarial Practice1) which is designed to cover professional advice which is not covered under a specific standard.

This guideline covers activities such as data analysis, assumption setting and communication of results. KPMG regards the approach taken as reasonable for the purpose and believe that it complies with PG1.

7.3 Data

The report relies on the completeness and accuracy of information compiled and provided by WorkSafe Tasmania. We have not verified that the data is accurate or complete, but we have checked it for internal consistency and for consistency with information provided for previous work performed.

We note that WorkSafe is reliant on the accuracy of the data supplied to them by licensed insurers. It should also be noted that if any data or other information is inaccurate or incomplete, we should be advised so that our advice could be revised, if warranted.

7.4 Uncertainty

There is a limitation to the accuracy of the results contained in this report because of the inherent uncertainty of the projection of the overall average premium rate and ANZSIC level relativities.

For the overall average premium rate, the estimates of future costs and cashflows are intended to be central estimates and, as such, are based on assumptions selected without deliberate bias towards either over-estimation or under-estimation. As the premium rate relate to a future underwriting year, it is not possible to put a value on future costs and cashflows with certainty.

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Outcomes are dependent on future events, including legislative, social and economic factors. Although we have prepared estimates in conformity with what we believe to be the likely future experience, actual experience could vary considerably from our estimates. Deviations are normal and are to be expected.

We have generally assumed that the development of claims and payments will occur in a similar pattern to that observed previously. We have not anticipated any extraordinary changes to the legal, social or economic environment (or to the interpretation of policy language) that might affect the cost, frequency or future reporting of claims. In our judgement, we have employed techniques and assumptions that are appropriate, and the conclusions presented herein are reasonable, given the information currently available. However, it should be recognised that future claims and payments emergence will likely deviate, perhaps materially, from our estimates.

As a result, there is a limitation to the accuracy of the results contained in this report because of the inherent uncertainty of the estimation of claims costs. Furthermore, the volume of data and experience for the individual ANZSIC level, and their inherent volatility creates additional uncertainty in our analysis.

We also note that suggested premium rates are a guide for licensed insurers and insurers should undertake their own analysis in determining premium rates.

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Part III: Appendices

A Data

A.1 Approach to Use of Data

A.1.1 Data Supplied

We have received WIMS data for payments, claims, coverages, policies, and case estimates as at 31 December 2024, with the data being extracted during the month of March 2025.

The WIMS data we received was comprised of the following components:

- individual claim header file with information for each claim incurred since 30 June 1988;
- claim payment transaction file with payments made (by payment type);
- case estimate file showing the reported incurred cost, paid to date and case estimate, for each open claim;
- individual policy header file, with information for each policy written since 30 June 1988; and
- premium file (also known as coverage file), with the premium and wages information for each policy.

We also received the following reports, which were extracted/prepared outside of the WIMS environment:

- End of Financial Year Reconciliations for each financial year up to and including 2023/24 – this report includes data for each insurer/self-insurer (as well as for the Tasmanian State Service) regarding:
  - gross earned premiums and total claim payments made during the financial year;
  - expenses (which is split out into categories relating to items such as administrative expenses, commissions and brokerage, reinsurance costs, and levies); and
  - outstanding claims reserves (which includes items such as case estimates, allowances for IBNR/IBNER, recoveries, and the prudential margin).
- Data for silicosis claims reported to date ("Silicosis injuries as at 06032025.xlsx") which contained claim information, injury details, industry, insurer and employer information, payments to date, and total estimated payments.

A.1.2 Data Adjustments

Based on previous discussions with WorkSafe, we understand that there have been instances where some insurers have miscoded null values as zeros. To account for this, we adopted the following approach:

The value selected for premium is as per the following hierarchy:

- the "Actual Final Premium" data field, if neither zero nor null;
- if not possible, then the "Adjusted Amount" data field, if neither zero nor null;
- if not possible, then the "Initial Deposit" data field, if not null; and
- if not possible, then set to be zero.

The value selected for wages is as per the following hierarchy:

- the "Actual Wages" data field, if neither zero nor null;
- if not possible, then the "Estimated Wages" data field, if not null; and
- if not possible, then set to be zero.

In addition to this, we have made the following adjustments, to the premium file:

- assigned coverages a underwriting year that is based on defining financial year as the year ending 29 June (this is consistent with how insurers prepare their statutory returns);

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- removing coverages with zero or negative durations, as we were advised by WorkSafe that such data records do not represent valid coverages;
- allocating wages to separate coverage financial years, for coverages longer than 12 months (we have been advised that wages have already been pro-rated by insurers, for coverages shorter than 12 months – hence, no adjustment is required for these coverages); and
- where more than one coverage record exists with the same policy ID, ANZSIC class and effective date, we have consolidated these records into one record (this had minimal impact on the aggregate amount of wages/premiums).

A.1.3 Data Reconciliation

We have relied on information provided by WorkSafe, in relation to the interpretation of the data. We have not independently verified or audited the data, but we have reviewed it for general reasonableness and consistency (e.g. internal consistency and consistency with data provided for previous reports).

For the data up to 31 December 2024, we have cross-checked between the different datasets, as well as compared to the data documented in the Previous Pricing Review.

The following areas were particularly checked for consistency:

- claim counts and payments;
- written and earned wages; and
- written and earned premiums.

A.1.4 Goods and Services Tax (GST)

Data since the introduction of the GST is reported net of GST. No explicit adjustment has been made to the data to allow for the impact of GST.

A.1.5 Employer Excess Claims

The employer excess was removed for accidents occurring from 1 January 2018 onwards. Nevertheless, experience (and, hence, data) relating to accidents occurring before this date were impacted by the excess. Unless explicitly indicated otherwise, all figures in this report are inclusive of both below and above excess claims and payments.

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A.2 Detailed File Specifications

The following sets out detailed specifications of the files supplied for this review.

A.2.1 Individual Claim Header File

We received an individual claim listing ("claims extract no narrative 05.03.25.csv") for all claims incurred since 30 June 1988. This

includes the variables listed below:

- Claim number ("ClaimID", "Claim Number")
- Coverage identifier, which is used as unique identifier link to the policy file
- Accident date
- Report date, which is the date that the claim was notified to the insurer by the employer
- Lodgement date, which is the date that the claim was lodged with the employer
- Insurer code, which is used to identify the relevant insurer ("Insurer Number")
- Four-digit ANZSIC class (both ANZSIC93 and ANZSIC06)
- Type of injury ("Injury")
- Mechanism of injury ("Mechanism")
- Part of body injured ("Body Location")
- Agency of injury ("Agency")
- Claim finalised date.

A.2.2 Claim Payment Transaction File

We received an individual claim payment transaction file ("payments extract 06.03.25.csv") for all payments made since 30 June 1989. This includes the following variables:

- Claim number ("ClaimID", "Claim Number")
- Insurer code ("Insurer Number")
- Unique payment record number ("PaymentID")
- Date of transaction
- Amount of payments by benefit type ("Payment Type Code")
- Indicator of payments as being under or above excess ("Payment Source Type Code")
- Number of minutes in lost time ("Time Lost in Minutes").

A.2.3 Coverage File

We received an individual premium file ("coverage extract 05.03.25.csv") for all policies with exposure since 30 June 1988. The file includes the variables listed below:

- Policy number ("Policy Id", "Policy Number")
- Insurer code ("Insurer Number", "Insurer Name")
- Unique coverage transaction record number ("Coverage Id", "Coverage External Reference")
- Four-digit ANZSIC class (both ANZSIC93 and ANZSIC06)
- Start date of period of cover ("Effective Date")
- End date of period of cover ("Expiry Date")

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- Number of workers (“Estimated Workers”/“Actual Workers”)
- Wages in dollars (“Estimated Wages”/“Actual Wages”)
- Premiums charged (“Initial Deposit”/“Adjusted Amount”/”Actual Final Premium”).

A.2.4 Individual Policy Header File

We received an individual policy listing (“policy extract 05.03.25.csv”) for all policies written since 30 June 1988. The file includes the variables listed below:

- Policy number (“PolicyId”, “Policy Number”)
- Insurer code (“Insurer Number”, “Insurer Name”)
- Australian Business Number to which the record relates (“Employer ABN”)
- Name of employer (“Employer Name”)
- Employer postcode (“EMPLOYER ADDRESS POSTCODE”)

A.2.5 Case Estimate File

We received an individual case estimate file (“case estimates 05.03.25.csv”) showing insurers’ estimates of amounts outstanding. The file includes the following variables:

- Claim number (“ClaimID”, “Claim Number”)
- Insurer code (“Insurer Number”, “Insurer Name”)
- Incurred claim cost (“Total Estimated Payments”)
- Payments to date (“Total Payment Amount”)
- Outstanding amount (“Outstanding Amount”)

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B Legislative Reforms

This appendix summarises the various legislative reforms that have had an impact on the Tasmanian workers' compensation scheme. The reader should refer to the relevant legislation for full details of the changes. We have also included commentary on a number of other changes that have impacted the Scheme.

B.1 1995 Amendments

The amendments introduced on 15 August 1995 brought about the following changes to benefit payments:

- step-downs in the replacement ratio for weekly benefits (prior to this, the replacement ratio was always 100%);
- introduction of the employer excess for weekly benefits (one week's worth of benefits);
- introduction of the employer excess for medical and related payments ($200);
- abolishment of the ability to redeem statutory entitlements;
- removal of coverage for journey claims; and
- tightening of conditions for stress claims.

B.2 2001 Amendments

On 1 July 2001, the following changes were introduced:

- further reduction in the replacement ratio for weekly benefits, and replacement of the monetary cap on weekly benefits with instead a ten year time limit;
- ten year time limit for medical and related payments;
- a threshold of 30% WPI to access common law (previously, access was unrestricted);
- replacement of the Table of Maims benefits with benefits based on WPI, with a 5% threshold and an increase in the maximum benefit; and
- reinstatement of the ability to redeem statutory entitlements.

B.3 2004 Amendments

Following the Rutherford Review into the Tasmanian workers' compensation scheme, amendments were introduced to wind back some elements of the 2001 amendments. The key change introduced on 29 June 2004 was that the replacement ratios for weekly benefits would increase, although not to the level they were following the 1995 amendments. To counter some of the cost increase associated with this change, the ten year time limit was reduced to nine years. This amendment was applied retrospectively to 1 July 2001, with insurers able to recover from the Nominal Insurer their costs for claims retrospectively impacted.

B.4 2007 Amendments

The 2007 amendments were introduced on 31 October 2007, with the purpose of correcting a number of anomalies in the Act that were considered to result in undue harshness for some workers. The amendments included:

- making it easier to prove and assess industrial deafness claims;
- changes to the calculation of the weekly compensation benefit rate, for casual employers and employees with short employment histories;
- introduction of coverage for jockeys for race-riding work; and
- tightening of the "at work" and "in the course of work" tests for coverage of diseases.

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These amendments were expected to have a minimal impact on the cost of the Scheme.

B.5 2009 Amendments

In October 2009, the Tasmanian government passed a set of amendments to the Act. These amendments were the outcome of the so-called "Clayton reforms" which followed the release of the September 2007 Clayton report. The Clayton report was the result of an investigation into the fairness and equity of current benefits, and the comparability of Scheme benefits (both statutory and common law) and premiums with those of other Australian jurisdictions.

These amendments to the Act only applied to injuries that occurred on or after the effective date of the legislation (which was 1 July 2010).

As part of the amendments, weekly benefit step-downs and replacement ratios were modified as follows:

Table 19: 2009 Amendment Changes

Duration	Pre-2009 Amendments	Post-2009 Amendments
First 13 weeks	100%	100%
14 to 26 weeks	85%	100%
27 to 78 weeks	85%	90%, or 95% if the injured worker is able to perform suitable alternative duties but the employer does not enable it
79 weeks to maximum duration	80%	80%, or 85% if the injured worker is able to perform suitable alternative duties but the employer does not enable it

In addition, the maximum period that weekly payments can be paid for was revised to be as follows:

- for WPI of less than 15%, maximum duration is nine years;
- for WPI of 15% or more but less than 20%, maximum duration is 12 years;
- for WPI of 20% or more but less than 30%, maximum duration is 20 years; and
- for WPI of 30% or more, maximum duration is to pension age.

The step downs shown in Table 19 do not apply if the worker engages in work for more than 50% of their normal weekly hours in accordance with their return-to-work or injury management plan.

Other changes that were made as part of the 2009 amendments include:

- an increase to weekly benefits for dependent children;
- an increase to the lump sum death benefit and the maximum lump sum permanent impairment benefit (both increased from 369 units to 415 units);
- reduction in the threshold (from 30% WPI to 20% WPI) to access common law;
- introduction of requirements that the Tribunal needs to be satisfied of, for claims to be settled through agreement between parties within two years of the claim being made;
- expansion of benefits for medical and related services to include household services, road accident rescue services and counselling services to the worker's family members (in the case of the death of the worker);
- setting the maximum payment period for medical and related services to be one year following the cessation of weekly benefits, or, if not entitled to weekly benefits, one year following the date the claim is made (this can be modified at the Tribunal's discretion); and
- to encourage early reporting, the employer has up to three days to notify its insurer of a claim. If it fails to do so, the employer is liable for the cost of weekly benefit payments from day three until the claim is reported (this is effectively an extension of the employer excess for employers who report claims late).

A number of procedural and other changes were also made to the Act (e.g. statement of Scheme goals, medical assessment procedures, injury management programs, etc.).

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B.6 2013 Amendments

In 2013, amendments to the Act established a presumption that a certain class of cancers developed by fire-fighters were taken to be work-related unless proven otherwise, thus making the process of claiming compensation less onerous for this cohort of injured workers. In 2017, this presumptive clause was further strengthened by an additional amendment, which removed requirements for volunteer fire-fighters to have attended a specified number of exposure events before the presumption would apply.

B.7 January 2018 Amendments

Amendments to remove excessive 'red tape' associated with the Scheme were introduced on 1 January 2018. In particular, the amendments included the:

- removal of the employer excess and introduction of a requirement for employers to insure the full amount of their workers' compensation liabilities; and
- removal of age restrictions for weekly benefits, with this being replaced by a link to the Social Securities Act1991 (Cth). This meant there was no gap between when a person's entitlement to weekly compensation payments ceased (on account of age) and when any entitlement to the Age Pension may have begun (this amendment applied to all workers whether their injury occurred before or after the effective date of the amendment).

A number of other procedural and general changes were also made to the Act.

B.8 October 2018 Amendments

On 31 October 2018, the Tasmanian government issued an administrative employment direction to public sector agencies, introducing presumptive provisions for post-traumatic stress disorder (PTSD) claims. Similar to the earlier introduction of fire-fighter cancer presumption, these provisions required government agencies to accept diagnosed PTSD claims as work-related unless proven otherwise.

B.9 2019 Amendments

In September 2019, amendments were made to the Act to remove the step-down provisions relating to weekly benefit entitlements, but only for police officers.

B.10 2023 Amendments

Amendments to Sections 27 and 87 of the Workers Rehabilitation and Compensation Act 1988 ('the Act') came into effect from 1 March 2023.

The change to Section 27 granted employees of the Bushfire Risk Unit of the Tasmanian Fire Service entitlement to the presumptive cancer clause that other Tasmanian firefighters were already entitled to.

The changes to Section 87 ('Section 87 amendments') set the cessation date for receiving weekly benefits to be:

- the pension age, if the injury occurred two years or more before the pension date; and
- two years after the date of injury, if the injury occurred less than two years before the pension age or occurred after the pension age.

The changes to Section 87 were intended to further lessen any discriminatory impact of a worker's age, whereby workers injured after their pension age were not subject to cessation of weekly benefits, whilst workers injured before pension age were subject to cessation of weekly benefits.

B.11 Proposed Amendments

We are not aware of any proposed amendments.

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B.12 Other Changes Impacting the Scheme

These include:

- Tasmania's current Work Health and Safety (WHS) laws commenced on 1 January 2013. These laws mirror the provisions of the national model developed by Safe Work Australia. During 2013, WorkSafe observed a decrease in claims from medium sized employers that we understand may be attributed to these WHS changes.
- The Primary Treating Medical Practitioner role, introduced on 1 July 2010, required medical professionals to spend more time with injured workers at the initial consultation phase. This meant there was an initial one-off increase in the numbers of claims exceeding the employer medical excess. We suspect that these were from claimants with more minor injuries.
- The Tasmanian Guidelines for Assessing Permanent Impairment (Version 2) came into effect 1 April 2011, applying to all assessments conducted after this date, regardless of when the injury occurred or was reported. Version 3 of the Guidelines was issued on 1 October 2011 to incorporate AMA5 for all respiratory assessments. The impact of the Guidelines have now been reflected in the past 12 or so years of lump sum experience.

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C Valuation Approaches Used

For each of these methods, a quarterly approach has been adopted. That is, claim experience is analysed across accident quarters and payment delay quarters.

C.1 Chain Ladder Method

The Chain Ladder Ratio (CLR) method is typically used for projecting claim numbers. It looks at patterns in the development of cumulative claim numbers from one development period to the next. The selected ratios of development (the chain ladder ratios) are multiplied with the current level of cumulative claim to project future numbers.

In the case of claim numbers, we have used the CLR method to project the ultimate number of claims for each accident period. The analysis was based on cumulative number of claims to reduce the volatility in the experience.

C.2 Payments per Claim Incurred Method

The Payments per Claim Incurred (PPCI) method considers the average amount paid per claim incurred at intervals subsequent to the injury.

Payments (expressed in valuation date values) are summarised by accident quarter and development quarter. Dividing these summarised payments by the corresponding claims exposure generates patterns of average Payments per Claim Incurred for each accident quarter up to the latest development quarter for which data is available. An adopted Payments per Claim Incurred is determined for each development quarter. Projected payments are derived by multiplying the claims exposure by the adopted PPCI for each future development quarter.

For medical and legal/investigation benefits, total claim numbers are used for claims exposure, while lump sum claim numbers are used for lump sum benefits.

C.3 Payments per Active Claim Method

The Payments per Active Claim (PPAC) method is particularly useful for modelling payment types where payments are made at regular intervals (i.e. periodic payment types). It considers the average amount paid to claims on benefits (the “active” claims) during intervals subsequent to injury. We have used the PPAC method for modelling weekly benefits.

A claim is defined as active when it has received at least one weekly payment in the development quarter. The number of active claims for the weekly payment type is then tabulated by accident quarter and development quarter.

Using the active claim tabulation, the number of active claims in future periods is projected using a Continuance Rate approach. In doing so, we consider historical experience regarding the ratio of active claims in each development quarter versus the preceding quarter, and set “continuance rate” assumptions in line with observed experience for these ratios.

The main driver in the PPAC modelling methodology is the number of active claims, and in particular the number of active claims in the latest diagonal (i.e. the number of actives in the quarter of the valuation date), as the selected continuance rates assumptions are applied to the latest diagonal to project future active claims.

Payments (expressed in valuation date values) are summarised by accident quarter and development quarter. Dividing these payments by the active claim numbers generate patterns of average Payments per Active Claim, for each accident quarter up to the latest development quarter for which data is available. An adopted Payments per Active Claim is determined for each development quarter. Projected payments are derived by multiplying future active claims by the adopted PPAC for each future development quarter.

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D Wages

Wages recorded in the coverage file can develop over time, due to wage audits, reporting delays and changes in the initial wage estimates for each policy. Changes in the initial wage estimate for conventional policies may occur at policy expiry; while burner policies may occur at policy settlement that is up to 5 years post policy expiry. To track the development of wages, we tabulate written wages by renewal quarter and delay quarter. We then use the Chain Ladder Ratio Method to produce estimates of ultimate written wages.

Table 20 shows reported to date written wages for licensed insurers by underwriting year and our estimates of ultimate written wages (in nominal values – "uninflated" – and 31 December 2024 values – "inflated").

The gross-up factor shown represents the multiplicative difference between our reported to date and ultimate estimates of wages. Gross-up factors for older years are one because no further development of wages is expected for these years.

Table 20: Reported to Date and Ultimate Written Wages for Licensed Insurers, by Underwriting Year ($m)

Underwriting Year	Reported (uninflated)	Reported (inflated)	Gross-up Factor	Ultimate (uninflated)	Ultimate (inflated)
2014/15	7,907.88	11,090.43	1	7,907.88	11,090.43
2015/16	8,286.59	11,204.04	1	8,286.59	11,204.04
2016/17	8,640.66	11,403.40	1	8,640.66	11,403.40
2017/18	9,123.46	11,891.34	1	9,123.46	11,891.34
2018/19	9,814.53	12,455.24	1	9,814.53	12,455.24
2019/20	10,140.20	12,427.91	1	10,140.20	12,427.91
2020/21	10,991.70	13,033.29	1	10,991.70	13,033.29
2021/22	11,909.02	13,709.13	1	11,909.02	13,709.13
2022/23	13,126.81	14,659.15	1.0001	13,128.12	14,660.61
2023/24	13,886.64	14,827.61	1.0101	14,026.91	14,977.38
2024/25	12,303.10	12,506.88	1.2980	15,969.17	16,233.67

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E Claim Numbers

E.1 All Claims

E.2 Active Claims

E.3 Lump Sum Claims

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F Claim Payments

F.1 Weekly Benefits

F.2 Medical Payments

F.3 Lump Sum Payments

F.4 Legal Payments

F.5 All Payments

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G Expenses

G.1 Expenses (in dollars)

Table 21 shows expense figures for each financial year, as per what has been reported by licensed insurers to WorkSafe as part of the End of the Financial Year Reconciliations. We have also presented written premiums to provide context.

Table 21: Expenses for Licensed Insurers ($m, in nominal values)

Financial Year	Gross Reinsurance Cost	Other Administration Costs	Commission and Brokerage	Nominal Insurer Levy	WRCF Levy	Total Expenses	Written Premium
2015/16	1.70	20.88	5.47	-	5.70	33.75	153.87
2016/17	2.33	21.65	5.83	-	6.98	36.79	162.11
2017/18	2.65	24.86	6.64	-	7.09	41.23	178.31
2018/19	2.38	26.77	7.16	-	5.58	41.89	195.94
2019/20	1.46	28.39	6.64	-	6.70	43.19	202.63
2020/21	1.87	29.58	7.74	-	6.65	45.84	226.24
2021/22	2.13	30.92	8.30	-	7.68	49.03	252.37
2022/23	2.04	33.78	10.62	-	8.39	54.83	278.99
2023/24	1.88	29.75	15.19	-	9.35	56.17	296.37

G.2 Expenses (as a proportion of written premiums)

Table 22 shows the expense figures that were displayed in Table 21, as a proportion of written premiums for the relevant financial year.

Table 22: Expenses for License Insurers (as a proportion of written premiums)

Financial Year	Gross Reinsurance Cost	Other Administration Costs	Commission and Brokerage	Nominal Insurer Levy	WRCF Levy	Total Expenses
2015/16	1.11%	13.57%	3.55%	-	3.70%	21.94%
2016/17	1.44%	13.36%	3.60%	-	4.31%	22.70%
2017/18	1.49%	13.94%	3.72%	-	3.97%	23.12%
2018/19	1.21%	13.66%	3.65%	-	2.85%	21.38%
2019/20	0.72%	14.01%	3.28%	-	3.31%	21.32%
2020/21	0.83%	13.08%	3.42%	-	2.94%	20.26%
2021/22	0.85%	12.25%	3.29%	-	3.05%	19.43%
2022/23	0.73%	12.11%	3.81%	-	3.01%	19.65%
2023/24	0.64%	10.04%	5.12%	-	3.15%	18.95%

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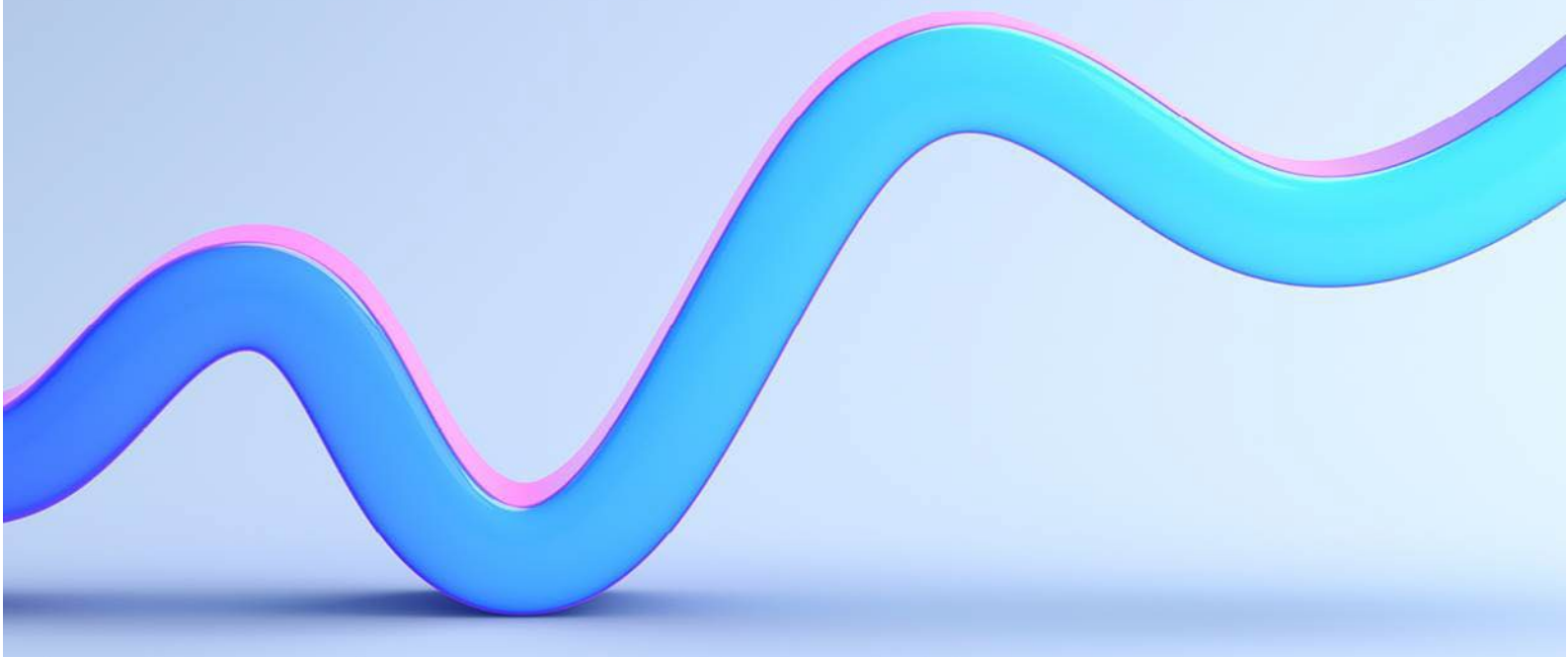

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